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Investor Presentation | Japan

Chemicals: Industry Reshuffling also Gaining Steam amid an AI-driven Market

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PETROCHEMICAL MAJORS	
Japan	
Industry View	Attractive
ELECTRONIC CHEMICALS	
Japan	
Industry View	In-Line
FINE CHEMICALS	
Japan	
Industry View	In-Line

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- Petrochemical majors (Industry View: Attractive):** Expecting continued weak petrochemical demand and ethylene utilization rates, but in addition to China’s anti-involution policies, there are signs of naphtha cracker downsizing in South Korea; believe the overall mood is improving. Asia petchem prices and spreads unlikely to fall further, but probably lack recovery momentum. Added impetus for industry reorganization. Investment indicators remain low and shares look generally undervalued. Investment appeal in Sumitomo Chemicals, as it focuses resources on accelerating growth in the agrochemicals and IT-related sectors. OW on Sumitomo Chemical (4005), Mitsui Chemicals (4183), Asahi Kasei (3407); EW on Mitsubishi Chemical (4188), Tosoh (4042).
- Electronic chemicals (Industry View: In-line):** In addition to the expansion of AI semiconductors, demand for legacy semiconductors is also gradually recovering, and a steady growth trend continues. For silicon wafers, although user inventory levels remain high, the recovery trend continues, centered on 300mm wafers. We are OW on Zeon (4205), Shin-Etsu Chemical (4063); EW on Nissan Chemical (4021), Dexerials (4980), Kuraray (3405); UW on SUMCO (3436), Nitto Denko (6988).
- Fine chemicals (Industry View: In-line):** Carbon fiber composite materials show significant revenue improvement due to full recovery in aircraft applications. Toray is our Top Pick, with the top share in carbon fiber business and strength in textiles and functional chemicals. We are OW on Toray (3402); EW on Gunze (3002); UW on Teijin (3401); ++ on DIC (4631).

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Asia Research

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Industry reshuffling also gaining steam amid an AI-driven market

Company	Code	Rating	C. Price 13-Jul	Price Target	% Difference from Current Price										
					-60%	-40%	-20%	0%	20%	40%	60%	80%	100%	120%	140%
Petrochemical Majors			Attractive												
Sumitomo Chemical	4005	OW	¥519	¥850	-13%					64%					122%
Mitsui Chemicals	4183	OW	¥2,070	¥2,900	-8%					40%					93%
Asahi Kasei	3407	OW	¥1,816	¥2,200	-6%					21%					49%
Mitsubishi Chemical Group	4188	EW	¥1,162	¥1,250	-18%					8%					29%
Tosoh	4042	EW	¥2,691	¥2,900	-22%					8%					34%
Electronic Chemicals			In-Line												
Zeon	4205	OW	¥2,225	¥3,000	-6%					35%					73%
Shin-Etsu Chemical	4063	OW	¥7,340	¥8,200	-14%					12%					29%
Nissan Chemical	4021	EW	¥7,906	¥9,000	-24%					14%					39%
Dexerials	4980	EW	¥3,922	¥4,400	-46%					12%					53%
Kuraray	3405	EW	¥1,696	¥1,750	-26%					3%					30%
SUMCO	3436	UW	¥5,133	¥3,000	-42%					13%					
Nitto Denko	6988	UW	¥3,221	¥3,000	-32%					-7%					21%
Fine Chemicals			In-Line												
Toray	3402	OW	¥1,138	¥1,600	-3%					41%					76%
Gunze	3002	EW	¥3,970	¥4,200	-29%					6%					28%
Teijin	3401	UW	¥1,655	¥1,450	-46%					-12%					27%
DIC	4631	++	¥4,520	++											

Source: FactSet, Morgan Stanley Research

Bear  Bull
Target Price (Base)

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Overall Summary: Chemicals industry coverage list & key investment metrics

Recommended stocks:

Zeon (4205), Sumitomo Chemical (4005), Toray (3402), Asahi Kasei (3407), Shin-Etsu Chemical (4063)

	Rating	Share price (¥) (13-Jul)	Price target (¥)	P/E (x)			P/CF (x)			EV/EBITDA (x)			P/B (x)			Dividend yield (%)			Mkt cap (¥bn)	FX Sensitivity for OP (¥bn)		FX Sensitivity vs F26 MS (core) OP		Company FX assumptions (F26)	
				F26e	F27e	F28e	F26e	F27e	F28e	F26e	F27e	F28e	F26e	F27e	F28e	F26e	F27e	F28e		vs. USD	vs. EUR	vs. USD	vs. EUR	(¥/USD)	(¥/EUR)
Petrochemical Majors																									
3407 Asahi Kasei	OW	1,816	2,200	14.3	12.1	10.7	6.3	5.8	5.4	6.7	6.2	5.8	1.1	1.1	1.0	2.4	2.9	3.2	2,462.6	1.6	0.1	0.6%	0.0%	150.0	175.0
4005 Sumitomo Chemical	OW	519	850	8.7	6.5	5.6	3.9	3.4	3.1	6.3	5.5	5.4	0.8	0.7	0.7	4.6	4.8	5.4	857.1	2.0	-	0.8%	-	155.0	-
4042 Tosoh	EW	2,691	2,900	13.7	12.8	11.2	7.4	7.0	6.5	6.6	6.5	6.3	1.0	0.9	0.9	3.7	3.7	3.7	828.4	0.5	0.2	0.5%	0.2%	-	-
4183 Mitsui Chemicals	OW	2,070	2,900	12.8	8.3	6.8	4.0	3.3	3.1	7.7	6.4	5.8	0.8	0.8	0.7	3.6	4.1	4.8	762.0	0.8-0.9	-	0.7%	-	155.0	-
4188 Mitsubishi Chemical Group	EW	1,162	1,250	13.1	11.7	10.1	3.9	3.8	3.6	6.2	6.0	5.7	0.9	0.8	0.8	2.8	3.0	3.4	1,578.0	1.1	-	0.4%	-	150.0	-
Petrochemical Majors average	Attractive			12.9	10.7	9.5	5.0	4.7	4.5	6.6	6.1	5.7	1.0	0.9	0.9	-	-	-	-	-	-	-	-	-	-
Electronic Chemicals																									
3405 Kuraray	EW	1,696	1,750	15.7	12.6	10.8	4.3	3.9	3.6	5.2	4.9	4.7	0.7	0.6	0.6	3.8	3.8	3.8	511.0	0.1	0.2	0.2%	0.3%	150.0	175.0
3436 SUMCO	UW	5,133	3,000	-	138.1	59.8	15.6	14.0	13.1	16.8	15.2	13.4	3.3	3.3	3.1	0.4	0.4	0.6	1,795.1	1.1	-	-	-	160.0	-
4021 Nissan Chemical	EW	7,906	9,000	20.3	19.5	18.9	14.9	14.2	13.7	12.4	11.8	11.5	3.9	3.7	3.5	2.7	2.8	2.9	1,060.3	0.3	-	0.4%	-	150.0	-
4063 Shin-Etsu Chemical	OW	7,340	8,200	22.2	20.0	18.1	15.8	14.4	13.1	12.3	11.6	10.8	3.0	2.9	2.8	1.8	2.0	2.2	13,628.3	3.9	0.2	0.5%	0.03%	150.0	180.0
4205 Zeon	OW	2,225	3,000	11.2	10.7	9.7	7.2	7.0	6.6	7.2	6.9	6.8	1.1	1.0	1.0	3.6	3.7	4.1	425.6	0.3	0.1	0.7%	-	150.0	175.0
4980 Dexerials	EW	3,922	4,400	23.8	20.6	18.1	18.1	15.3	13.1	14.8	12.6	10.9	5.4	4.9	4.4	1.6	1.8	2.0	657.0	0.5	-	1.2%	-	150.0	-
6988 Nitto Denko	UW	3,221	3,000	15.8	14.5	13.0	9.8	9.1	8.5	7.1	6.8	6.5	1.8	1.7	1.6	2.0	2.0	2.2	2,169.9	2.7	-	1.5%	-	153.0	-
Electronic Chemicals average	In-Line			23.7	21.0	19.2	14.0	13.1	12.3	11.1	10.5	9.8	2.6	2.6	2.6	-	-	-	-	-	-	-	-	-	-
Fine Chemicals (In-Line)																									
3002 Gunze	EW	3,970	4,200	25.3	19.3	16.0	10.1	9.1	33.1	8.0	7.0	6.5	1.1	1.1	1.1	5.4	5.5	5.5	126.7	0.10	-	1.2%	-	155.0	-
3401 Teijin	UW	1,655	1,450	7.6	19.4	15.6	3.4	4.5	4.2	7.0	6.4	5.9	0.8	0.8	0.8	3.0	3.0	3.0	319.3	0.25	-	0.9%	-	150.0	176.0
3402 Toray	OW	1,138	1,600	14.3	11.0	9.1	6.4	5.5	5.0	8.3	7.4	6.8	0.9	0.8	0.8	2.3	2.6	3.2	1,657.1	1.0	-	0.6%	-	150.0	-
4631 DIC	++	4,520	++	12.4	13.2	12.2	4.8	4.7	4.6	7.4	7.3	7.0	0.9	0.8	0.8	3.1	3.3	3.5	428.0	0.2	-	0.3%	-	150.0	168.0

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Fiscal years for Kuraray, SUMCO, and DIC end in December
FX Assumption: Shin-Etsu F3/27 1Q, SUMCO F12/26 2Q
e = Morgan Stanley Research estimates
Source: Company data, FactSet, Morgan Stanley Research

Petrochemical Majors											Fine Chemicals												
Sales		Core Operating profit		Operating profit		Recurring/ Pretax profit		Net profit		EPS	Sales		Core Operating profit		Operating profit		Recurring/ Pretax profit		Net profit		EPS		
(¥ m)	(% YoY)	(¥ m)	(% YoY)	(¥ m)	(% YoY)	(¥ m)	(% YoY)	(¥ m)	(% YoY)	(¥)	(¥ m)	(% YoY)	(¥ m)	(% YoY)	(¥ m)	(% YoY)	(¥ m)	(% YoY)	(¥ m)	(% YoY)	(¥)		
- Petrochemical Majors											- Fine Chemicals												
(3407) Asahi Kasei											(3002) Gunze												
3/25	3,037,312	9.1	-	-	211,921	50.6	193,459	114.7	134,996	208.2	97.9	3/25	137,117	3.2	-	-	7,921	16.9	8,180	20.8	6,279	22.9	189.7
3/26	3,074,505	1.2	-	-	231,200	9.1	230,419	19.1	158,793	17.6	117.0	3/26	130,918	-4.5	-	-	4,883	-38.4	4,920	-39.9	509	-92	15.8
3/27Ce	3,254,000	5.8	-	-	248,000	7.3	247,500	7.4	160,000	0.8	119.7	3/27Ce	132,000	0.8	-	-	8,800	80.2	8,400	70.7	5,200	922	165.9
3/27e	3,301,000	7.4	-	-	267,000	15.5	266,500	15.7	170,000	7.1	126.9	3/27e	131,000	0.1	-	-	8,300	70.0	7,900	60.6	4,900	863	156.6
3/27e (IFIS)	3,278,450	6.6	-	-	257,010	11.2	257,889	11.9	167,467	5.5	123.3	3/27e (IFIS)	131,600	0.5	-	-	8,200	67.9	7,950	61.6	4,713	825.8	150.5
3/28e	3,376,000	2.3	-	-	301,000	12.7	305,000	14.4	198,000	16.5	150.4	3/28e	129,000	-1.5	-	-	10,500	26.5	10,000	26.6	6,400	31	205.3
3/28e (IFIS)	3,379,880	3.1	-	-	283,830	10.4	285,922	10.9	188,278	12.4	139.4	3/28e (IFIS)	132,450	0.6	-	-	10,250	25.0	10,050	26.4	6,643	41.0	212.5
3/29e	3,504,000	3.8	-	-	335,000	11.3	339,000	11.1	220,000	11.1	170.2	3/29e	131,500	1.9	-	-	12,200	16.2	12,000	20.0	7,700	20	247.9
3/29e (IFIS)	3,515,380	4.0	-	-	313,500	10.5	315,267	10.3	208,289	10.6	156.4	3/29e (IFIS)	135,850	2.6	-	-	11,700	14.1	11,650	15.9	7,733	16.4	247.8
(4005) Sumitomo Chemical (IFRS)											(3401) Teijin (IFRS from 3/25)												
3/25	2,606,281	6.5	140,519	-	193,033	-	58,093	-	38,591	-	23.6	3/25	1,005,471	4.7	27,594	25.7	-71,828	-	-78,038	-	28,347	-	147.2
3/26	2,328,515	-10.7	208,376	48.3	151,744	-21.4	116,068	99.8	60,947	57.9	37.2	3/26	873,190	-13.2	25,781	-6.6	-70,714	-	-74,060	-	-88,003	-	-456.3
3/27Ce	2,360,000	1.4	215,000	3.2	177,000	16.6	-	-	70,000	14.9	42.4	3/27Ce	850,000	-2.7	30,000	16.4	70,000	-	-	-	45,000	-	233.3
3/27e	2,365,000	1.6	245,000	17.6	207,000	36.4	197,000	69.7	99,000	62.4	59.9	3/27e	886,000	1.5	27,000	4.7	66,000	-	61,000	-	42,000	-	217.7
3/27e (IFIS)	2,473,044	6.2	-	-	194,756	28.3	175,625	51.3	82,433	35.3	49.9	3/27e (IFIS)	875,280	0.2	-	-	69,120	-	65,260	-	43,920	-	227.7
3/28e	2,465,000	4.2	267,000	9.0	252,000	21.7	246,000	24.9	129,000	30.3	79.3	3/28e	929,000	4.9	34,500	27.8	29,000	-56.1	24,000	-60.7	16,500	-60.7	85.5
3/28e (IFIS)	2,515,856	1.7	-	-	198,856	1.1	177,363	1.0	85,556	3.8	52.0	3/28e (IFIS)	914,000	4.4	-	-	34,600	-49.9	30,880	-52.7	20,220	-54.0	104.8
3/29																							

Ce = Company estimates, e = Morgan Stanley Research estimates, e(IFIS) = IFIS Consensus data .
Source: Company data, Morgan Stanley Research

Chemicals industry earnings estimates (2)

Sales		Business profit		Operating· Business profit		Recurring· Pretax profit		Net profit		EPS	Sales		Business profit		Operating· Business profit		Recurring· Pretax profit		Net profit		EPS		
(¥ m)	(% YoY)	(¥ m)	(% YoY)	(¥ m)	(% YoY)	(¥ m)	(% YoY)	(¥ m)	(% YoY)	(¥)	(¥ m)	(% YoY)	(¥ m)	(% YoY)	(¥ m)	(% YoY)	(¥ m)	(% YoY)	(¥ m)	(% YoY)	(¥)		
- Electronic Chemicals																							
(3405) Kuraray											(4205) Zeon												
12/24	826,895	5.9	-	-	85,081	12.7	81,480	18.0	31,724	-25.3	96.3	3/25	420,647	10.0	-	-	29,321	43.0	33,051	22.8	26,199	-15.8	127.4
12/25	808,447	-2.2	-	-	58,882	-30.8	51,515	-36.8	7,468	-76.5	23.6	3/26	411,966	-2.1	-	-	36,377	24.1	40,038	21.1	36,226	38.3	186.7
12/26Ce	850,000	5.1	-	-	70,000	18.9	64,000	24.2	40,000	435.6	130.3	3/27Ce	405,000	-1.7	-	-	38,000	4.5	37,000	-7.6	36,000	-0.6	188.5
12/26e	846,000	4.6	-	-	61,000	3.6	55,000	6.8	32,000	328.5	108.1	3/27e	420,000	2.0	-	-	41,000	12.7	42,500	6.1	37,500	3.5	199.2
12/26e (IFIS)	860,275	6.4	-	-	61,363	4.2	55,717	8.2	32,629	336.9	108.6	3/27e (IFIS)	429,371	4.2	-	-	38,786	6.6	38,660	-3.4	35,106	-3.1	183.6
12/27e	856,000	1.2	-	-	70,000	14.8	64,500	17.3	38,500	20.3	134.9	3/28e	424,000	1.0	-	-	46,000	12.2	48,000	12.9	38,500	2.7	208.7
12/27e (IFIS)	893,163	3.8	-	-	67,413	9.9	62,883	12.9	36,814	12.8	124.5	3/28e (IFIS)	427,914	-0.3	-	-	40,943	5.6	42,700	10.5	32,789	-6.6	170.0
12/28e	882,000	3.0	-	-	78,000	11.4	72,500	12.4	43,500	13.0	157.8	3/29e	433,000	2.1	-	-	50,000	8.7	52,000	8.3	41,500	7.8	229.4
12/28e (IFIS)	925,338	3.6	-	-	74,200	10.1	69,717	10.9	41,514	12.8	143.0	3/29e (IFIS)	438,317	2.4	-	-	43,733	6.8	45,525	6.6	34,657	5.7	185.3
(3436) SUMCO											(4980) Dexcelials (IFRS from 3/25)												
12/24	396,619	-6.9	-	-	36,924	-49.5	37,457	-48.4	19,877	-68.9	56.8	3/25	110,390	4.9	38,068	11.7	39,735	24.6	39,359	27.4	27,737	22.9	162.0
12/25	409,670	3.3	-	-	1,342	-96.4	-3,886	-	-11,751	-	-33.6	3/26	113,832	3.1	39,352	3.4	38,097	-4.1	38,388	-2.5	28,009	1.0	166.5
12/26e	439,000	7.2	-	-	-16,000	-	-25,000	-	-27,000	-	-77.2	3/27Ce	123,000	8.1	40,000	1.6	38,500	1.1	38,500	0.3	27,500	-1.8	163.5
12/26e (IFIS)	441,075	7.7	-	-	-8,892	-	-20,890	-	-19,105	-	-50.8	3/27e	122,000	7.2	40,000	1.6	38,500	1.1	38,500	0.3	27,500	-1.8	164.5
12/27e	464,000	5.7	-	-	21,000	-	19,000	-	13,000	-	37.2	3/27e (IFIS)	123,600	8.6	-	-	39,900	4.7	40,078	4.4	28,492	1.7	170.3
12/27e (IFIS)	475,675	7.8	-	-	37,942	-	29,020	-	22,127	-	71.2	3/28e	132,000	8.2	45,500	13.8	44,000	14.3	44,000	14.3	31,500	14.5	190.0
12/28e	489,000	5.4	-	-	44,000	109.5	43,000	126.3	30,000	130.8	85.8	3/28e (IFIS)	137,850	11.5	-	-	48,275	21.0	48,343	20.6	34,354	20.6	206.2
12/28e (IFIS)	530,108	11.4	-	-	95,050	150.5	83,760	188.6	58,394	163.9	186.5	3/29e	139,000	5.3	51,000	12.1	49,500	12.5	49,500	12.5	35,500	12.7	206.2
(4021) Nissan Chemical											3/29e (IFIS)												
3/25	251,365	10.9	-	-	56,833	17.9	58,018	12.4	43,043	13.2	313.3	(6988) Nitto Denko (IFRS)											
3/26	279,586	11.2	-	-	63,552	11.8	65,897	13.6	49,707	15.5	368.3	3/25	1,013,878	10.8	-	-	185,667	33.4	185,329	33.4	137,237	33.7	195.7
3/27Ce	289,700	3.6	-	-	66,800	5.1	68,800	4.4	51,500	3.6	387.1	3/26	1,028,171	1.4	-	-	183,615	-1.1	184,976	-0.2	133,498	-2.7	197.2
3/27e	288,000	3.0	-	-	67,500	6.2	69,500	5.5	52,000	4.6	389.9	3/27Ce	1,065,000	3.6	-	-	193,000	5.1	193,000	4.3	141,000	5.6	209.3
3/27e (IFIS)	290,450	3.9	-	-	68,713	8.1	70,413	6.9	52,346	5.3	393.2	3/27e	1,054,000	2.5	-	-	182,000	-0.9	182,000	-1.6	133,000	-0.4	203.7
3/28e	297,000	3.1	-	-	70,000	3.7	72,000	3.6	53,500	2.9	405.5	3/27e (IFIS)	1,066,838	3.8	-	-	191,000	4.0	191,263	3.4	139,676	4.6	211.2
3/28e (IFIS)	304,913	5.0	-	-	73,138	6.4	74,988	6.5	55,529	6.1	419.9	3/28e	1,088,000	3.2	-	-	192,000	5.5	192,000	5.5	140,000	5.3	222.2
3/29e	308,000	3.7	-	-	71,500	2.1	73,500	2.1	54,500	1.9	417.6	3/28e (IFIS)	1,105,863	3.7	-	-	204,725	7.2	205,025	7.2	148,465	6.3	228.1
3/29e (IFIS)	320,800	5.2	-	-	78,171	6.9	80,129	6.9	59,210	6.6	455.5	3/29e	1,125,000	3.4	-	-	207,000	7.8	207,000	7.8	151,000	7.9	248.4
(4063) Shin-Etsu Chemical											3/29e (IFIS)												
3/25	2,561,249	6.1	-	-	742,105	5.9	820,543	4.2	534,021	2.7	269.5	3/29e (IFIS)	1,149,886	4.0	-	-	214,971	5.0	215,357	5.0	155,746	4.9	242.8
3/26	2,573,969	0.5	-	-	635,204	-14.4	708,281	-13.7	474,459	-11.2	252.7												
3/27e	2,940,000	14.2	-	-	785,000	23.6	867,000	22.4	600,000	26.5	330.1												
3/27e (IFIS)	2,847,631	10.6	-	-	762,554	20.0	831,273	17.4	562,498	18.6	304.9												
3/28e	3,032,000	3.1	-	-	852,000	8.5	943,000	8.8	648,000	8.0	366.3												
3/28e (IFIS)	2,998,992	5.3	-	-	842,123	10.4	905,364	8.9	613,449	9.1	336.7												
3/29e	3,157,000	4.1	-	-	923,000	8.3	1,016,000	7.7	697,000	7.6	404.4												
3/29e (IFIS)	3,182,842	6.1	-	-	938,275	11.4	998,000	10.2	677,260	10.4	378.2												

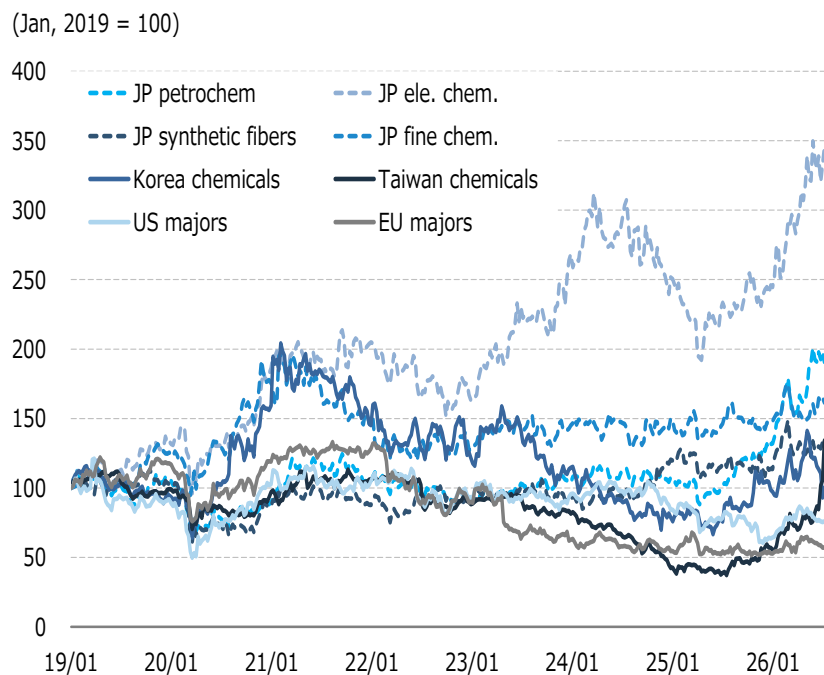
Ce = Company estimates, e = Morgan Stanley Research estimates,

e(IFIS) = IFIS Consensus data

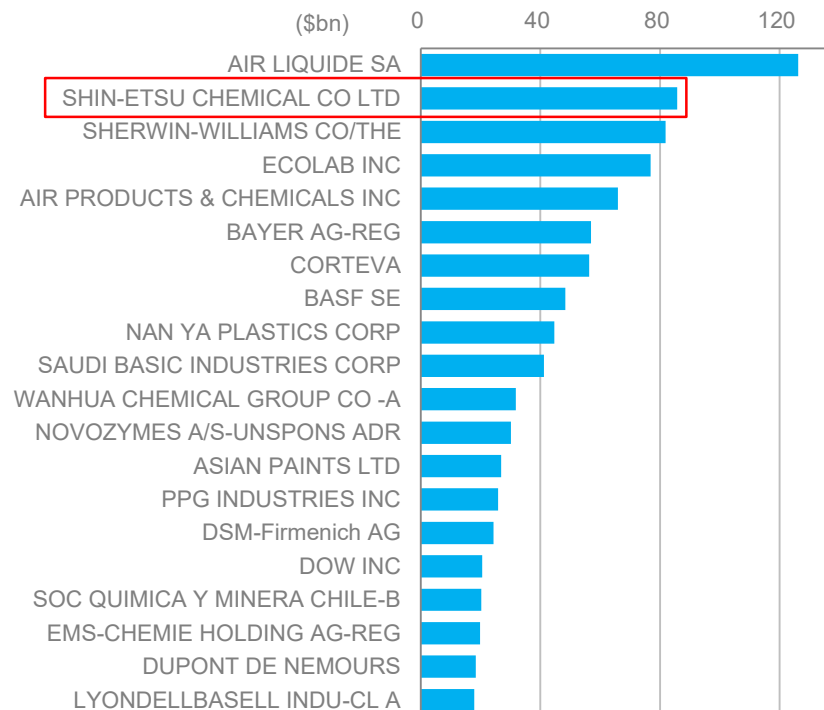
Source: Company data, Morgan Stanley Research

Overseas chemical industry market cap trends / Market cap ranking of global chemical companies (Top 20)

Market cap performance since Jan 2019



Top 20 market cap ranking (as of 9 July. 2026)



Japan 7 Petrochem: Asahi Kasei, Sumitomo Chemical, Tosoh, Mitsui Chemicals, Mitsubishi Chemical Group, Resonac, UBE

Japan 6 Elec. Chemicals: Shin-Etsu Chemical, JSR, Zeon, Nitto Denko, Kuraray, SUMCO

Japan 2 Synthetic Fibers: Teijin, Toray

Japan 7 Fine Chemicals: Nippon Shokubai, Mitsubishi Gas Chemical, Daicel, Sekisui Chemical, Nippon Paint, Kansai Paint, DIC

Korea 8 Chemicals: LG Chem, Lotte Chemical, OCI Company, Hanwha Chemical, Kumho Petrochemical, SK Innovation, S-Oil, Hyosung

Taiwan 8 Chemicals: FPC, NYP, FCFC, Taiwan Fertilizer, China Petrochem, LCY Chemical, TSRC, Eternal Chemical

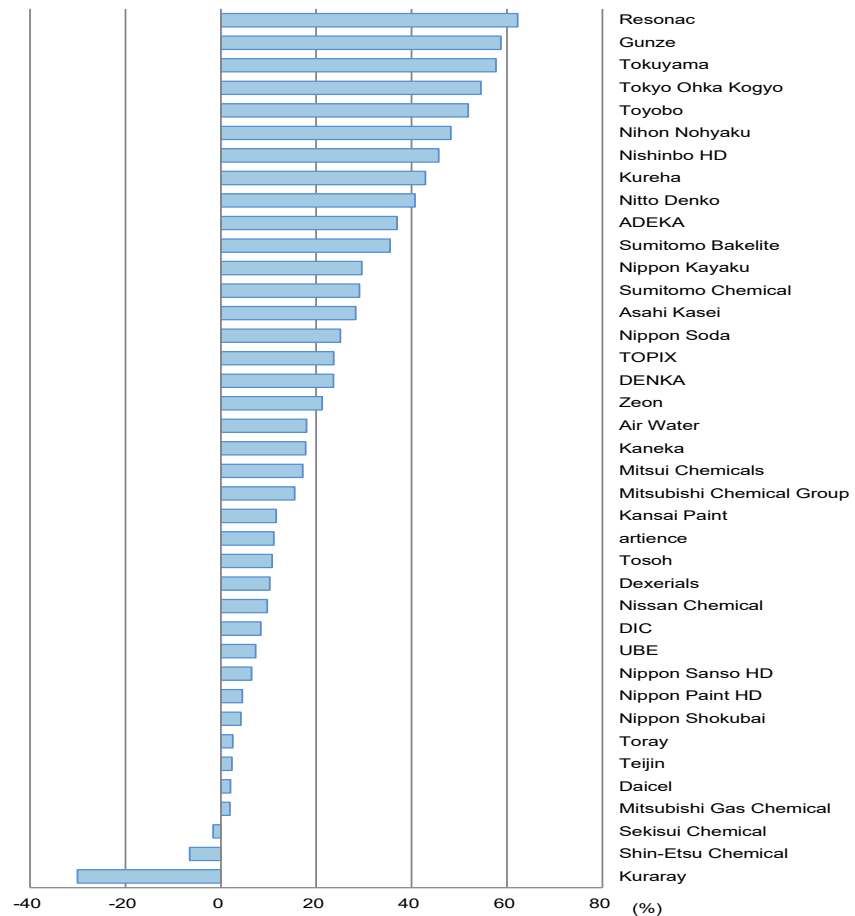
US 5 majors: Celanese, Dow, DuPont, Eastman, LyondellBasell

Euro 5 majors: Arkema, Lanxess, BASF, Solvay, DSM

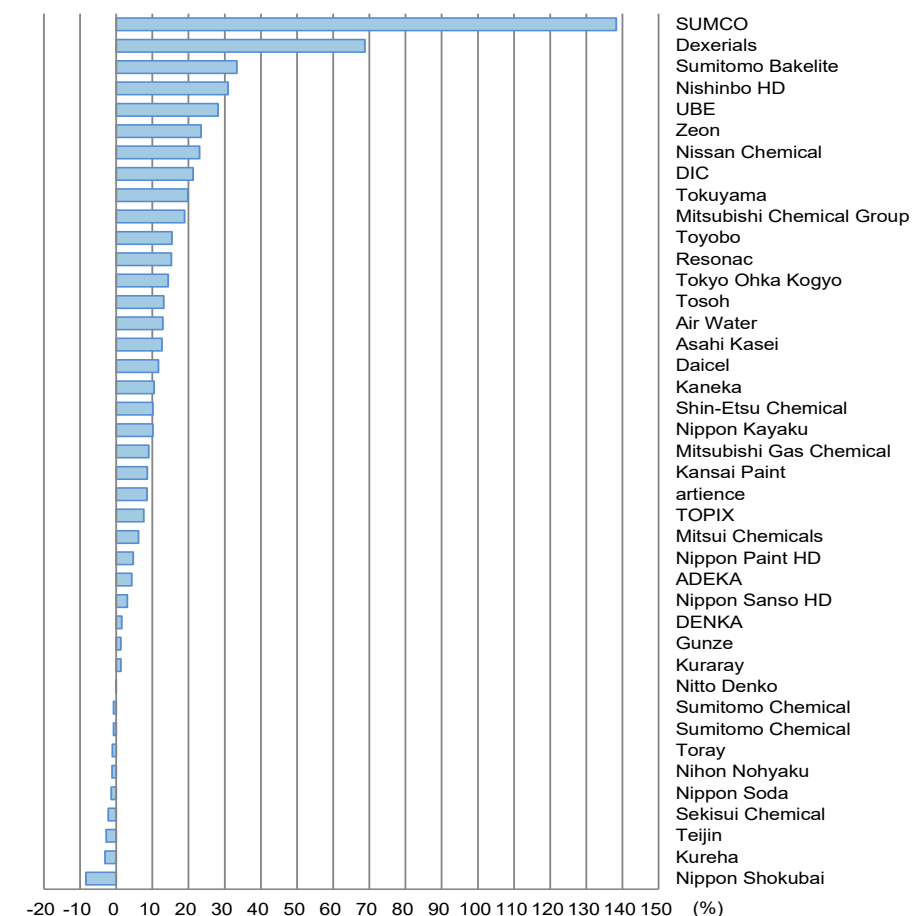
Source: Bloomberg, Morgan Stanley Research

Stock performance ranking

Stock performance in 2025



Vs. 3 months ago



Source: Workspace ; Note: For Vs. 3 months ago exhibit: Stock prices as of 13th July 2026

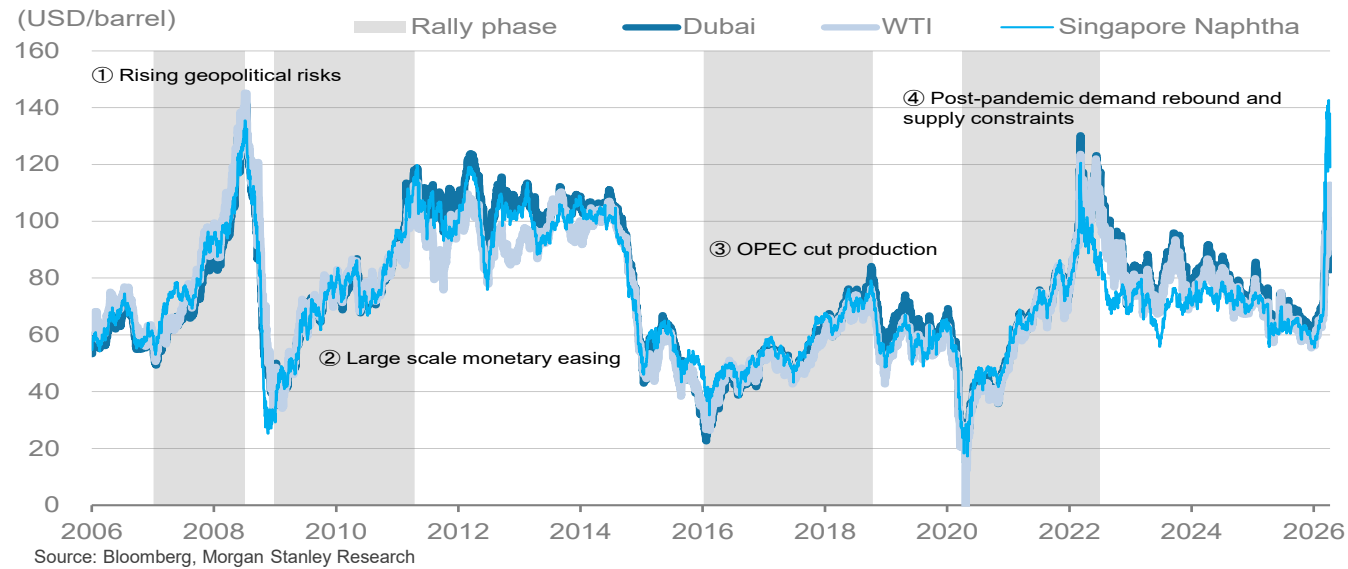
Global chemical peer valuations

Ticker	Company	Country	Mkt. Cap. (US \$mn)	P/E			P/B			EV/EBITDA			Div. Yield	ROE	Coverage Analyst
				F26	F27	F28	F26	F27	F28	F26	F27	F28	F26 (%)	F26 (%)	
Conglomerate (Petrochemicals)				13.4 e	12.4 e	10.9 e	0.9 e	0.9 e	0.9 e	6.8 e	6.3 e	5.9 e	3.7% e	7.6% e	
3407.T	Asahi Kasei	Japan	15,230	14.3 e	12.1 e	10.7 e	1.1 e	1.1 e	1.0 e	6.7 e	6.2 e	5.8 e	2.4% e	8.0% e	Takato Watabe
4005.T	Sumitomo Chemical	Japan	5,248	8.7 e	6.5 e	5.6 e	0.8 e	0.7 e	0.7 e	6.3 e	5.5 e	5.4 e	4.6% e	9.5% e	Takato Watabe
4042.T	Tosoh	Japan	5,123	13.7 e	12.8 e	11.2 e	1.0 e	0.9 e	0.9 e	6.6 e	6.5 e	6.3 e	3.7% e	7.1% e	Takato Watabe
4183.T	Mitsui Chemicals	Japan	4,820	12.8 e	8.3 e	6.8 e	0.8 e	0.8 e	0.7 e	7.8 e	6.5 e	5.9 e	3.6% e	6.3% e	Takato Watabe
4188.T	Mitsubishi Chemical Group	Japan	9,759	13.1 e	11.7 e	10.1 e	0.9 e	0.8 e	0.8 e	7.0 e	6.7 e	6.3 e	2.8% e	6.7% e	Takato Watabe
DOW.N	Dow	USA	21,951	-	15.7 e	16.6 e	1.3 e	1.3 e	1.3 e	5.9 e	6.0 e	5.8 e	4.6% e	10.6% e	Vincent Andrew s
DD.N	DuPont De Nemours	USA	-	-	-	-	-	-	-	-	-	-	-	5.3% e	Vincent Andrew s
051910.KS	LG Chem	S. Korea	11,982	-	35.3 e	19.7 e	0.6 e	0.5 e	0.5 e	6.8 e	5.1 e	4.4 e	-	-	Young Suk Shin
CTVA.N	Corteva	USA	57,546	22.6 e	20.9 e	18.2 e	2.3 e	2.2 e	2.2 e	13.4 e	12.0 e	10.6 e	0.8% e	6.9% e	Vincent Andrew s
BASF.DE	BASF	Germany	48,971	14.2 e	17.3 e	18.9 e	1.2 e	1.2 e	1.2 e	7.2 e	7.3 e	7.5 e	5.0% e	8.2% e	Thomas Wrigglesworth
EVKn.DE	Evonik	Germany	8,893	10.0 e	10.5 e	10.6 e	0.9 e	0.9 e	0.9 e	6.0 e	6.0 e	6.0 e	4.8% e	9.1% e	Thomas Wrigglesworth
Petrochemical				14.9 e	17.2 e	14.3 e	1.1 e	1.1 e	1.2 e	7.5 e	6.9 e	6.6 e	3.0% e	5.3% e	
CEN	Celanese	USA	5,251	7.9 e	7.7 e	6.6 e	1.1 e	1.0 e	0.9 e	7.5 e	7.1 e	6.6 e	0.2% e	10.4% e	Vincent Andrew s
LYB.N	LyondellBasell	USA	18,784	5.9 e	7.7 e	11.1 e	1.6 e	1.4 e	1.3 e	4.9 e	5.2 e	6.1 e	4.7% e	28.6% e	Vincent Andrew s
WLK.N	Westlake	USA	9,725	21.9 e	30.6 e	62.3 e	1.1 e	1.1 e	1.2 e	6.4 e	6.9 e	7.9 e	3.0% e	5.3% e	Vincent Andrew s
2010.SE	SABIC	Saudi Arabia	41,952	33.0 e	18.6 e	14.3 e	1.3 e	1.3 e	1.3 e	10.9 e	8.6 e	7.4 e	5.7% e	3.8% e	Ricardo Rezende
PTTGC.BK	PTT Global Chemicals	Thailand	4,678	-	17.2 e	14.4 e	0.5 e	0.5 e	0.5 e	7.5 e	6.2 e	5.5 e	1.4% e	2.0% e	Mayank Maheshwari
Electronic Chemicals				18.0 e	19.5 e	-	3.0 e	2.9 e	-	11.9 e	10.8 e	-	2.0% e	11.5% e	
3405.T	Kuraray	Japan	3,221	15.7 e	12.6 e	10.8 e	0.7 e	0.6 e	0.6 e	5.2 e	5.0 e	4.8 e	3.8% e	4.3% e	Takato Watabe
3436.T	SUMCO	Japan	11,102	-	138.1 e	59.8 e	3.3 e	3.3 e	3.1 e	16.8 e	15.2 e	13.4 e	0.4% e	(4.8%) e	Takato Watabe
4021.T	Nissan Chemical	Japan	6,557	20.3 e	19.5 e	18.9 e	3.9 e	3.7 e	3.5 e	12.2 e	11.6 e	11.2 e	2.7% e	19.9% e	Takato Watabe
4205.T	Zeon	Japan	2,632	11.2 e	10.7 e	9.7 e	1.1 e	1.0 e	1.0 e	7.0 e	6.6 e	6.4 e	3.6% e	9.8% e	Takato Watabe
4980.T	Dexerials	Japan	4,063	23.8 e	20.6 e	18.1 e	5.4 e	4.9 e	4.4 e	15.4 e	13.1 e	11.3 e	1.6% e	24.0% e	Takato Watabe
6988.T	Nitto Denko	Japan	13,420	15.8 e	14.5 e	13.0 e	1.8 e	1.7 e	1.6 e	7.2 e	7.0 e	6.6 e	2.0% e	11.5% e	Takato Watabe
Fine Chemicals (Specialty Chemicals)				13.6 e	16.3 e	13.9 e	1.0 e	1.0 e	1.0 e	7.6 e	7.1 e	6.6 e	3.1% e	6.7% e	
3002.T	Gunze	Japan	783	25.3 e	19.3 e	16.0 e	1.1 e	1.1 e	1.1 e	7.7 e	6.5 e	5.7 e	5.4% e	4.4% e	Takato Watabe
3401.T	Teijin	Japan	1,975	7.6 e	19.4 e	15.6 e	0.8 e	0.8 e	0.8 e	4.7 e	6.9 e	6.3 e	3.0% e	11.0% e	Takato Watabe
3402.T	Toray	Japan	10,249	14.3 e	11.0 e	9.1 e	0.9 e	0.8 e	0.8 e	8.3 e	7.4 e	6.8 e	2.3% e	6.2% e	Takato Watabe
4631.T	DIC	Japan	2,647	12.4 e	13.2 e	12.2 e	0.9 e	0.8 e	0.8 e	7.4 e	7.3 e	7.0 e	3.1% e	7.2% e	Takato Watabe
SOLB.BR	Solvay	Belgium	3,169	12.9 e	12.0 e	12.3 e	2.5 e	2.6 e	2.7 e	6.4 e	6.2 e	6.3 e	9.2% e	15.6% e	Thomas Wrigglesworth
DSFIR.AS	DSM-Firmenich AG	Netherlands	24,806	24.5 e	22.0 e	20.5 e	1.2 e	1.2 e	1.2 e	14.2 e	13.0 e	12.1 e	3.0% e	2.5% e	Lisa De Neve
Industrial Gas				21.1 e	20.2 e	-	3.0 e	2.8 e	-	13.1 e	11.8 e	-	7.7% e	14.4% e	
AIRP.PA	Air Liquide	France	124,229	-	-	-	-	-	-	-	-	-	-	14.4% e	Thomas Wrigglesworth
4091.T	Nippon Sanso HD	Japan	16,202	19.1 e	19.1 e	-	2.0 e	1.8 e	-	9.7 e	9.5 e	-	1.1% e	10.8% e	Ryoichi Watanabe

e = Morgan Stanley Research estimates Note: Mkt Cap is as of 13 July, 2026, EPS estimates are our MW base. Source: Bloomberg, Morgan Stanley Research

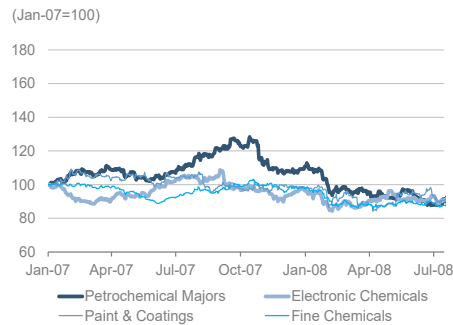
Stock Selection During Periods of Rising Crude Oil Prices

Uptrend in crude oil price in four past periods

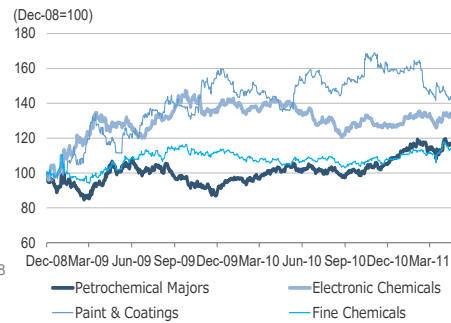


Performance by industry

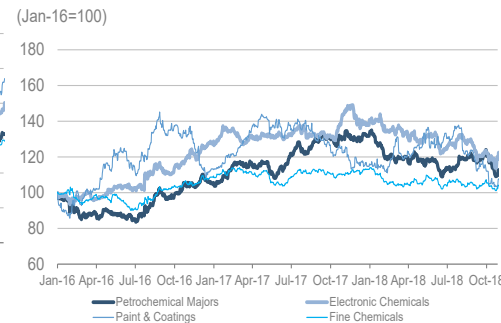
① Jan 2007-Jul 2008



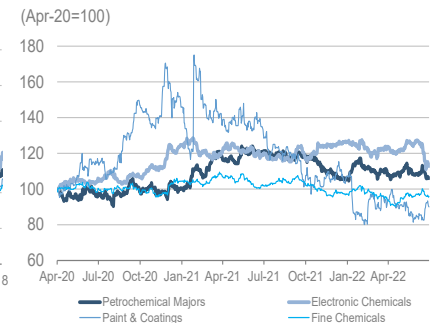
② Dec 2008-Apr 2011



③ Jan 2016-Oct 2018



④ Apr 2020-June 2022



Source: Bloomberg, Morgan Stanley Research

Petrochemical majors: Industry view: Attractive

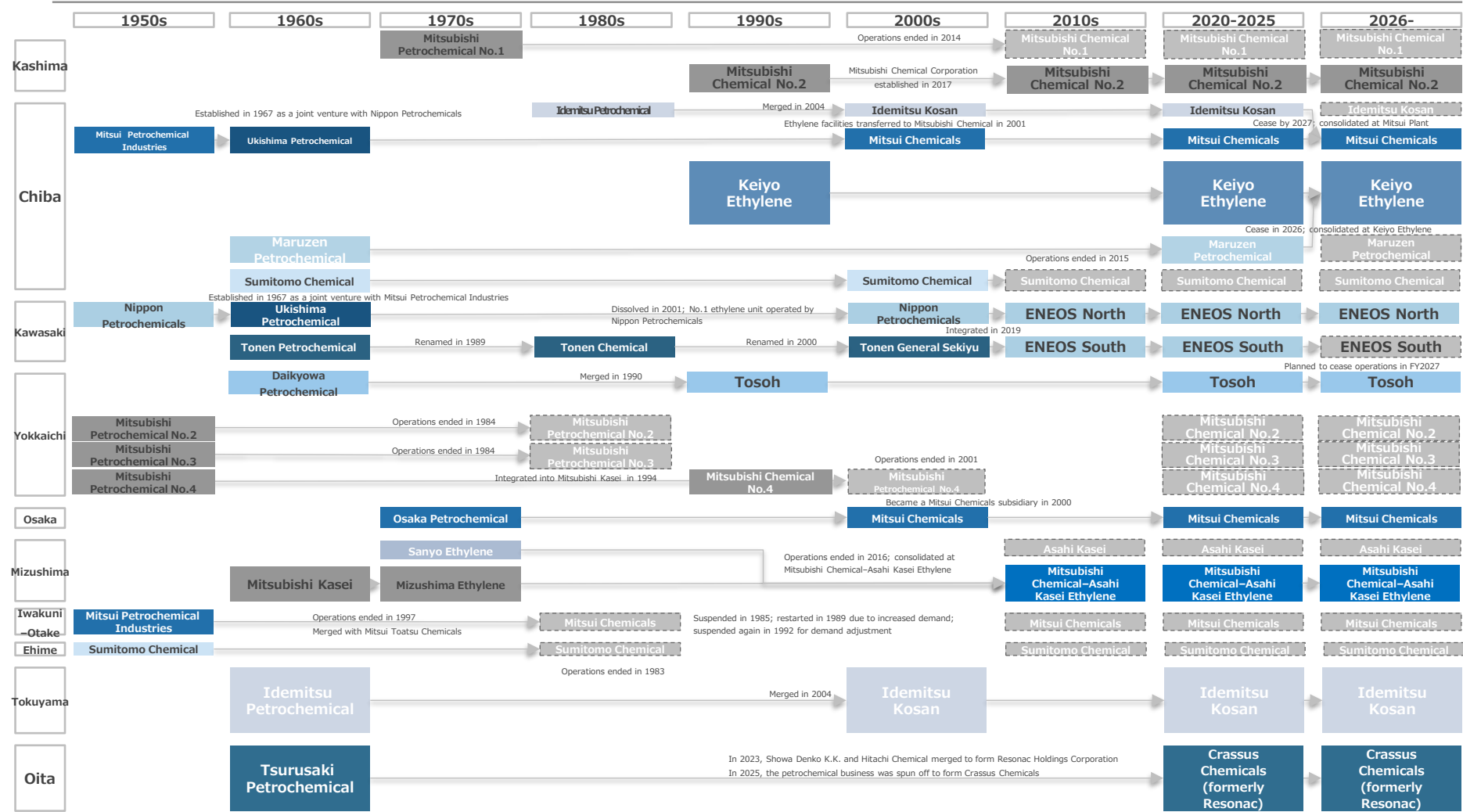
Petchem demand, ethylene utilization rate remain weak, but heading for bottom. In addition to China's anti-involution policies, there are signs of naphtha cracker downsizing in South Korea; we believe the overall mood is improving. Asian petchem prices and spreads look to have bottomed. Industry reorganization has begun and momentum is set to increase. We look for petchem prices to surge in the near term, given the situation in the Middle East. Investment indicators remain low, with stocks looking undervalued overall. Investment appeal in Sumitomo Chemicals, as it concentrates management resources to accelerate growth in the agrochemicals and IT-related sectors. Our preferred names are Sumitomo Chemical, Mitsui Chemicals and Asahi Kasei .

OW	4005	Sumitomo Chem	We expect F3/28 core OP to set its first record in around 10 years. We anticipate continued profit growth beyond market forecasts. Petrochemicals restructuring intended to complete over 3-year horizon. We regard the stock as deeply undervalued in view of the medium-term agrochemicals & semiconductor-related growth potential. Strong valuation appeal, OW.
	4183	Mitsui Chemicals	Anticipate 2-digit profit growth on higher growth business earnings/improving petchem profitability. Medium-term, we look for petchem business spin-off and higher multiples. Stock looks undervalued; OW.
	3407	Asahi Kasei	Healthcare business is on an earnings growth trend. Portfolio is evolving with petchem restructuring. We expect efforts to redress the book value discount, and with appealing valuations (P/E ~14.3x on our F3/27e), we stay OW.
EW	4188	Mitsubishi Chem	We expect continued profit growth toward F3/28. The stock does not appear undervalued from a relative industry basis. There is no compelling growth story (semiconductor-related core OP comes to only around ¥10bn even combining materials, water treatment, and advanced engineering plastics materials); rate EW.
	4042	Tosoh	Fundamentals weaker than expected but share price supported by high returns yield. We stay EW.

	Rating	Share price (¥)	Price target (¥)	P/E (x)			P/CF (x)			EV/EBITDA (x)			P/B (x)			Dividend yield (%)			Mkt cap	FX Sensitivity for OP (¥bn)		FX Sensitivity vs F26 MS (core) OP		Company FX assumptions (F26)	
		(13-Jul)		F26e	F27e	F28e	F26e	F27e	F28e	F26e	F27e	F28e	F26e	F27e	F28e	F26e	F27e	F28e	(¥bn)	vs. USD	vs. EUR	vs. USD	vs. EUR	(¥/USD)	(¥/EUR)
Petrochemical Majors																									
3407 Asahi Kasei	OW	1,816	2,200	14.3	12.1	10.7	6.3	5.8	5.4	6.7	6.2	5.8	1.1	1.1	1.0	2.4	2.9	3.2	2,462.6	1.6	0.1	0.6%	0.0%	150.0	175.0
4005 Sumitomo Chemical	OW	519	850	8.7	6.5	5.6	3.9	3.4	3.1	6.3	5.5	5.4	0.8	0.7	0.7	4.6	4.8	5.4	857.1	2.0	-	0.8%	-	155.0	-
4042 Tosoh	EW	2,691	2,900	13.7	12.8	11.2	7.4	7.0	6.5	6.6	6.5	6.3	1.0	0.9	0.9	3.7	3.7	3.7	828.4	0.5	0.2	0.5%	0.2%	-	-
4183 Mitsui Chemicals	OW	2,070	2,900	12.8	8.3	6.8	4.0	3.3	3.1	7.7	6.4	5.8	0.8	0.8	0.7	3.6	4.1	4.8	762.0	0.8-0.9	-	0.7%	-	155.0	-
4188 Mitsubishi Chemical Group	EW	1,162	1,250	13.1	11.7	10.1	3.9	3.8	3.6	6.2	6.0	5.7	0.9	0.8	0.8	2.8	3.0	3.4	1,578.0	1.1	-	0.4%	-	150.0	-
Petrochemical Majors average	Attractive			12.9	10.7	9.5	5.0	4.7	4.5	6.6	6.1	5.7	1.0	0.9	0.9	-	-	-	-	-	-	-	-	-	-

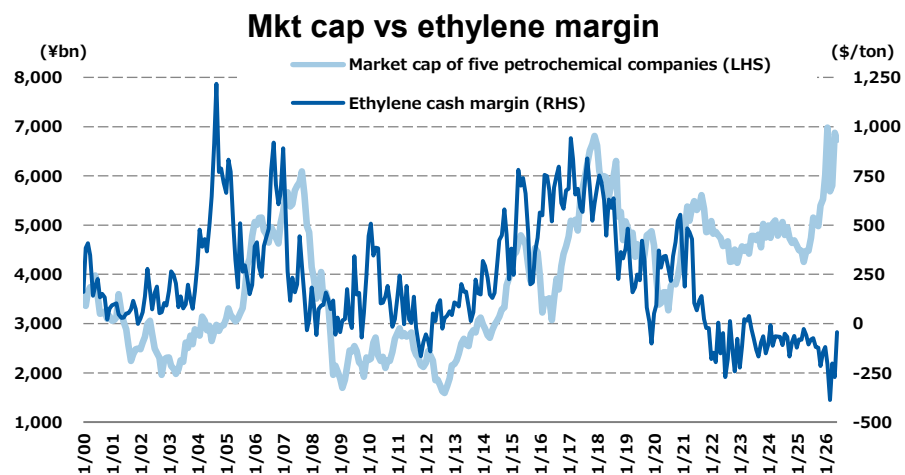
e = Morgan Stanley Research estimate, Source: Company data, FactSet, Morgan Stanley Research

Too many Japanese petrochemical companies: Industry restructuring needed

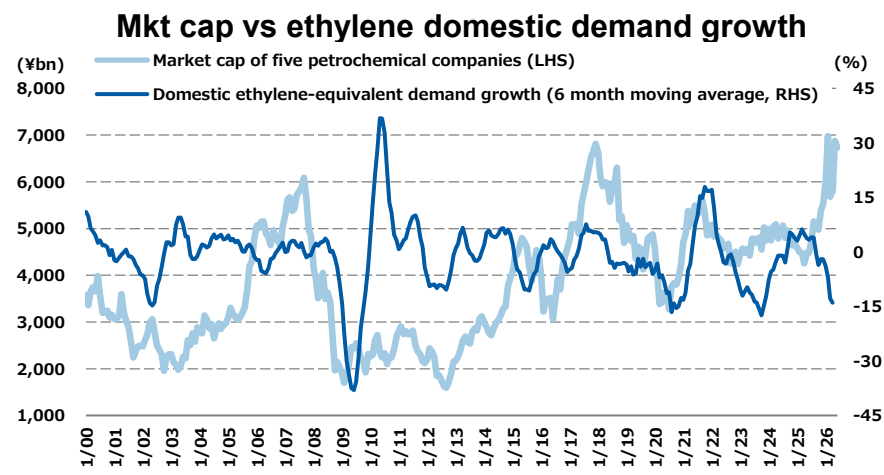


Source: Company data, Morgan Stanley Research

Ethylene margin and market cap of major petrochemical companies



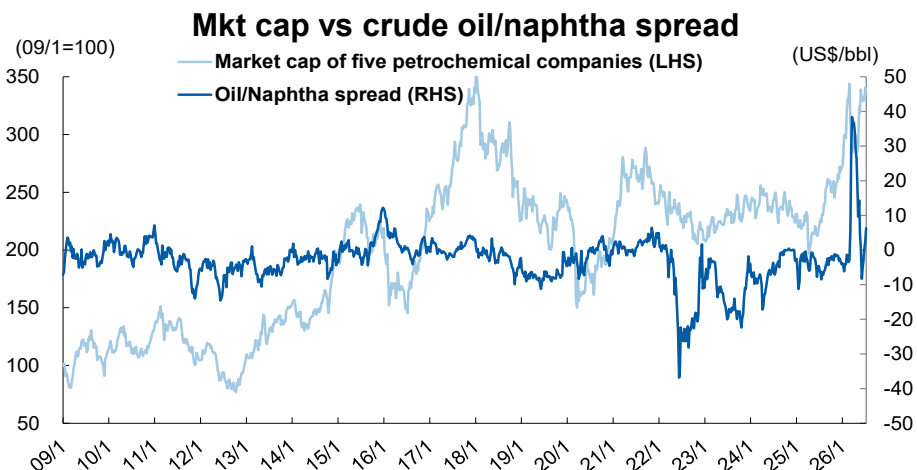
Source: Bloomberg, MoF, Morgan Stanley Research



Source: Bloomberg, METI, Morgan Stanley Research



Source: Bloomberg, Morgan Stanley Research

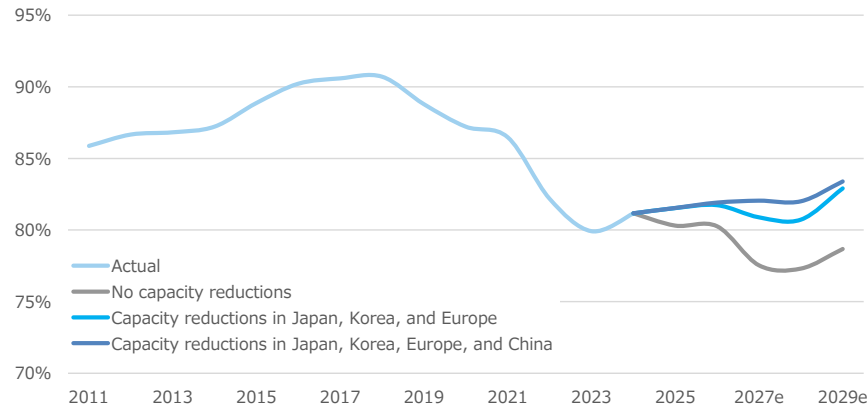


Source: Bloomberg, Morgan Stanley Research

Global ethylene supply/demand

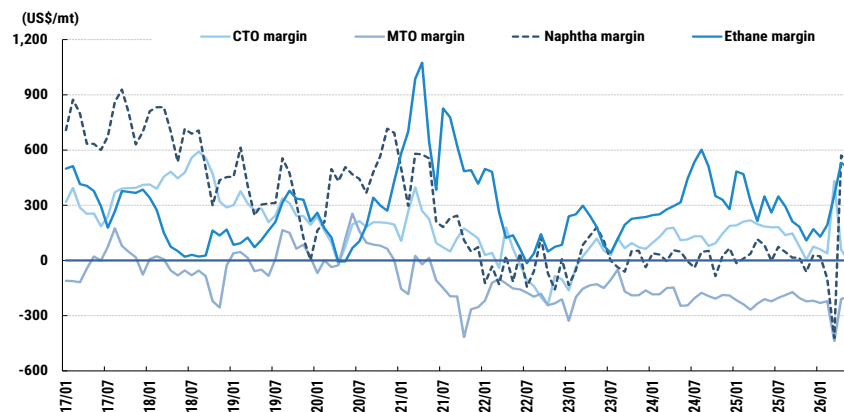
Global ethylene operating rate

Utilization bottomed out in 2023, now on a modest upward trend



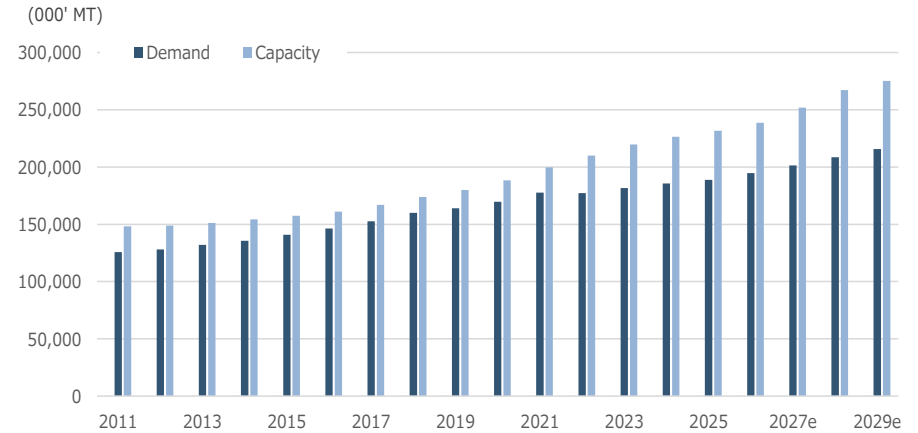
Ethylene margins by various feedstock

MTO cost competitiveness depends on integrated production of coal

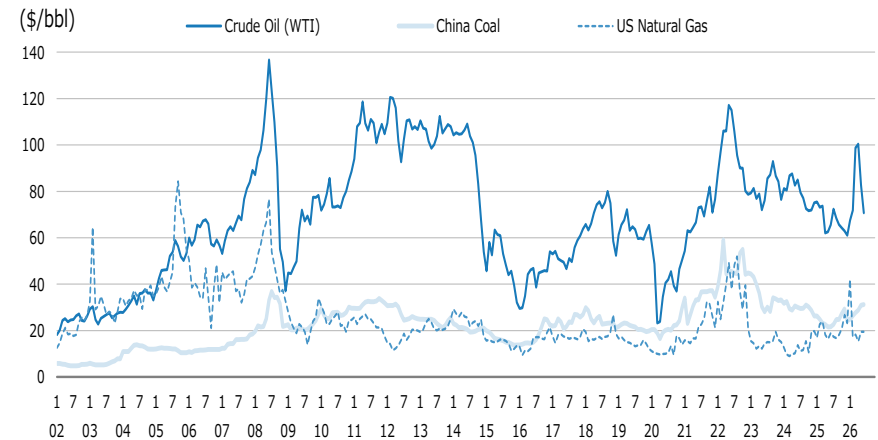


e = Morgan Stanley Research estimates; Source: IHS, Bloomberg, Morgan Stanley Research

Global ethylene supply/demand



Coal, Crude oil, Natural gas (oil equivalent)



**Domestic ethylene capacity utilization/commodity resins net export trend:
With weak domestic demand, ethylene capacity utilization is low**

Changes in Japan's ethylene production

Significant gap between production volume and domestic demand since the 1990s

(1,000ton)

Disposal of plants enforced by Industrial Revitalization Law (IRL ,1983)

Removal of IRL restriction (1987)

Ethylene capacity

Ethylene production

Ethylene converted domestic demand

90s

S/D gap is attributed to gap between capacity and production

S/D gap is attributed to gap between domestic demand and production

(%)

Ethylene Operation

110
100
90
80
70
60
50

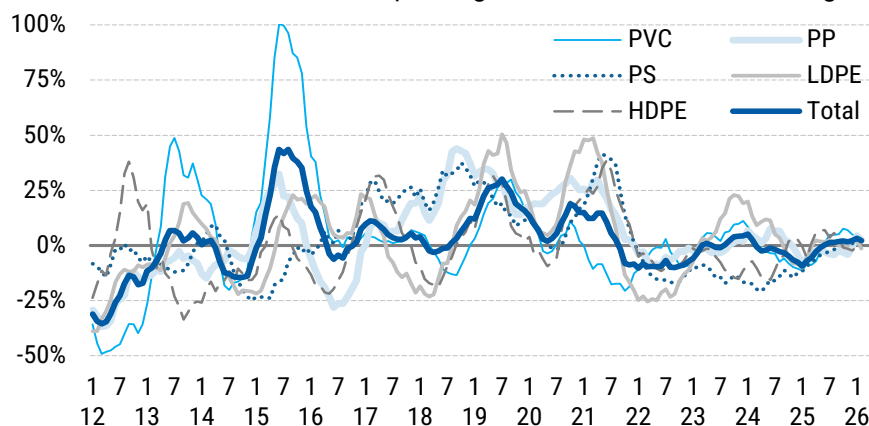
CY70 72 74 76 78 80 82 84 86 88 90 92 94 96 98 00 02 04 06 08 10 12 14 16 18 20 22 24 26e 28e

e = Morgan Stanley Research estimates; Source: METI, Morgan Stanley Research

e = Morgan Stanley Research estimates; Source: METI, Morgan Stanley Research

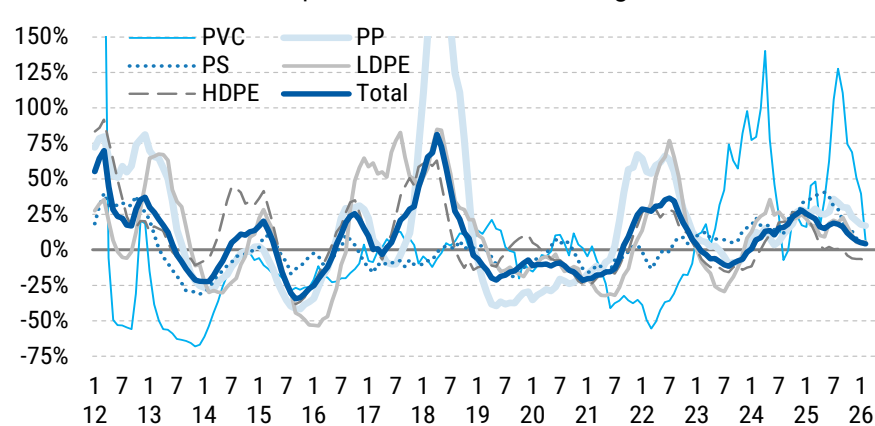
Commodity resins export vol. YoY trend (6mo average)

Difference in movements depending on the resin, but still declining



Commodity resins import vol. YoY trend (6mo average)

Imports overall are moderating



Source: MoF, Morgan Stanley Research

Progress on restructuring at olefin complexes

1 Kashima Mitsubishi No.2

Year of Startup : 1992
Annual Capacity (Mil. Ton)
Turnaround : 485.0, N/A : 564.0

2 Chiba Maruzen Petrochem

Year of Startup : 1969
Annual Capacity (Mil. Ton)
Turnaround : 480.0, N/A : 525.0

3 Chiba Keiyo Ethylene

Year of Startup : 1994
Annual Capacity (Mil. Ton)
Turnaround : 690.0, N/A : 768.0

4 Chiba Mitsui Chem.

Year of Startup : 1973
Annual Capacity (Mil. Ton)
Turnaround : 553.0, N/A : 612.0

5 Chiba Idemitsu Kosan

Year of Startup : 1985
Annual Capacity (Mil. Ton)
Turnaround : 374.0, N/A : 414.0

6 Kawasaki ENEOS

Year of Startup : 1967
Annual Capacity (Mil. Ton)
Turnaround : 404.0, N/A : 448.0

7 Kawasaki ENEOS

Year of Startup : 1971
Annual Capacity (Mil. Ton)
Turnaround : 491.0, N/A : 540.0

8 Yokaichi Tosoh

Year of Startup : 1972
Annual Capacity (Mil. Ton)
Turnaround : 493.0, N/A : 527.0

9 Osaka Mitsui Chem.

Year of Startup : 1970
Annual Capacity (Mil. Ton)
Turnaround : 455.0, N/A : 500.0

10 Mizushima Mitsubishi Chem Asahi Kasei Ethylene

Year of Startup : 1970
Annual Capacity (Mil. Ton)
Turnaround : 496.0, N/A : 567.0

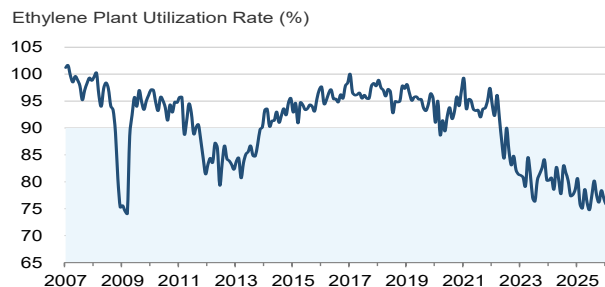
11 Tokuyama Idemitsu Kosan

Year of Startup : 1964
Annual Capacity (Mil. Ton)
Turnaround : 623.0, N/A : 689.0

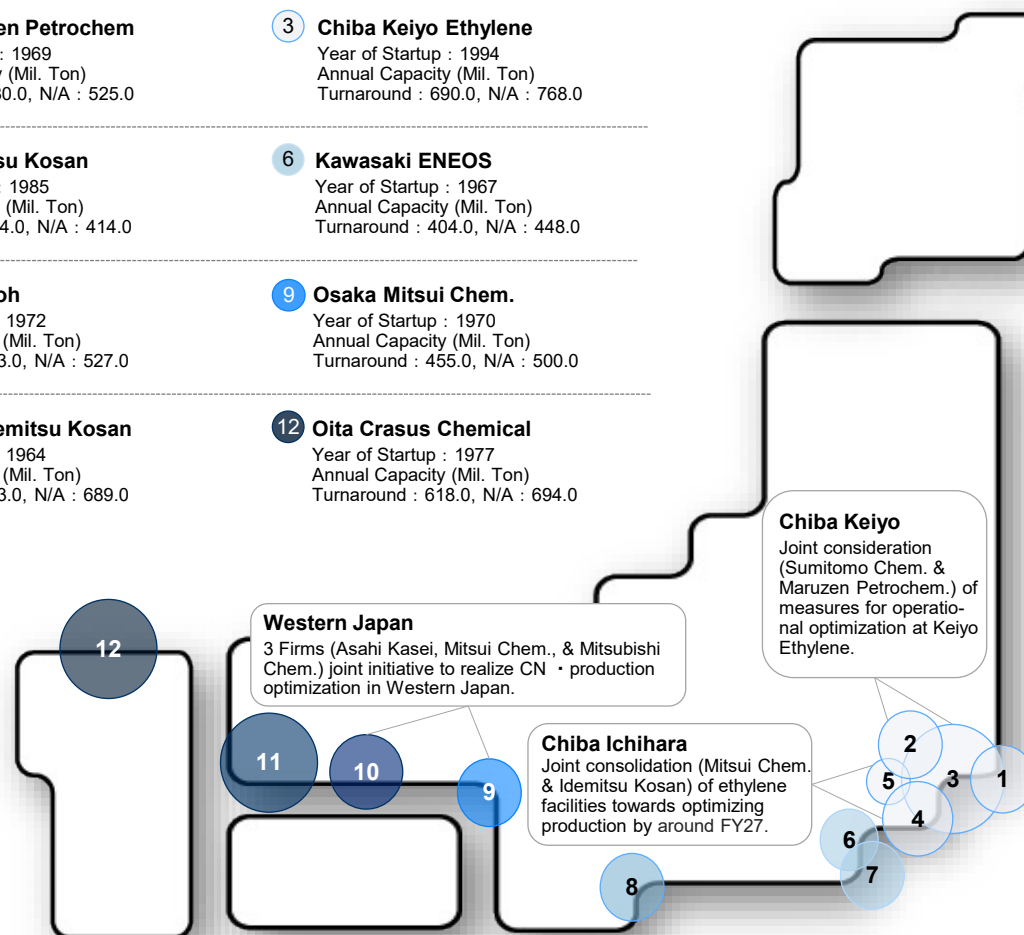
12 Oita Crasus Chemical

Year of Startup : 1977
Annual Capacity (Mil. Ton)
Turnaround : 618.0, N/A : 694.0

Domestic Ethylene op rate (with overhaul impact)



Source: Company data, Chemicals Handbook, Morgan Stanley Research



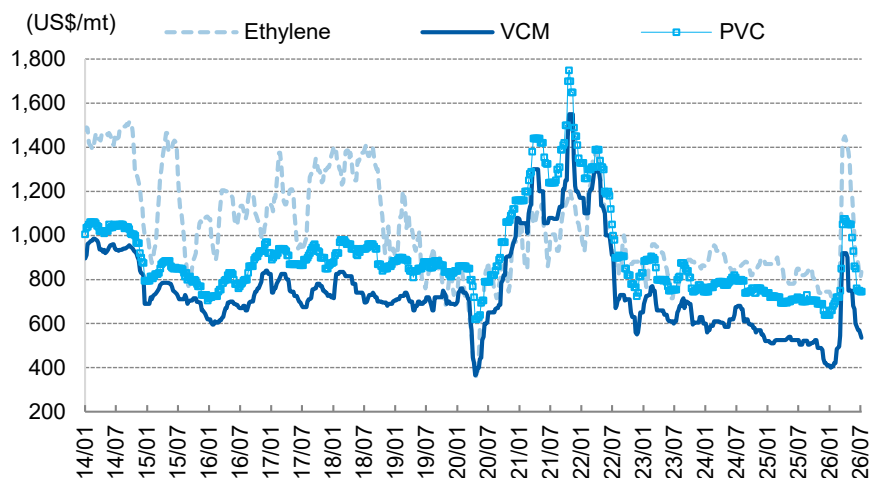
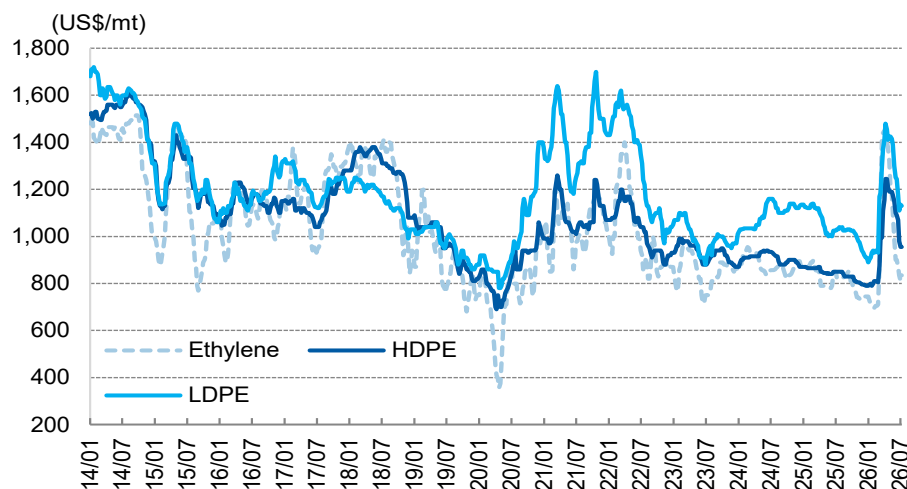
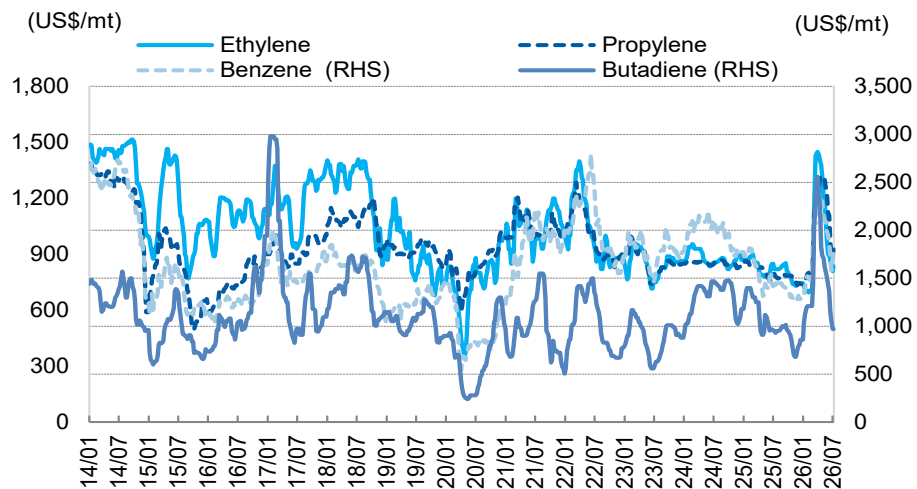
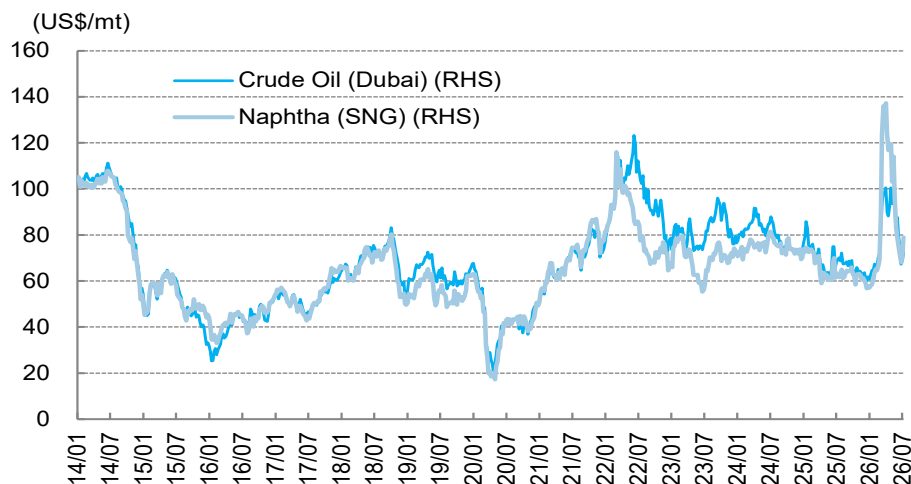
Progress on restructuring at olefin complexes

Region	Company	Year of Annual Capacity (mt)			Major derivatives consuming C2/C3	Progress on structural reforms
		Startup	Turnaround	N/A		
Kashima	Mitsubishi No.1	1971	343,000	392,000	C2: EO, VCM (Kashima VCM), C3: cumene, PP (Japan Polypro)	Closed in May 2014
	Mitsubishi No.2	1992	485,000	564,000		add 50kt at the end of 2013, OCU (C3 150kt) came online in 2009
Chiba	Idemitsu	1985	374,000	414,000	C2: PE (shutdown in 2013), SM, C3: PP	LLP alliance with Mitsui (Chiba)
	Mitsui	1973	553,000	612,000	C2: PE (Prime Polymer), C3: PP (Prime Polymer), Phenol	achieve efficient ops at 70% rate from 7/13 Close the Idemitsu facility as both firms start to utilize Mitsui Chem. facilities by around FY27
	Keiyo Ethylene	1994	690,000	768,000	Maruzen (55%), Sumitomo (22.5%), Mitsui (22.5%)	By the end of 2015, Maruzen no change from 55%, Mitsui 22.5%→0%, Sumitomo 22.5%→45% Joint consolidation (Sumitomo Chem. & Maruzen Petrochem.) of measures for operational optimization at Keiyo Ethylene Plan to shut down Maruzen Petrochemical's own ethylene manufacturing equipment and consolidate production at Keiyo Ethylene by around FY26
	Sumitomo	1970	380,000	415,000	C2: PE, SM, C3: PP, PO SM/PO (Nihon Oxirane 5/15 dissolves)	Permanent shutdown (May 2015), investment ratio of Keiyo Ethylene increased from 22.5% to 45%
	Maruzen	1969	480,000	525,000	C2: PE, SM (Chiba SM), EO, VCM (Keiyo Monomer), C3: PP, Octanol	Plan to shut down Maruzen Petrochemical's own ethylene manufacturing equipment and consolidate production at Keiyo Ethylene by around FY26 (no change on stockholding ratio)
Kawasaki	ENEOS	1971	491,000	540,000	C2: PE (50kt shutdown in 4/14), C3: PP, AN, export	Japan Polyethene HDPE 50kt shut down in 4/14, considering shutting down one of the two facilities
	ENEOS	1967	404,000	448,000	C2: PE (Japan Polyethylene), EO (Nippon Shokubai), C3: PP, IPA, export	Enhance petrochemical exports, considering shutting down one of the two facilities
Yokkaichi	Tosoh	1972	493,000	527,000	C2: PE, EO, VCM, C3: Oxo-alcohol (Kyowa Hakko Chemical), cumene, PP	
Osaka	Mitsui	1970	455,000	500,000	C2: EO, VCM (Kaneka, Tosoh), C3: PP (Prime Polymer), phenol	IPA 60kt (acetone method) came online as part of PH chain consolidation in 4/13 procure cold energy from Osaka Gas and conserve 13k kl/annual in crude oil term 3 firms (Asahi Kasei, Mitsui Chem. & Mitsubishi Chem.) joint initiatives to realize CN - production optimization in Western Japan
Mizushima	Asahi Kasei	1972	443,000	504,000	C2: PE, SM (3/16, shutdown 1 line 320kt), C3: AN	procure residual fraction from JX FCC and obtain 2/3 of energy needed Shutdown in 2016 spring, obtain 50% stake in Mitsubishi's Mizushima ethylene
	Mitsubishi Chemical Asahi Kasei Ethylene	1970	496,000	567,000	C2: PE (Japan Polyethylene), VAM, C3: PP, AN, oxoalchol	obtain 50% stake in Mitsubishi's Mizushima ethylene alliance LLP with Asahi Kasei Mizushima, give out 50% stake to Asahi Kasei 3-firm (Asahi Kasei, Mitsui Chem, Mitsubishi Chem) joint initiative for CN production optimization in Western Japan, moving to establish LLP
Tokuyama	Idemitsu	1964	623,000	689,000		oil refinery shutdown in 3/14; focus more on petrochemical
Oita	Crasus Chemical (Resonac)	1977	618,000	694,000	C2: PE (Japan Polyethylene), SM, export, C3: PP, export	NS Styrene Monomer replaced No.2 SM unit (190kt) commercial production of ethylene-based acetaldehyde kicked off in 2016 Resonac's petrochemical business was spun off as 'Crasus Chemical' in January 2025
Total (2023)			6,162,000	6,848,000		

Note: In red: companies already closed ethylene plants; "export" under major derivatives means high export ratio of C2/C3. In blue: companies already announced structural reforms of ethylene plants

Source: Company data, Chemicals Handbook, Morgan Stanley Research

Asia spot prices for major petchem products (basic materials/intermediates/synthetic resins) on a weekly basis (2014~)



Source: Bloomberg, MoF, Morgan Stanley Research

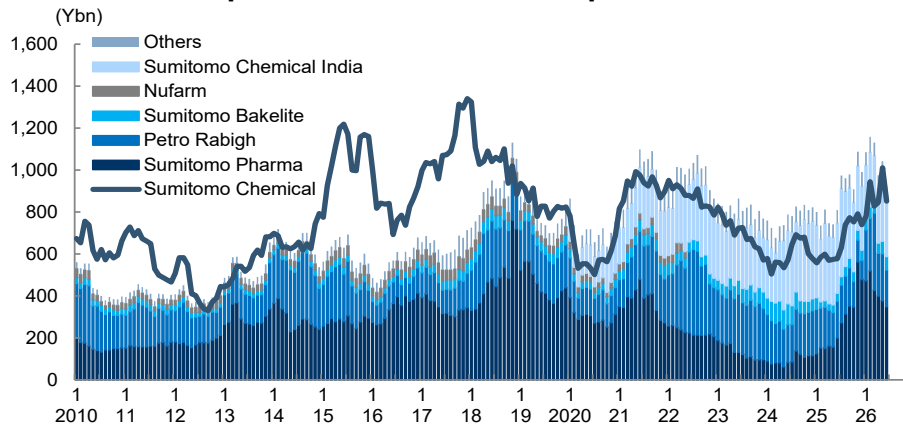
Sumitomo Chemical (4005, Overweight, PT ¥850): Consolidated earnings

	FY3/26					FY3/27Ce (As of May 14)	FY3/27e					FY3/28e	FY3/29e		F3/25 (IFRS)	F3/26 (IFRS)	F3/27e (IFRS)	F3/28e (IFRS)	F3/29e (IFRS)
	1Q	2Q	3Q	4Q	Full	Full	1Q	2Q	3Q	4Q	Full	Full	Full	B/S analysis					
Sales (¥mil)																			
Agro & Life Solutions	96,915	116,056	133,893	172,392	519,256	560,000	106,000	124,000	141,000	182,000	553,000	578,000	606,000	Cash & securities	254,853	256,140	256,211	256,507	256,483
ICT & Mobility Solutions	137,412	146,070	148,303	142,377	574,162	590,000	144,000	150,000	152,000	138,000	584,000	608,000	630,000	Receivables	593,836	608,670	609,071	628,071	634,173
Advanced Medical Solutions	9,086	12,056	14,486	22,973	58,601	60,000	9,500	12,500	15,000	24,000	61,000	63,000	65,000	Inventories	625,243	595,471	589,639	601,064	599,714
Essential & Green Materials	165,379	163,765	181,842	167,814	678,800	560,000	162,000	136,000	146,000	129,000	573,000	552,000	565,000	Other current assets	109,202	47,429	47,429	47,429	47,429
Sumitomo Pharma	107,362	118,709	120,346	105,516	451,933	540,000	110,500	122,000	184,500	127,000	544,000	614,000	600,000	Current assets	1,583,134	1,507,710	1,502,350	1,533,072	1,537,799
Others	9,986	12,598	12,063	11,116	45,763	50,000	10,000	13,000	13,000	14,000	50,000	50,000	50,000	Tangible & intangible fixed asset	1,256,396	1,271,733	1,269,733	1,269,733	1,262,733
Total	526,140	569,254	610,933	622,188	2,328,515	2,360,000	542,000	557,500	651,500	614,000	2,365,000	2,465,000	2,516,000	Inv., loan & others	600,254	625,598	625,598	625,598	625,598
(% YoY)														Total assets	3,439,784	3,405,041	3,397,681	3,428,403	3,426,130
Agro & Life Solutions	-8.9	-2.1	-3.0	-2.7	-3.9	7.8	9.4	6.8	5.3	5.6	6.5	4.5	4.8	Short-term debt	334,256	305,159	280,012	259,296	230,969
ICT & Mobility Solutions	-10.0	-5.6	-3.6	-2.3	-5.4	2.8	4.8	2.7	2.5	-3.1	1.7	4.1	3.6	Payables	488,132	464,422	450,646	455,961	469,388
Advanced Medical Solutions	-31.0	-11.2	3.5	7.3	-5.7	2.4	4.6	3.7	3.5	4.5	4.1	3.3	3.2	Other liabilities	216,359	231,765	231,765	231,765	231,765
Essential & Green Materials	-26.5	-27.5	-18.1	-25.8	-24.5	-17.5	-2.0	-17.0	-19.7	-23.1	-15.6	-3.7	2.4	Current liabilities	1,038,747	1,001,346	962,423	947,022	932,122
Sumitomo Pharma	18.5	32.2	7.1	0.3	13.6	19.5	2.9	2.8	53.3	20.4	20.4	12.9	-2.3	Long-term debt	1,124,393	997,918	915,684	847,940	755,306
Others	-58.9	-52.5	-48.0	-56.9	-54.2	9.3	0.1	3.2	7.8	25.9	9.3	0.0	0.0	Other liabilities	202,229	169,104	169,104	169,104	169,104
Total	-14.0	-9.5	-7.9	-11.3	-10.7	1.4	3.0	-2.1	6.6	-1.3	1.6	4.2	2.1	Total liabilities	2,365,369	2,168,368	2,047,211	1,964,066	1,856,532
Operating profit (¥mil)														Equity	900,790	1,008,644	1,075,441	1,134,808	1,208,569
Agro & Life Solutions	2,219	9,008	16,872	28,235	56,334	65,000	12,500	9,500	17,000	29,000	68,000	70,000	88,000	Minority interest	173,625	228,029	275,029	329,529	361,029
ICT & Mobility Solutions	18,370	14,739	13,419	6,513	53,041	55,000	15,500	15,500	13,000	11,000	55,000	59,000	62,000	Total net asset	1,074,415	1,236,673	1,350,470	1,464,337	1,569,598
Advanced Medical Solutions	-1,024	-356	1,653	2,545	2,818	3,000	-1,000	0	1,500	2,500	3,000	4,000	8,000	Ratio analysis					
Essential & Green Materials	-5,463	-13,147	38,385	-5,329	14,446	20,000	25,000	7,000	3,000	0	35,000	16,000	27,000	Book value/share (¥)	550.4	610.8	651.2	708.6	775.4
Sumitomo Pharma	21,003	76,317	13,924	-2,800	108,444	94,000	9,000	10,000	64,500	22,500	106,000	142,000	96,000	Cash/share (¥)	155.7	155.1	155.1	160.2	164.6
Others	1,751	1,484	1,748	-589	4,394	4,000	-5,000	-5,000	-6,000	-6,000	-22,000	-24,000	-24,000	Equity ratio (%)	26.2	29.6	34.4	36.6	39.4
Elimination and corporate	-9,175	-7,010	-7,883	-7,033	-31,101	-26,000	-5,000	-5,000	-6,000	-6,000	-22,000	-24,000	-24,000	Debt/equity ratio	1.62	1.29	1.11	0.98	0.82
Core OP	27,681	81,035	78,118	21,542	208,376	215,000	56,000	37,000	93,000	59,000	245,000	267,000	257,000	Return on assets	6.1	5.3	7.2	8.4	8.1
Adjustment items	-2,229	-2,802	-1,387	-50,214	-56,632	-38,000	0	-5,000	-10,000	-23,000	-38,000	-15,000	-15,000	(%, business interests basis)					
Total	25,452	78,233	76,731	-28,672	151,744	177,000	56,000	32,000	83,000	36,000	207,000	252,000	242,000	Return on assets	1.1	1.8	2.9	3.8	4.3
(% YoY)														(%, net profit basis)					
Agro & Life Solutions	-55.0	-2.4	215.0	-20.4	2.5	15.4	463.3	5.5	0.8	2.7	20.7	2.9	25.7	Return on capital (%)	4.9	3.9	5.5	6.7	6.6
ICT & Mobility Solutions	-13.2	-34.2	-16.9	-39.9	-24.8	3.7	-15.6	5.2	-3.1	68.9	3.7	7.3	5.1	Return on equity (%)	4.1	6.4	9.5	11.7	12.5
Advanced Medical Solutions	-	-	94.9	-7.9	-28.9	6.5	-	-	-9.3	-1.8	6.5	33.3	100.0	Days of A/R	83.2	95.4	94.0	93.0	92.0
Essential & Green Materials	-	-	-	-	-	38.4	-	-	-92.2	-	142.3	-54.3	68.7	Days of inventory	87.6	93.3	91.0	89.0	87.0
Sumitomo Pharma	2,249.3	3,456.2	-34.8	-	206.9	-13.3	-57.1	-86.9	363.2	-	-2.3	34.0	-32.4	Number of employees	29,279	27,491	27,700	27,900	28,100
Others	-64.5	-89.8	-59.7	-	-93.4	-9.0	-	-	-	-	-	-	-	Shares O/S at EOY (mil)	1,636.7	1,651.4	1,651.4	1,601.4	1,558.6
Core OP	388.2	240.4	155.4	-73.2	48.3	3.2	102.3	-54.3	19.1	173.9	17.6	9.0	-3.7	CF analysis					
Total	121.3	-28.7	217.3	-	-21.4	16.6	120.0	-59.1	8.2	-	36.4	21.7	-4.0	F3/25	(IFRS)	F3/26	F3/27e	F3/28e	F3/29e
(Earnings from equity-method affiliates) (¥mil)	-9,826	-17,513	-15,873	-59	-43,271	-	12,000	15,000	2,000	1,000	30,000	14,000	13,000	(IFRS)	38,591	60,947	99,000	129,000	147,000
PBT (¥mil)	5,817	82,081	56,501	-28,331	116,068	-	54,000	30,000	81,000	32,000	197,000	246,000	238,000	Net profit	131,597	121,069	121,000	120,000	117,000
(% YoY)	-84.5	-	-20.0	-	99.8	-	828.3	-63.5	43.4	-	69.7	24.9	-3.3	Depreciation (+)	-21,964	-3,624	-401	-19,000	-6,101
Attributable to shareholders / NP (¥mil)	-4,523	44,222	47,664	-26,416	60,947	70,000	35,000	20,000	28,500	15,500	99,000	129,000	147,000	Receivables (-)	56,532	38,564	5,832	-11,425	1,350
(% YoY)	-	-	35.8	-	57.9	14.9	-	-54.8	-40.2	-	62.4	30.3	14.0	Inventories (-)	-6,113	-71,947	-13,776	5,315	13,427
EPS (¥)	-2.8	27.0	29.1	-16.2	37.2	42.4	21.2	12.1	17.3	9.4	59.9	79.3	93.0	Payables (+)	34,384	89,750	47,000	54,500	31,500
Naphtha Price (¥/kl, domestic)	65,500	-	-	-	65,200	92,000	120,100	87,600	80,300	80,400	92,100	81,075	81,975	Operating CF	233,027	234,759	258,655	278,390	304,176
Dividends (¥)	-	-	-	-	13.5	16.0	-	-	-	-	24.0	25.0	28.0	Purchase of PPE	-113,649	-117,323	-119,000	-120,000	-110,000
														and intangible assets (-)	198,878	42,502	0	0	0
														Investments, loan and others (-)	85,229	-74,821	-119,000	-120,000	-110,000
														Investment CF	-281,480	-173,389	-107,381	-88,460	-120,961
														Debt (+)	-9,866	-19,680	-32,203	-39,634	-43,238
														Dividends (-)	-9,432	-5,999	0	-30,000	-30,000
														Others	-300,778	-199,068	-139,584	-158,094	-194,200
														Financial CF	318,256	159,938	139,655	158,390	194,176
														Free cash flow					
														DPS (¥)	9.0	13.5	24.0	25.0	28.0

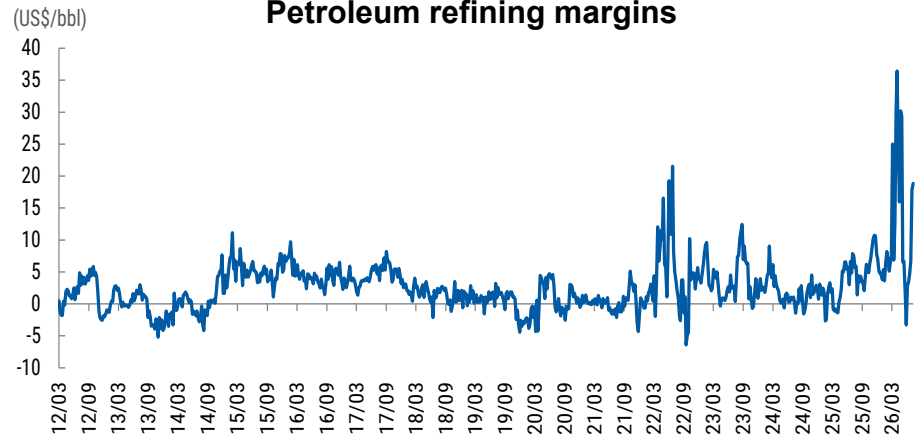
Ce = Company estimates, e = Morgan Stanley Research estimates
Source: Company data, Morgan Stanley Research

Sumitomo Chemical (4005): Market cap vs. total market cap of listed affiliates (adjusted for investment stakes), market-related product data

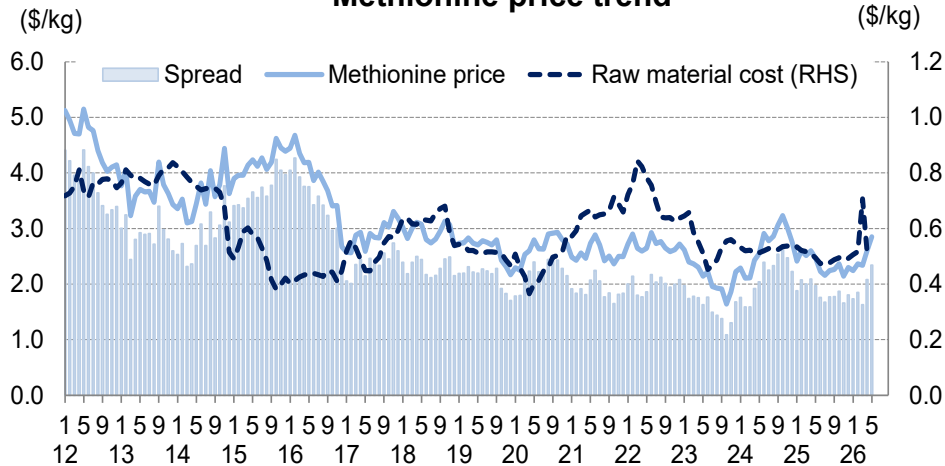
Mkt. cap and combined mkt. cap of sub/affiliates



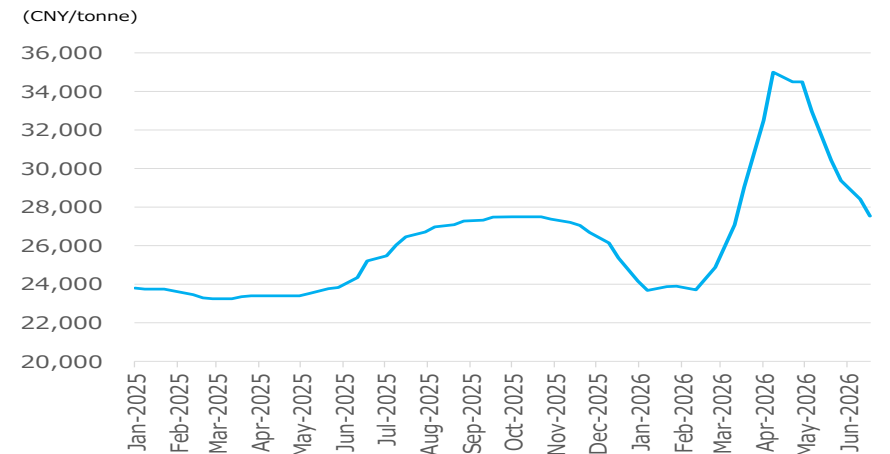
Petroleum refining margins



Methionine price trend



China glyphosate price



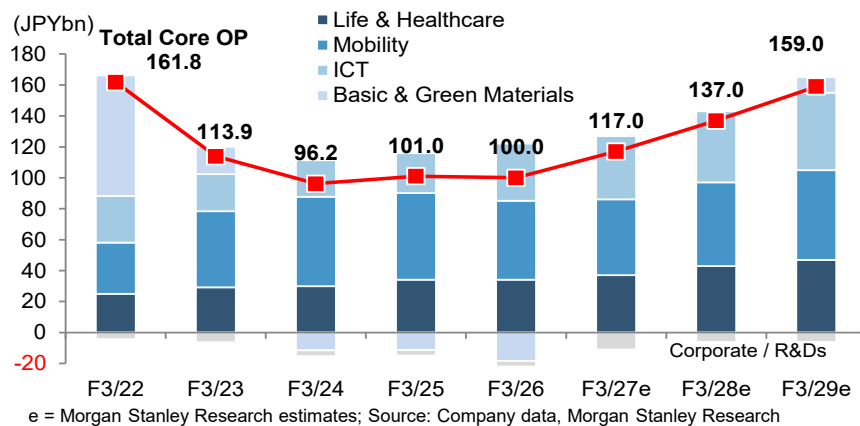
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Ce = Company estimates, e = Morgan Stanley Research estimates, Source: Company data, Morgan Stanley Research

Mitsui Chemicals (4183): Mobility segment

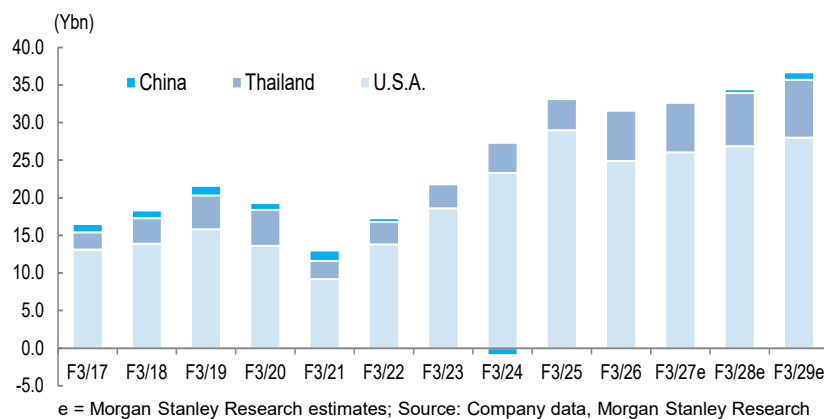
Direction of business earnings portfolio

Ongoing portfolio reform, 3 growth areas generate ¥112bn

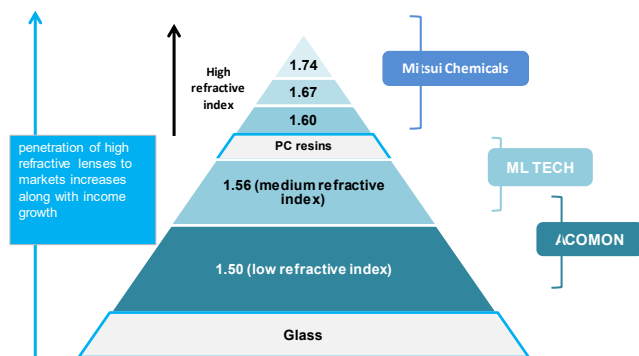


Overseas PP compounds business OP trend

To recover from F3/22 due to auto production recovery



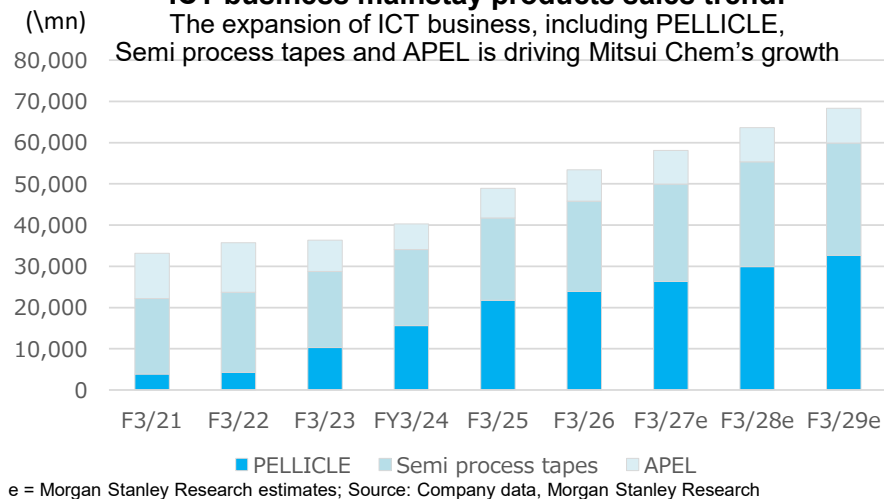
Overview of Mitsui Chemicals' lens materials: Spanning from the volume zone to the high end



Source: Company data, Morgan Stanley Research

ICT business mainstay products sales trend:

The expansion of ICT business, including PELLICLE, Semi process tapes and APEL is driving Mitsui Chem's growth



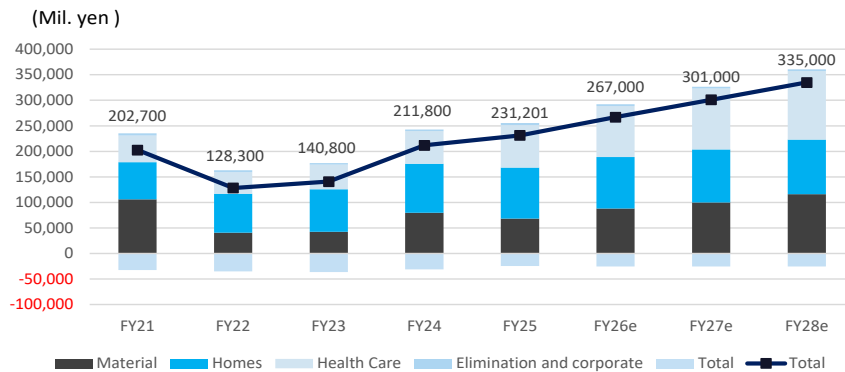
Asahi Kasei (3407, Overweight, PT ¥2,200): Consolidated earnings

	FY3/26						FY3/27Ce (as of May 12)						FY3/27e					FY3/28e		FY3/29e		B/S analysis	F3/25	F3/26	F3/27e	F3/28e	F3/29e
	1Q	2Q	3Q	4Q	Full	Full*	Full	1Q	2Q	3Q	4Q	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Cash & securities	393,467	377,023	377,077	372,411	368,010
Sales (¥mil)																						Receivables	491,414	513,807	547,137	554,943	571,184
Healthcare segment	155,126	151,700	176,145	181,201	664,146	664,146	749,000	182,500	180,500	197,500	202,500	763,000	816,000	859,000								Inventories	719,330	793,725	841,074	850,934	873,597
Pharmaceuticals & Life Science	65,600	62,000	69,400	62,900	259,900	259,900	309,000	76,500	76,500	81,500	75,500	310,000	341,000	363,000								Other current assets	165,237	180,802	180,802	180,802	180,802
Critical Care	89,600	89,600	106,700	118,300	404,200	404,200	440,000	106,000	104,000	116,000	127,000	453,000	475,000	496,000								Current assets	1,769,448	1,865,357	1,946,089	1,959,090	1,993,592
Homes segment	258,908	267,600	265,890	285,004	1,077,394	1,077,394	1,173,000	275,500	289,000	289,500	309,000	1,163,000	1,221,000	1,259,000								Tangible & intangible fixed assets	1,851,164	1,878,946	1,914,946	1,939,946	1,967,946
Housing	248,000	257,100	253,600	275,600	1,034,300	1,034,300	1,126,000	264,500	277,000	277,000	297,499	1,116,000	1,173,000	1,210,000								Inv., loan & others	394,602	393,640	536,740	536,740	536,740
Construction Materials	10,900	10,400	12,400	9,400	43,100	43,100	47,000	11,000	12,000	12,500	11,500	47,000	48,000	49,000								Total assets	4,015,214	4,137,943	4,397,775	4,435,776	4,498,278
Material segment	316,576	321,400	328,276	339,964	1,306,240	1,306,240	1,301,000	343,600	341,500	327,000	332,000	1,344,000	1,308,000	1,356,000								Short-term debt	318,298	139,259	148,592	141,918	132,597
Electronics	38,100	41,500	41,200	44,500	165,300	164,000	188,000	42,500	45,500	48,000	52,000	188,000	209,000	228,000								Payables	193,583	195,002	207,942	210,018	215,776
Car Interior	39,000	40,200	42,400	44,100	165,700	165,700	168,000	40,000	41,000	43,000	45,000	169,000	173,000	178,000								Other liabilities	452,727	458,882	561,446	555,572	575,713
Energy & Infrastructure	30,000	33,100	32,300	32,500	127,900	127,900	110,000	24,000	26,000	27,000	33,000	110,000	115,000	119,000								Current liabilities	964,608	793,143	917,979	907,508	924,086
Comfort Life	60,800	64,000	68,700	70,100	263,600	263,600	230,000	61,000	64,000	52,000	53,000	230,000	211,000	217,000								Long-term debt	876,747	871,962	930,397	888,614	830,249
Performance Chemical	55,700	56,700	54,300	55,700	222,400	222,400	229,000	60,000	60,000	57,000	58,000	235,000	241,000	249,000								Other liabilities	259,916	307,191	307,191	307,191	307,191
Essential Chemical	91,500	84,500	88,100	91,500	355,600	355,600	368,000	114,000	103,000	98,000	89,000	404,000	351,000	356,000								Total liabilities	2,101,271	1,972,296	2,155,567	2,103,913	2,061,526
Others in Material	1,400	1,500	1,200	1,600	5,700	7,000	8,000	2,000	2,000	2,000	2,000	8,000	8,000	8,000								Equity	1,366,768	1,468,278	1,538,839	1,623,093	1,721,383
Others	7,710	7,500	4,400	7,073	26,725	26,725	31,000	8,000	9,000	6,000	7,500	31,000	31,000	31,000								Minority interest	54,524	77,189	83,189	89,189	95,189
Total	738,321	748,047	774,895	813,242	3,074,505	3,074,505	3,254,000	810,000	820,000	820,000	851,000	3,301,000	3,376,000	3,504,000								Total net asset	1,913,944	2,165,647	2,242,208	2,332,462	2,436,752
(% YoY)																						Ratio analysis					
Healthcare segment	6.4	3.2	8.6	12.6	7.8	7.8	12.8	17.6	19.0	12.1	11.8	14.9	6.9	5.3								Book value/share (¥)	1,369.2	1,539.7	1,617.5	1,712.3	1,820.0
Pharmaceuticals & Life Science	16.5	8.4	-2.0	3.3	6.0	6.0	18.9	16.6	23.4	17.4	20.0	19.3	10.0	6.5								Cash/share (¥)	289.7	278.0	282.5	284.3	286.0
Critical Care	0.2	-0.2	16.7	18.2	9.0	9.0	8.9	18.3	16.1	8.7	7.4	12.1	4.9	4.4								Equity ratio (%)	46.3	50.5	50.0	51.6	53.2
Homes segment	9.5	-0.4	0.6	7.0	4.0	4.0	8.9	6.4	8.0	8.9	8.4	7.9	6.0	3.1								Debt/equity ratio	0.64	0.48	0.50	0.46	0.41
Housing	9.5	-0.3	0.2	7.5	4.1	4.1	8.9	6.7	7.7	9.2	7.9	7.9	5.1	3.2								Return on assets (% business interests basis)	5.61	5.94	6.32	7.03	7.69
Construction Materials	7.9	-3.7	0.7	-6.9	1.9	1.9	9.0	0.9	15.4	0.8	22.3	9.0	2.1	2.1								Return on assets (% net profit basis)	3.36	3.84	3.87	4.46	4.89
Material segment	-9.7	-4.1	-2.9	-1.5	-4.6	-4.6	-0.4	8.5	6.3	-0.4	-2.3	2.9	-2.7	3.6								Return on capital (%)	4.2	4.5	4.9	5.5	6.1
Electronics	6.7	12.8	9.3	21.9	12.7	-	14.6	11.5	9.6	16.5	16.9	14.6	11.2	9.1								Return on equity (%)	7.4	8.0	8.0	9.0	9.6
Car Interior	-1.3	5.0	0.5	12.2	4.0	4.0	1.4	2.6	2.0	1.4	2.0	2.4	2.4	2.8								Days of A/R	59.1	61.0	60.5	60.0	59.5
Energy & Infrastructure	-18.9	-0.3	0.8	-9.5	-7.5	-7.5	-14.0	-20.0	-21.5	-16.4	1.5	-14.0	4.5	3.5								Days of inventory	86.4	94.2	93.0	92.0	91.0
Comfort Life	-4.6	-3.2	1.0	1.2	-1.3	-1.3	-12.7	0.3	0.0	-24.3	-24.4	-12.7	-8.3	2.9								Number of employees	50,352	47,895	48,000	48,500	49,000
Performance Chemical	-13.9	-8.1	-9.0	-9.1	-10.1	-10.1	3.0	7.7	5.8	5.0	4.1	5.7	2.6	3.3								Shares O/S at EOY (mil)	1,358.1	1,356.4	1,334.8	1,310.1	1,286.6
Essential Chemical	-16.0	-13.9	-8.7	-9.2	-12.0	-12.0	3.5	24.6	21.9	11.2	-2.7	13.6	-13.1	1.4								CF analysis	F3/25	F3/26	F3/27e	F3/28e	F3/29e
Others in Material	55.6	36.4	-29.4	-26.0	0.0	-	14.3	42.9	33.3	66.7	25.0	14.3	0.0	0.0								Net profit	134,996	158,793	170,000	198,000	220,000
Others	144.2	114.3	-3.5	28.1	59.3	59.3	16.0	10.2	20.0	36.4	6.0	16.0	0.0	0.0								Depreciation (+)	186,106	196,344	218,000	215,000	212,000
Total	0.3	-0.8	0.8	4.5	1.2	1.2	5.8	9.7	9.6	5.8	4.6	7.4	2.3	3.8								Receivables (-)	2,816	-12,377	-33,330	-7,806	-16,240
Operating profit (¥mil)																						Inventories (-)	-32,068	-76,553	-47,349	-9,860	-22,663
Healthcare segment	22,654	17,400	25,819	17,533	83,452	83,452	90,000	30,000	21,500	28,000	20,500	100,000	119,000	134,000								Payables (+)	-26,732	-6,461	12,940	2,077	5,758
Pharmaceuticals & Life Science	16,200	12,400	15,000	3,700	47,300	47,300	44,400	18,000	10,500	14,000	5,500	48,000	58,000	67,000								Others	36,371	43,358	108,564	125	26,142
Critical Care	6,400	5,100	10,900	13,700	36,100	36,100	46,000	12,000	11,000	15,000	52,000	61,000	67,000	67,000								Operating CF	301,489	303,104	428,825	397,535	424,996
Homes segment	22,353	24,200	26,437	26,744	99,781	99,781	101,300	21,000	24,900	27,000	28,100	101,000	104,000	107,000								purchase of PPE and intangible assets (-)	-217,216	-205,336	-254,000	-240,000	-240,000
Housing	21,000	22,800	24,400	26,300	94,500	94,500	95,000	19,500	23,500	25,500	26,500	95,000	98,000	101,000								Investments, loan and others (-)	-163,934	98,463	-143,100	0	0
Construction Materials	1,400	1,300	2,200	400	5,300	5,300	6,300	1,500	1,500	1,500	1,500	6,000	6,000	6,000								Investment CF	-181,150	-106,873	-397,100	-240,000	-240,000
Material segment	14,905	16,100	19,076	18,245	68,321	68,321	81,000	25,000	19,000	20,000	24,000	88,000	100,000	116,000								Debt (+)	211,519	-204,556	67,767	-48,456	-67,686
Electronics	5,100	7,000	7,300	8,800	28,200	29,600	34,100	7,000	8,500	10,000	13,500	39,000	48,000	54,500								Dividends (-)	-49,962	-54,386	-59,439	-63,746	-71,711
Car Interior	2,100	2,100	2,100	2,800	9,100	9,100	11,000	1,500	2,000	2,500	3,000	9,000	11,000	13,000								Others	-16,990	13,588	-40,000	-50,000	-50,000
Energy & Infrastructure	1,300	-1,100	-1,400	1,700	500	500	-2,700	0	-1,500	-2,000	500	-3,000	0	3,000								Financial CF	144,567	-245,354	-31,671	-162,202	-189,397
Comfort Life	4,100	4,100	5,900	3,100	17,200	17,200	17,200	4,200	4,300	5,500	2,500	16,500	17,000	18,000								Free cash flow	-79,661	196,231	31,725	157,535	184,996
Performance Chemical	-700	3,500	300																								

Asahi Kasei (3407): Evolving portfolio drives continued record profits beyond FY25

Portfolio Transformation (OP)

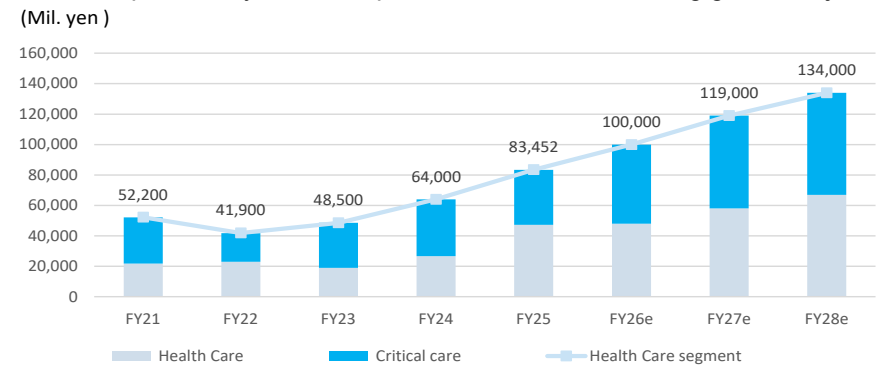
Driven by growth in the healthcare business backed by structural reforms and acquisition strategies in commodity-based chemical products



e = Morgan Stanley Research estimates; Source: Company data, Morgan Stanley Research

Health Care Business OP

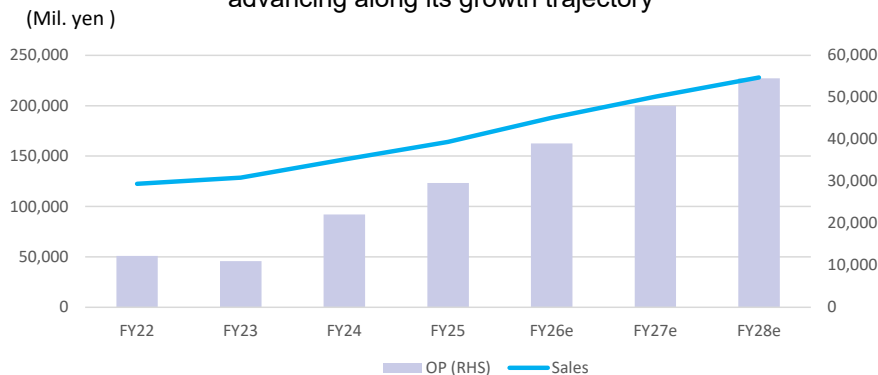
Backed by an acquisition-driven strategy, the business has been expanding in scale and profitability, and is expected to continue its strong growth trajectory



e = Morgan Stanley Research estimates; Source: Company data, Morgan Stanley Research

Electronics Business Performance

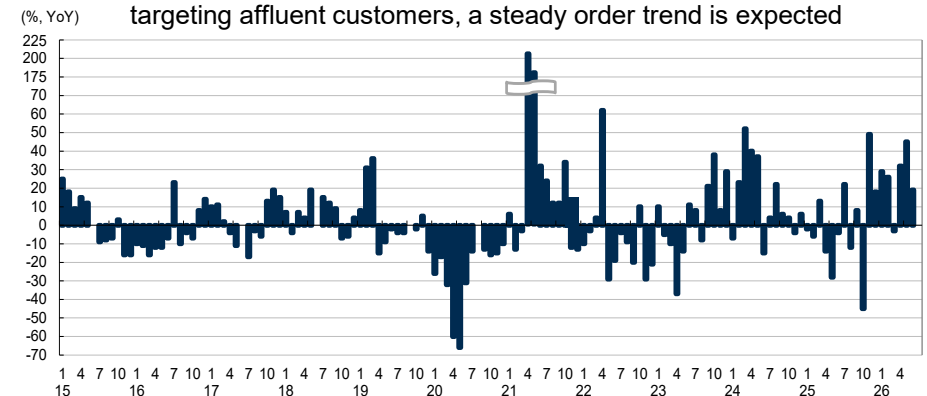
As a strategic growth area, we expect the business is steadily advancing along its growth trajectory



e = Morgan Stanley Research estimates; Source: Company data, Morgan Stanley Research

Asahi Kasei Homes' housing orders (value, monthly, YoY)

Driven by strong demand for large-scale, high value-added condominiums targeting affluent customers, a steady order trend is expected



Source: Company data, Morgan Stanley Research

Mitsubishi Chemical Group (4188, Equal-weight, PT ¥1,250): Consolidated earnings

	FY3/26*					FY3/27Ce (as of May 13)			FY3/27e					FY3/28e	FY3/29e	B/S analysis	F3/25 IFRS	F3/26 IFRS	F3/27e IFRS	F3/28e IFRS	F3/29e IFRS
	1Q	2Q	3Q	4Q	Full	1H	2H	Full	1Q	2Q	3Q	4Q	Full	Full	Full						
Sales (¥mil)																					
Specialty Materials	285,900	293,000	295,100	303,800	1,177,800	606,000	631,000	1,237,000	302,000	309,000	310,500	316,500	1,238,000	1,281,000	1,317,000	Cash & securities	392,247	621,608	613,514	613,531	613,152
Industrial Gases	313,022	334,010	345,237	360,229	1,352,498	684,000	688,000	1,372,000	345,000	359,000	361,000	374,000	1,439,000	1,481,000	1,508,000	Receivables	764,814	671,912	719,294	702,628	699,286
MMA & Derivatives	89,600	85,100	83,900	86,100	344,700	176,000	173,000	349,000	101,000	96,500	92,000	89,500	379,000	360,000	367,000	Inventories	759,423	669,126	719,244	702,579	699,236
Basic Materials	165,400	166,100	178,400	169,800	679,700	329,000	354,000	683,000	268,000	195,000	179,000	182,000	824,000	695,000	637,000	Other current assets	145,076	132,601	132,601	132,601	132,601
Others	26,647	40,325	35,523	46,734	149,229	66,000	93,000	159,000	28,000	41,000	37,000	53,000	159,000	159,000	159,000	Current assets	2,061,560	2,095,247	2,184,654	2,151,340	2,144,275
Total	880,652	918,472	938,159	966,705	3,703,988	1,861,000	1,939,000	3,800,000	1,044,000	1,000,500	979,500	1,015,000	4,039,000	3,976,000	3,988,000	Tangible & intangible fixed assets	3,274,090	3,365,318	3,425,018	3,455,018	3,490,018
(%YoY)																Inv., loan & others	558,969	416,044	416,044	416,044	416,044
Specialty Materials	-5.7	-0.6	-0.6	3.0	-1.1	4.7	5.4	5.0	5.6	5.5	5.2	4.2	5.1	3.5	2.8	Total assets	5,894,619	5,876,609	6,025,716	6,022,402	6,050,337
Industrial Gases	-4.4	7.1	5.8	7.4	3.9	5.7	-2.5	1.4	10.2	7.5	4.6	3.8	6.4	2.9	1.8	Short-term debt	428,067	387,064	386,967	361,785	338,596
Pharma	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	Payables	424,635	383,664	414,719	404,373	401,750
MMA & Derivatives	-18.5	-22.7	-11.1	-9.1	-15.7	0.7	1.8	1.2	12.7	13.4	9.7	3.9	10.0	-5.0	1.9	Other liabilities	647,456	630,173	630,173	630,173	630,173
Basic Materials	-29.8	-26.8	-16.2	-2.1	-19.9	-0.8	1.7	0.5	62.0	17.4	0.3	7.2	21.2	-15.7	-8.3	Current liabilities	1,500,158	1,400,901	1,431,859	1,396,330	1,370,519
Others	-14.4	5.2	-3.8	-27.7	-12.8	-1.5	13.1	6.5	5.1	1.7	4.2	13.4	6.5	0.0	0.0	Long-term debt	1,612,920	1,503,457	1,503,080	1,405,265	1,315,195
Total	-13.4	-7.5	-3.6	0.2	-6.2	3.4	1.8	2.6	18.5	8.9	4.4	5.0	9.0	-1.6	0.3	Other liabilities	496,972	557,571	557,571	557,571	557,571
Operating profit (¥mil)																Total liabilities	3,610,050	3,461,929	3,492,510	3,359,166	3,243,285
Specialty Materials	17,400	22,300	14,700	-9,500	44,900	38,000	52,000	90,000	18,000	21,000	22,500	23,500	85,000	98,000	108,000	Equity attributable to shareholders	1,740,570	1,761,675	1,807,201	1,864,230	1,933,547
Industrial Gases	45,009	48,028	51,378	56,291	200,706	101,000	104,000	205,000	51,500	53,000	51,500	52,000	208,000	216,000	221,000	Non-controlling interests	543,999	653,005	726,005	799,005	873,505
MMA & Derivatives	3,600	100	-2,600	-3,100	-2,000	5,000	6,000	11,000	2,000	-1,000	-1,500	-1,500	-2,000	-500	6,000	Total equity	2,284,569	2,414,680	2,533,206	2,663,235	2,807,052
Basic Materials	-6,700	-1,800	-3,300	-4,600	-16,400	-6,000	1,000	-5,000	10,000	-2,000	-2,500	-500	5,000	4,000	12,000	Ratio analysis					
Others	280	4,551	2,866	5,808	13,505	1,000	3,000	4,000	1,500	4,500	2,500	5,000	13,500	14,000	13,500	Book value/share (¥)	1,223.0	1,296.7	1,356.3	1,425.8	1,506.5
Eliminations & corporate	-3,114	-3,568	-3,674	-5,465	-15,821	1,000	3,000	4,000	-2,000	-1,500	-3,000	-3,000	-9,500	-9,500	-9,500	Cash/share (¥)	275.6	457.6	460.4	469.3	477.7
Core operating profit	56,562	69,548	59,512	39,380	225,002	139,000	166,000	305,000	81,000	74,000	69,500	75,500	300,000	322,000	351,000	Equity ratio (%)	29.5	30.0	34.1	35.7	37.4
Special items	4,346	-43,967	-32,679	-122,624	-194,924	4,000	-9,000	-5,000	0	4,000	0	-9,000	-5,000	-5,000	-5,000	Debt/equity ratio	1.17	1.07	1.05	0.95	0.86
Total	60,908	25,581	26,833	-83,244	30,078	143,000	157,000	300,000	81,000	78,000	69,500	66,500	295,000	317,000	346,000	Return on assets (% business interests basis)	3.5	0.7	5.0	5.4	5.9
(%YoY)																Return on assets (% net profit basis)	0.8	0.2	2.0	2.2	2.5
Specialty Materials	27.8	48.3	30.1	-	35.3	-4.3	900.0	100.4	3.4	-5.8	53.1	-	89.3	15.3	10.2	Return on capital (%)	3.1	0.5	4.8	5.2	5.8
Industrial Gases	-5.1	8.1	12.7	15.8	7.9	8.6	-3.4	2.1	14.4	10.4	0.2	-7.6	3.6	3.8	2.3	Return on equity (%)	2.6	0.7	6.7	7.1	7.8
Pharma	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	Days of A/R	63.3	66.2	65.0	64.5	64.0
MMA & Derivatives	-64.2	-98.3	-	-	-	35.1	-	-	-44.4	-	-	-	-	-	-	Days of inventory	62.9	65.9	65.0	64.5	64.0
Basic Materials	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	Number of employees	63,258	56,678	56,500	56,600	56,800
Others	-92.8	-	-1.3	7.1	12.8	-79.3	-65.4	-70.4	435.7	-1.1	-12.8	-13.9	0.0	3.7	-3.6	Shares O/S at EOY (mil)	1,423.2	1,358.5	1,332.5	1,307.5	1,283.5
Core operating profit	-11.1	5.7	-2.0	2.0	-1.7	10.3	67.9	35.6	43.2	6.4	16.8	91.7	33.3	7.3	9.0	CF analysis					
Total	-9.3	-36.8	-29.4	-	-78.8	65.2	-	897.4	33.0	204.9	159.0	-	880.8	7.5	9.1	F3/25 IFRS	F3/26 IFRS	F3/27e IFRS	F3/28e IFRS	F3/29e IFRS	
Income before Taxes (¥mil)	50,158	18,577	20,605	-88,629	711	129,000	141,000	270,000	74,000	69,000	60,000	60,000	263,000	286,000	314,000	Attributable to shareholders / NP	45,020	11,829	119,000	131,000	149,000
(%YoY)	-14.5	-20.1	-42.0	-	-99.3	87.7	-	-	47.5	271.4	191.2	-	-	8.7	9.8	Depreciation (+)	275,933	267,786	279,400	270,000	265,000
Net income attributable to owners of the parent (¥mil)	19,627	90,505	-4,703	-93,600	11,829	59,000	68,000	127,000	36,000	33,000	25,000	25,000	119,000	131,000	149,000	Receivables (-)	53,118	955	-47,382	16,666	3,342
(%YoY)	-50.5	7,032.0	-	-	-73.8	-46.5	-	973.5	83.4	-63.5	-	-	906.0	10.1	13.7	Inventories (-)	13,436	-445	-50,118	16,665	3,343
EPS (¥)	14.0	65.7	-3.0	-68.1	8.6	43.4	50.1	93.5	26.5	24.3	18.6	19.1	88.4	99.2	115.0	Payables (+)	-22,457	-17,224	31,055	-10,346	-2,623
Naphtha Price (¥/kl, domestic)	66,300	63,200	65,600	-	65,200	63,000	63,000	63,000	120,100	87,600	80,300	80,400	92,100	81,075	81,975	Others	187,797	173,386	73,000	73,000	74,500
Dividends (¥)	-	-	-	-	32.0	16.0	16.0	32.0	-	-	-	-	32.0	35.0	40.0	Operating CF	552,847	436,287	404,954	496,985	492,562
																Purchase of PPE and intangible assets (-)	-303,914	-284,192	-339,100	-300,000	-300,000
																Investments, loan and others (-)	28,480	408,662	0	0	0
																Investment CF	-275,434	124,470	-339,100	-300,000	-300,000
																Debt (+)	-182,852	-250,697	-474	-122,997	-113,258
																Dividends (-)	-45,533	-44,508	-43,474	-43,971	-49,683
																Others	-18,269	-80,002	-30,000	-30,000	-30,000
																Financial CF	-246,654	-375,207	-73,948	-196,968	-192,942
																Free cash flow	277,413	560,757	65,854	196,985	192,562
																DPS (¥)	32.0	32.0	32.0	35.0	40.0

* = Segment reporting was revised in F26, with Basic Materials & Polymers renamed to Basic Materials. Figures shown reflect the revised segment classification.

Ce = Company estimates, e = Morgan Stanley Research estimates

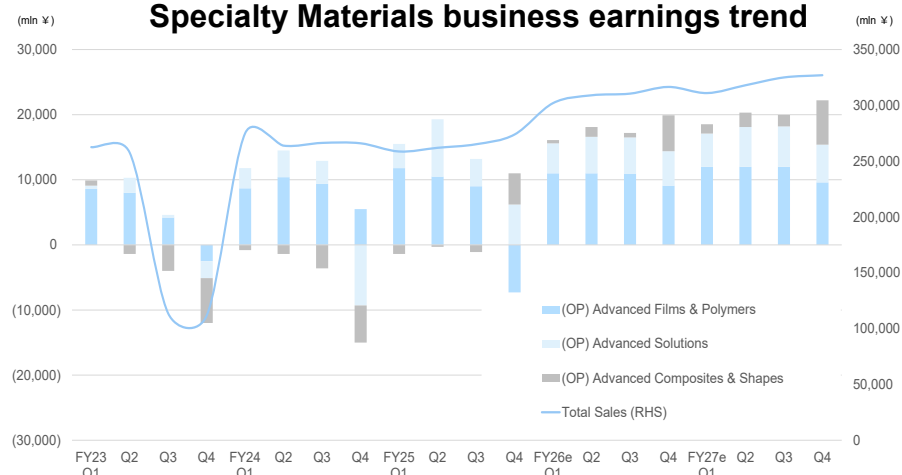
Source: Company data, Morgan Stanley Research

Mitsubishi Chemical Group (4188): Await Growth Drivers Following Structural Reforms

The stock does not appear undervalued from a relative industry basis, so our rating is EW....

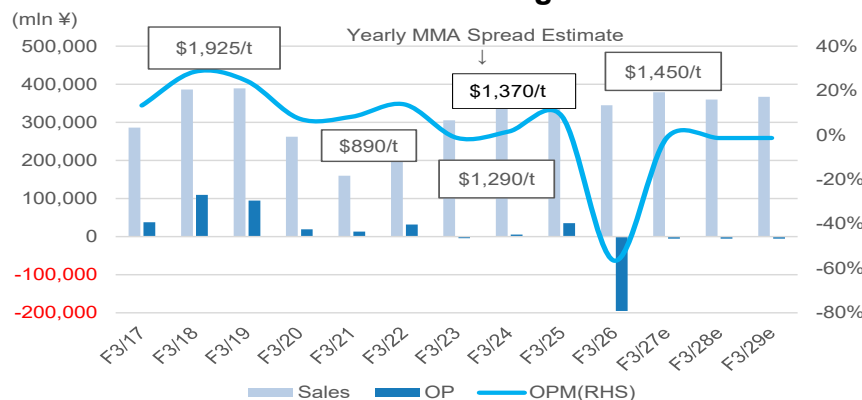
- Commendable restructuring of domestic petrochemical business based on business environment assessment and portfolio management.
- However, the revenue scale of semiconductor materials, which have growth expectations, is small, resulting in an earnings structure that lacks growth drivers.
- In the petchem business, MMA-related market conditions and spreads are expected to continue to stagnate due to capacity expansion by Chinese companies and weak demand.
- We look for the firm to create growth drivers by channeling the ~¥510bn from the pharma subsidiary sale into growth investments.

Specialty Materials business earnings trend



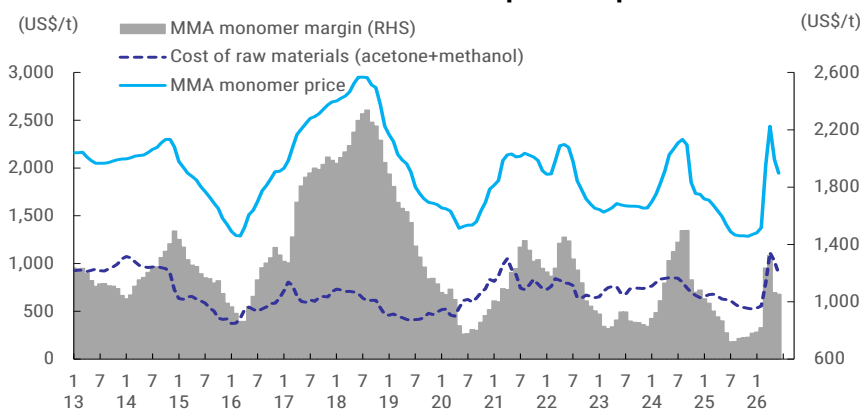
Source: Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates

MMA business earnings trend



Source: Company data, Morgan Stanley Research e = Morgan Stanley Research estimates

MMA monomer: Asian prices/spreads



Source: ICIS, industry data, Morgan Stanley Research

Tosoh (4042, Equal-weight, PT ¥2,900): Consolidated earnings

	FY3/26					FY3/27e					FY3/28e	FY3/29e
	1Q	2Q	3Q	4Q	Full	1Q	2Q	3Q	4Q	Full	Full	Full
Sales												
(¥mil)												
Petrochemical	45,093	44,562	43,376	36,709	169,740	49,000	57,000	52,500	49,500	208,000	201,000	190,000
Chlor-alkali	82,077	84,011	87,701	92,178	345,967	90,000	88,000	92,000	92,000	362,000	355,000	365,000
Speciality	67,730	67,377	67,499	70,252	272,858	71,500	70,500	70,500	72,500	285,000	293,000	301,000
Engineering	39,094	46,749	46,959	53,610	186,412	42,500	50,500	54,000	62,000	209,000	220,000	230,000
Others	11,131	11,312	11,406	11,089	44,938	11,500	11,500	11,500	11,500	46,000	46,000	46,000
Total	245,128	254,011	256,939	263,839	1,019,917	264,500	277,500	280,500	287,500	1,110,000	1,115,000	1,132,000
(%YoY)												
Petrochemical	-10.8	-19.9	-18.1	-19.6	-17.1	8.7	27.9	21.0	34.8	22.5	-3.4	-5.5
Chlor-alkali	-10.5	-10.2	-6.3	-2.6	-7.4	9.7	4.7	4.9	-0.2	4.6	-1.9	2.8
Speciality	1.9	-3.7	1.0	4.5	0.9	5.6	4.6	4.4	3.2	4.4	2.8	2.7
Engineering	18.9	6.1	9.2	8.6	10.1	8.7	8.0	15.0	15.7	12.1	5.3	4.5
Others	-1.2	-2.1	-3.2	2.6	-1.0	3.3	1.7	0.8	3.7	2.4	0.0	0.0
Total	-3.1	-7.6	-4.2	-1.4	-4.1	7.9	9.2	9.2	9.0	8.8	0.5	1.5
Operating profit												
(¥mil)												
Petrochemical	46	4,099	3,960	1,611	9,716	8,000	4,000	0	0	12,000	10,500	12,000
Chlor-alkali	-1,886	1,571	411	1,819	1,915	1,000	1,500	1,000	500	4,000	3,500	6,500
Speciality	9,503	11,185	10,442	8,803	39,933	10,500	11,500	12,000	9,000	43,000	46,000	48,500
Engineering	7,555	10,918	9,327	12,583	40,383	8,000	11,500	10,500	13,000	43,000	45,000	47,000
Others	858	893	1,010	822	3,583	1,000	1,000	1,000	1,000	4,000	4,000	4,000
Total	16,078	28,664	25,152	25,638	95,532	28,500	29,500	24,500	23,500	106,000	109,000	118,000
(%YoY)												
Petrochemical	-98.6	3.3	-23.1	-13.4	-32.0	17,291.3	-2.4	-	-	23.5	-12.5	14.3
Chlor-alkali	-	-52.0	-85.3	-14.9	-79.8	-	-4.5	143.4	-72.5	108.9	-12.5	85.7
Speciality	-5.2	-2.7	7.2	19.5	3.4	10.5	2.8	14.9	2.2	7.7	7.0	5.4
Engineering	62.1	37.9	6.2	2.5	20.1	5.9	5.3	12.6	3.3	6.5	4.7	4.4
Others	50.0	-2.1	35.9	24.4	24.1	16.6	12.0	-1.0	21.7	11.6	0.0	0.0
Total	-18.9	4.0	-7.6	5.5	-3.4	77.3	2.9	-2.6	-8.3	11.0	2.8	8.3
Recurring profit												
(¥mil)												
Petrochemical	14,082	31,659	31,238	29,773	106,752	29,500	30,000	25,000	23,500	108,000	112,000	122,000
(% YoY)	-48.5	78.4	-16.6	45.5	3.6	109.5	-5.2	-20.0	-21.1	1.2	3.7	8.9
Net profit												
(¥mil)												
Petrochemical	6,529	848	17,252	16,986	41,615	18,500	16,501	13,500	10,999	59,500	62,000	69,000
(% YoY)	-59.8	-90.3	-26.8	79.2	-28.3	183.3	1,845.8	-21.7	-35.2	43.0	4.2	11.3
EPS (¥)	20.5	2.7	54.7	54.5	132.4	60.4	53.9	44.6	37.6	196.6	210.8	240.0
Naphtha Price												
(¥/kl, domestic)	65,300	-	-	-	65,225	120,100	87,600	80,300	80,400	92,100	81,075	81,975
Dividends (¥)	-	-	-	-	100.0	-	-	-	-	100.0	100.0	100.0

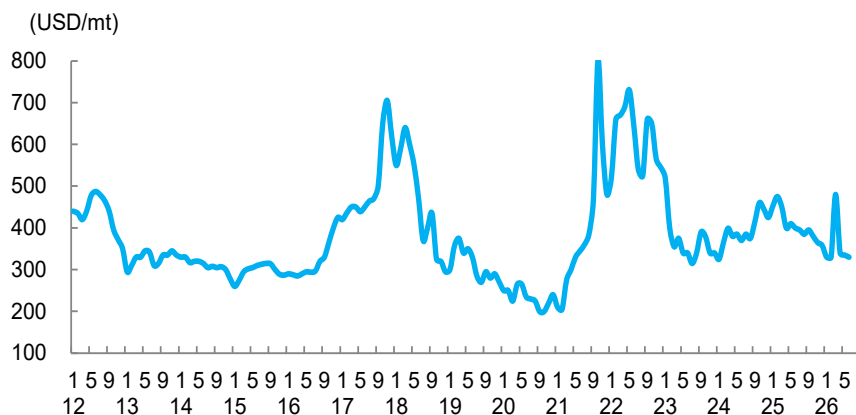
B/S analysis	F3/25	F3/26	F3/27e	F3/28e	F3/29e
Cash & securities	141,548	179,616	140,597	140,780	140,710
Receivables	258,721	256,413	276,749	276,468	279,133
Inventories	247,823	243,451	261,548	259,671	260,529
Other current assets	106,291	118,586	118,586	118,586	118,586
Current assets	754,383	798,066	797,480	795,505	798,958
Tangible & intangible fixed assets	431,718	438,274	469,274	499,274	525,274
Inv., loan & others	141,197	172,610	173,556	173,556	173,556
Total assets	1,327,298	1,408,950	1,440,310	1,468,335	1,497,788
Short-term debt	133,005	144,678	144,892	143,468	136,905
Payables	117,523	108,852	118,466	119,000	120,814
Other liabilities	82,965	100,993	100,993	100,993	100,993
Current liabilities	333,493	354,523	364,351	363,460	358,712
Long-term debt	46,099	84,232	84,356	83,527	79,707
Other liabilities	45,288	51,054	51,054	51,054	51,054
Total liabilities	424,880	489,809	499,762	498,042	489,473
Equity	772,503	757,698	761,459	773,705	793,625
Minority interest	75,308	87,347	104,047	121,547	139,647
Total net asset	902,418	919,141	940,546	970,292	1,008,312
Ratio analysis					
Book value/share (¥)	2,596.7	2,701.5	2,795.3	2,902.0	3,039.3
Cash/share (¥)	444.4	583.4	469.8	481.4	492.3
Equity ratio (%)	62.3	59.0	62.6	63.0	64.0
Debt/equity ratio	0.22	0.28	0.27	0.27	0.25
Return on assets (% , business interests basis)	7.7	7.0	7.6	7.6	8.1
Return on assets (% , net profit basis)	4.4	3.0	4.1	4.2	4.6
Return on capital (%)	5.9	5.4	6.0	6.1	6.5
Return on equity (%)	7.2	5.0	7.1	7.4	8.0
Days of A/R	88.8	91.8	91.0	90.5	90.0
Days of inventory	85.1	87.1	86.0	85.0	84.0
Number of employees	14,813	14,850	14,900	15,000	15,100
Shares O/S at EOY (mil)	318.5	307.9	299.2	292.5	285.8
CF analysis	F3/25	F3/26	F3/27e	F3/28e	F3/29e
Net profit	58,002	41,615	59,500	62,000	69,000
Depreciation (+)	47,508	48,081	49,000	50,000	49,000
Receivables (-)	5,362	6,186	-20,336	281	-2,665
Inventories (-)	11,006	5,337	-18,097	1,877	-858
Payables (+)	-9,758	-9,661	9,614	534	1,814
Others	-5,876	22,998	16,700	17,500	18,100
Operating CF	106,244	114,556	96,382	132,191	134,392
purchase of PPE and intangible assets (-)	-79,205	-69,768	-80,000	-80,000	-75,000
Investments, loan and others (-)	-2,369	-2,358	0	0	0
Investment CF	-81,574	-72,126	-80,000	-80,000	-75,000
Debt (+)	-2,464	52,420	338	-2,254	-10,383
Dividends (-)	-30,209	-31,667	-30,739	-29,754	-29,079
Others	-5,252	-30,467	-25,000	-20,000	-20,000
Financial CF	-37,925	-9,714	-55,400	-52,008	-59,462
Free cash flow	24,670	42,430	16,382	52,191	59,392
DPS (¥)	100.0	100.0	100.0	100.0	100.0

Ce = Company estimates, e = Morgan Stanley Research estimates

Source: Company data, Morgan Stanley Research

Tosoh (4042): Functional Products Division: Price trends for core products

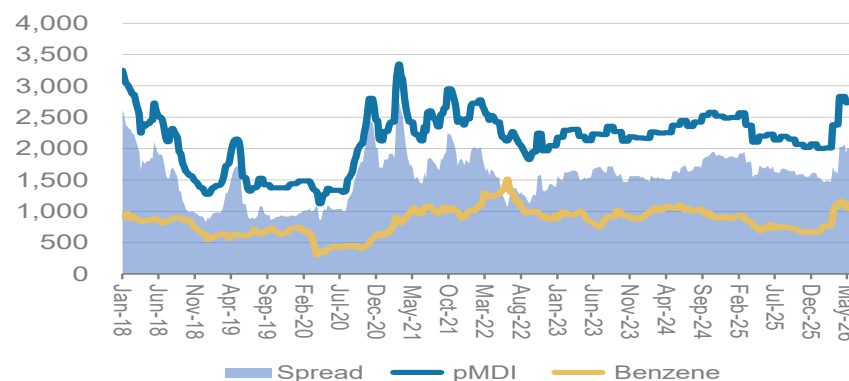
Asia Caustic Soda Price Trend



Source: Morgan Stanley Research, estimated from assorted data

Asian prices and spreads for MDI

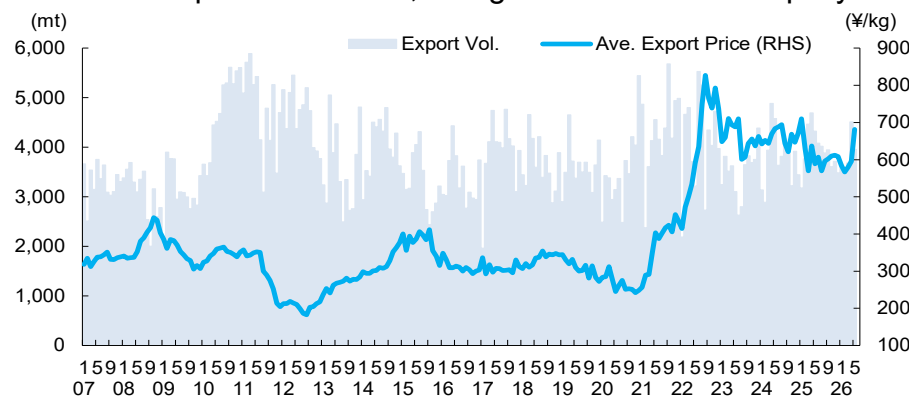
pMDI - Benzene Spread (\$/mt)



Source: Bloomberg, Morgan Stanley Research

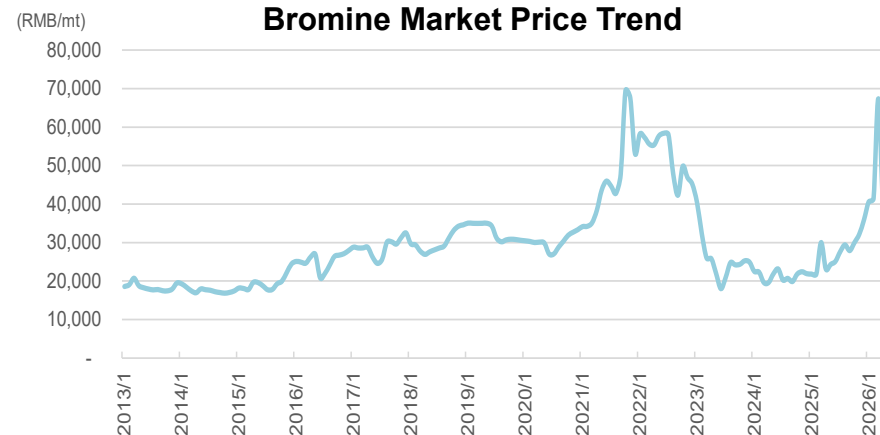
Organic Chemicals: Ethyleneamine export prices

Market prices to soften, though have recovered rapidly



Source: MoF, Morgan Stanley Research

Bromine Market Price Trend



Source: Bloomberg, Morgan Stanley Research

Electronic Chemicals (Industry view: In-line)

In addition to the expansion of AI semiconductors, demand for legacy semiconductors is also gradually recovering, and a steady growth trend continues. For silicon wafers, although user inventory levels remain high, the recovery trend continues, centered on 300mm wafers. We continue to recommend stock selection focused on individual traits. We continue to like ZEON and Shin-Etsu Chemical.

OW	4205	ZEON	Valuations look inexpensive at just 11x P/E on our F3/28 forecasts. In the medium term, we expect ROIC to rise with downsizing of general-purpose elastomers and focus on specialty materials, and semiconductor-related materials earnings contributions to increase.; OW.
	4063	Shin-Etsu Chem	We foresee recovery at cruising speed from F3/27. We also expect shareholder return to remain attractive based on robust cash flow. We think Shin-Etsu can sustain margins well above rivals' in challenging macro conditions, viewing the stock as undervalued from a medium-term perspective; OW.
EW	4021	Nissan Chem	We expect a decline in Agricultural Chemicals earnings in FY27 due to the animal health patent cliff, but continued growth in the Semiconductor Materials business should offset this impact, supporting ongoing growth in company-wide earnings. Meanwhile, valuation appears fair with limited upside; EW.
	4980	Dexerials	The share price rebounded sharply on upside surprises vs. consensus in F3/26 results and F3/27 guidance, and upward revision of mid-term plan targets. Expectations for mid-term earnings contributions from optical semiconductors have increased significantly. We believe further upside in the share price requires more substantial earnings contributions from optical semiconductors; EW rating.
	3405	Kuraray	Genuine earnings growth in activated carbon business will take time. Ongoing high inventory levels are another issue. Valuations neutral; EW rating
UW	3436	SUMCO	We expect supply/demand for 300mm wafers to continue improving, but not to the point of a shortage. Customer inventories remain elevated. Valuation on our F12/27e is demanding (P/B ~2.4x, P/E 103x). We expect market expectations to moderate with each quarterly earnings release; UW
	6988	Nitto Denko	We expect earnings to decline in FY26 due to higher raw material costs stemming from geopolitical tensions in the Middle East and sluggish demand for optical films used in notebook PCs and smartphones. At 14x our F3/28e EPS, the stock does not look as overvalued as it did, but as we look for the consensus to move down over the medium term; UW rating

	Rating	Share price (¥) (13-Jul)	Price target (¥)	P/E (x)			P/CF (x)			EV/EBITDA (x)			P/B (x)			Dividend yield (%)			Mkt cap (¥bn)	FX Sensitivity for OP (¥bn)		FX Sensitivity vs F26 MS (core) OP		Company FX assumptions (F26)	
				F26e	F27e	F28e	F26e	F27e	F28e	F26e	F27e	F28e	F26e	F27e	F28e	F26e	F27e	F28e		vs. USD	vs. EUR	vs. USD	vs. EUR	(¥/USD)	(¥/EUR)
Electronic Chemicals																									
3405 Kuraray	EW	1,696	1,750	15.7	12.6	10.8	4.3	3.9	3.6	5.2	4.9	4.7	0.7	0.6	0.6	3.8	3.8	3.8	511.0	0.1	0.2	0.2%	0.3%	150.0	175.0
3436 SUMCO	UW	5,133	3,000	-	138.1	59.8	15.6	14.0	13.1	16.8	15.2	13.4	3.3	3.3	3.1	0.4	0.4	0.6	1,795.1	1.1	-	-	-	160.0	-
4021 Nissan Chemical	EW	7,906	9,000	20.3	19.5	18.9	14.9	14.2	13.7	12.4	11.8	11.5	3.9	3.7	3.5	2.7	2.8	2.9	1,060.3	0.3	-	0.4%	-	150.0	-
4063 Shin-Etsu Chemical	OW	7,340	8,200	22.2	20.0	18.1	15.8	14.4	13.1	12.3	11.6	10.8	3.0	2.9	2.8	1.8	2.0	2.2	13,628.3	3.9	0.2	0.5%	0.03%	150.0	180.0
4205 Zeon	OW	2,225	3,000	11.2	10.7	9.7	7.2	7.0	6.6	7.2	6.9	6.8	1.1	1.0	1.0	3.6	3.7	4.1	425.6	0.3	0.1	0.7%	-	150.0	175.0
4980 Dexerials	EW	3,922	4,400	23.8	20.6	18.1	18.1	15.3	13.1	14.8	12.6	10.9	5.4	4.9	4.4	1.6	1.8	2.0	657.0	0.5	-	1.2%	-	150.0	-
6988 Nitto Denko	UW	3,221	3,000	15.8	14.5	13.0	9.8	9.1	8.5	7.1	6.8	6.5	1.8	1.7	1.6	2.0	2.0	2.2	2,169.9	2.7	-	1.5%	-	153.0	-
Electronic Chemicals average		In-Line		23.7	21.0	19.2	14.0	13.1	12.3	11.1	10.5	9.8	2.6	2.6	2.6	-	-	-	-	-	-	-	-	-	-

Fiscal years for Kuraray and SUMCO end in December

e = Morgan Stanley Research estimates. Source: Company data, FactSet, Morgan Stanley Research

-Total-

(Jan 2004=100)

(% YoY)

Legend:

- Wafer total
- %YoY (RHS)
- Total IC shipments (YoY, RHS)

The chart displays three data series over time from 2004 to 2026. The left Y-axis represents the index value (Jan 2004=100), and the right Y-axis represents the percentage year-over-year change (% YoY). A red horizontal line is drawn at the 25% mark on the right Y-axis.

Year	Wafer total (Index)	%YoY (RHS) (%)	Total IC shipments (YoY, RHS) (%)
2004	100	0	0
2005	110	-10	-10
2006	120	0	0
2007	130	10	10
2008	140	20	20
2009	100	-40	-40
2010	150	150	150
2011	140	0	0
2012	130	-10	-10
2013	140	0	0
2014	150	10	10
2015	160	0	0
2016	170	10	10
2017	180	0	0
2018	190	10	10
2019	200	0	0
2020	210	10	10
2021	220	0	0
2022	230	10	10
2023	240	0	0
2024	250	10	10
2025	260	0	0
2026	270	10	10

The graph displays two data series over time from January 2007 to January 2026. The left Y-axis measures cumulative precipitation in millimeters (0 to 500), with a red horizontal line at 100mm. The right Y-axis measures the annual percentage of year (%YoY) from -50 to 175. The blue line represents the cumulative 300mm threshold, and the cyan line represents the annual percentage of year. The cumulative precipitation shows a steady upward trend, while the annual percentage of year fluctuates significantly, with a notable peak in 2010.

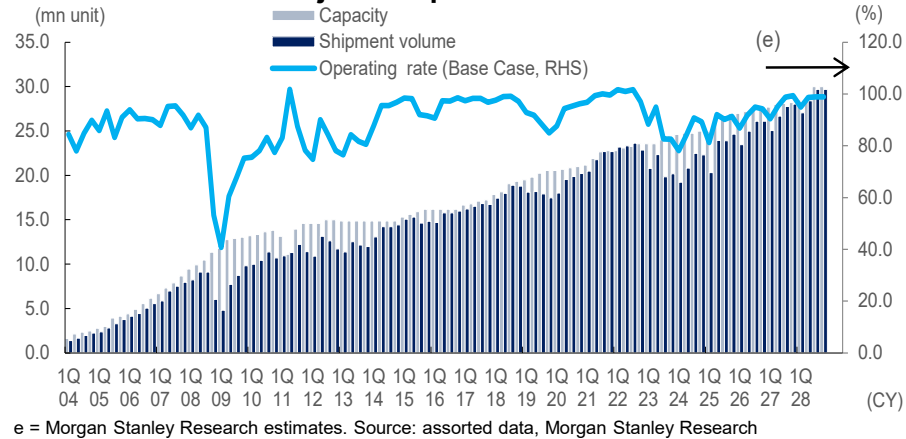
Year	Cumulative 300mm (mm)	%YoY (RHS) (%)
2004	25	75
2005	50	60
2006	75	45
2007	100	30
2008	125	15
2009	150	0
2010	175	150
2011	200	25
2012	225	15
2013	250	10
2014	275	15
2015	300	10
2016	325	15
2017	350	10
2018	375	15
2019	400	10
2020	425	15
2021	450	10
2022	475	15
2023	500	10
2024	525	15
2025	550	10
2026	575	15

The graph displays two data series over a 22-year period from January 2004 to January 2026. The left y-axis represents precipitation in millimeters (mm), ranging from 0 to 200. The right y-axis represents the percentage change from the year 2000 (%YoY), ranging from -50 to 150. A horizontal red line is drawn at the 100 mm mark on the left axis, corresponding to 50% on the right axis. The dark blue line represents the 200mm precipitation series, which fluctuates around the 100 mm mark. The light blue line represents the %YoY change, which shows significant volatility, with a major peak exceeding 150% around 2010 and a sharp drop to below -50% around 2009.

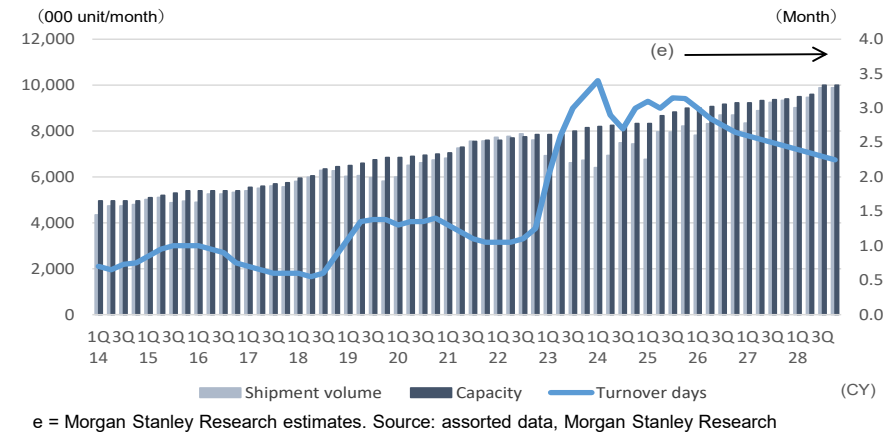
Source: Morgan Stanley Research (estimated based on interviews and assorted data)

Silicon wafer market

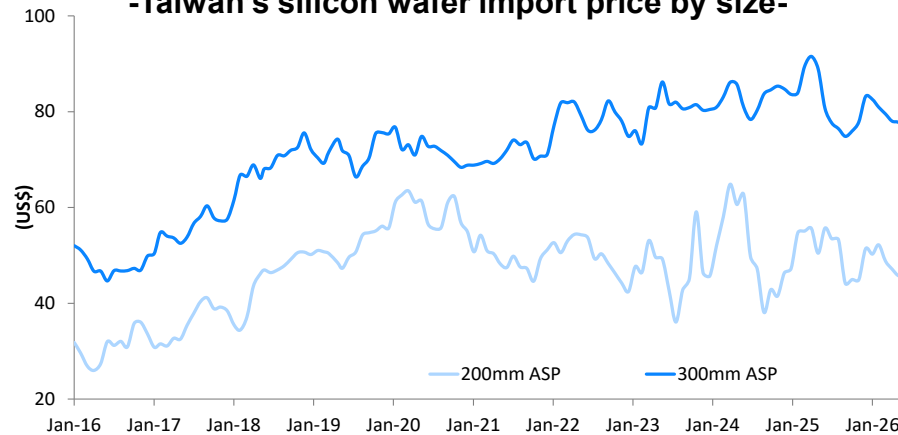
-300mm wafer supply/demand assumptions To avoid major collapse of the S/D balance-



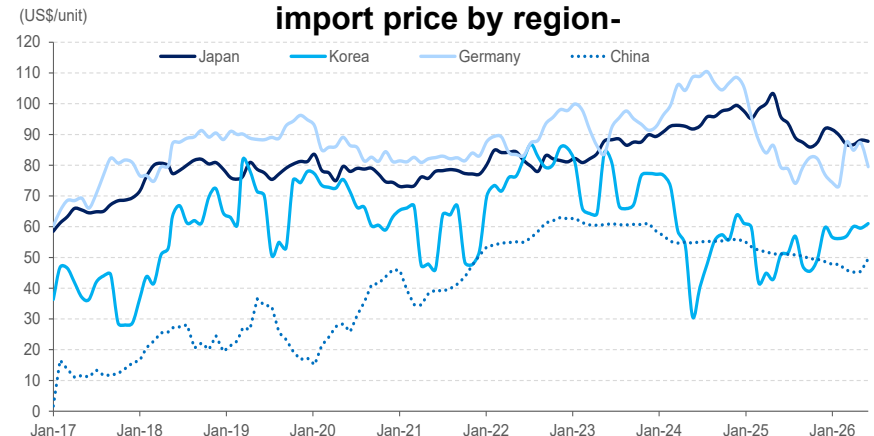
-300mm wafer trends in shipments, production capacity, and inventory months-



-Taiwan's silicon wafer import price by size-



-Taiwan's 300mm silicon wafer import price by region-

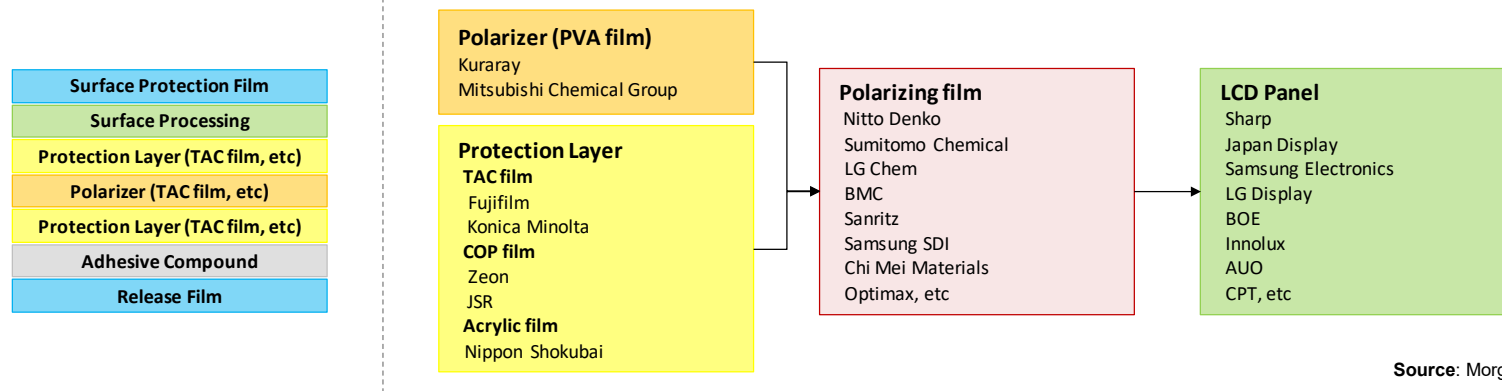


Source: Taiwan MoF, assorted data, Morgan Stanley Research

LCD Polarizer Market:

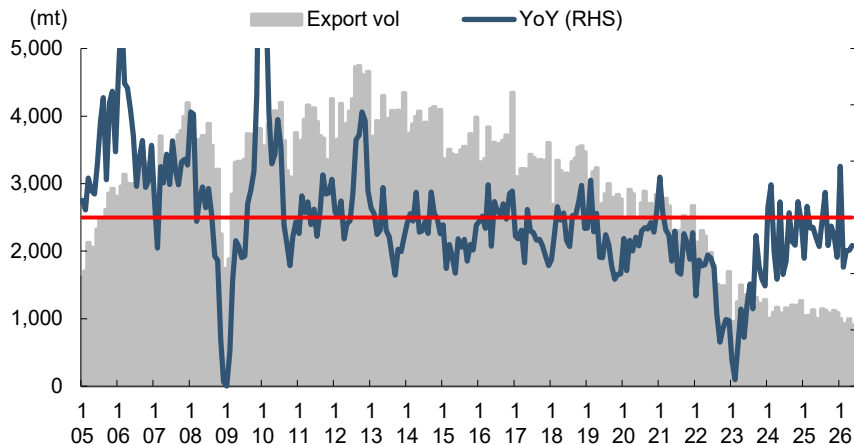
Small/mid-sized panel market and new coating-type development are the current market drivers

Simple outline of polarizing plates (left) & polarizing films supply chain (right)



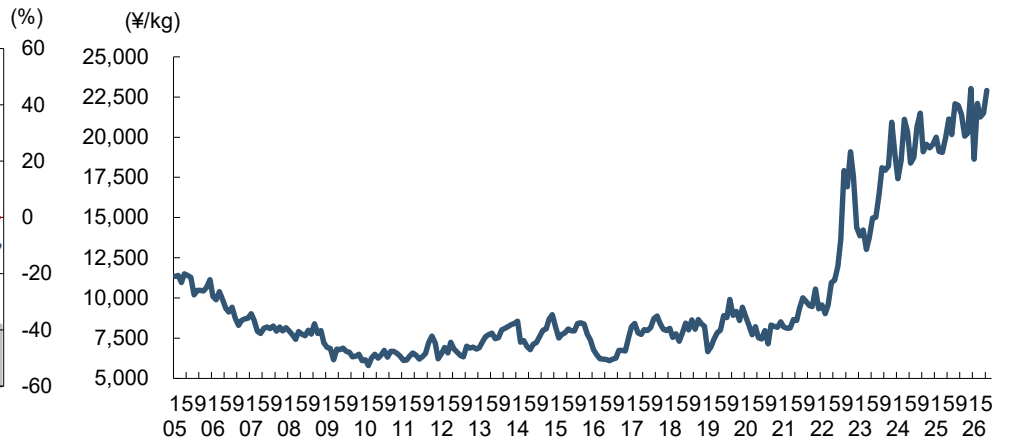
Source: Morgan Stanley Research

Polarizing films export volume



Source: MoF, Morgan Stanley Research

Polarizing films export price



Map of suppliers for main LiB materials

Stock Code	Company	Notes
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Cathode

N.A.	Nichia Chemical	LCO
UMI	Umicore	NMC
BAS	BASF	Merged its business with Toda Ind.
4005	Sumitomo Chemical	Operation: Tanaka Chemical (4080)
603799	Zhejiang Huayou Cobalt	Formed JV with POSCO (S.Korea)
066970	L&F	Supplier of Tesla
5563	Nippon Denko	LMO
5713	SMM	NMC
5232	SOC	LFP

Cathode binder

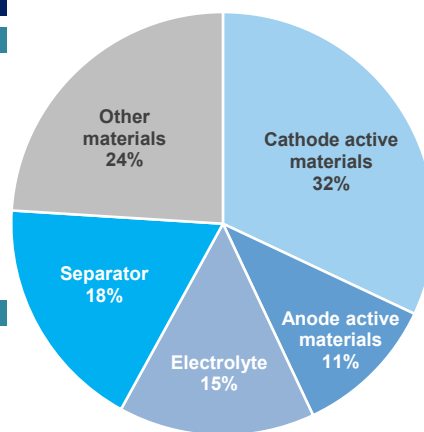
4023	Kureha	PVDF
4205	ZEON	Company unique materials
SOLB	Solvay	PVDF
6367	DAIKIN	PVDF

Anode

4004	Showa Denko	Natural/Synthetic, Showa Denko Materials
603659	Putailai	Synthetic
600884	ShanShan Group	Natural/Synthetic
5411	JFE Chemical	Synthetic
5302	Nippon Carbon	Natural/Synthetic
4188	Mitsubishi Chemical HD	Natural/Synthetic
5301	Tokai Carbon	Synthetic
4023	Kureha	Hard Carbon
3405	Kuraray	Bio Hard Carbon
N.A.	BTR (China)	Natural/Synthetic

Anode binder

4023	Kureha	PVDF
4205	ZEON	Company unique materials
4005	Sumitomo Chemical	SBR
3402	Toray	PI
4185	JSR	SBR
SOLB	Solvay	PVDF



Source: CEMAC, company data,
Morgan Stanley Research

Stock Code	Company	Notes
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Separator

002812	SEMCORP	Shanghai Energy, No.1 share in wet
3407	Asahi Kasei	No.2 position globally
3402	Toray	Strong tie-up with LG Group
096770	SK ie technology	Wet, Integrated LiB Manufacturer
4208	UBE	Dry
6619	W-Scope	Wet, focused in China
4005	Sumitomo Chemical	Wet, main supplier of Tesla
002108	Cangzhou Mingzhu	Wet

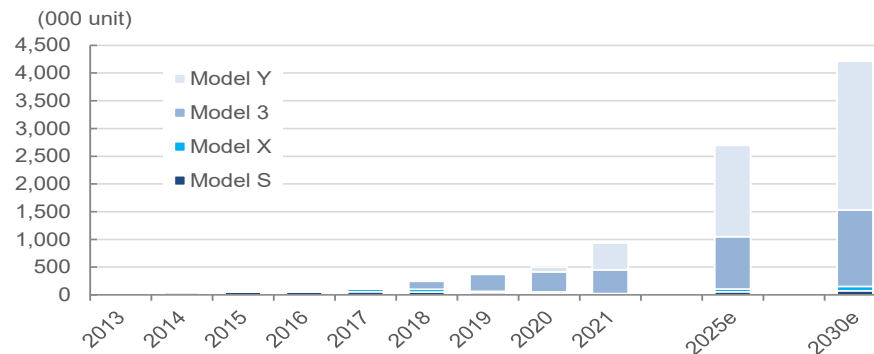
Electrolyte

4208	UBE	Business integration with Mitsubishi
4188	Mitsubishi Chemical HD	Focused in auto
4044	Central Glass	Produce in Japan/Korea/China
002709	Guangzhou Tinci Materials	Cooperation with Lanxess etc.
300037	Shenzhen Capchem	Supplier of Altium etc.
051910	LG Chem	Integrated Supplier of LiB

Core substance for electrolyte

4109	Stella Chemifa	
4047	Kanto Denka	
N.A.	Morita Kagaku	Manufacturing in China
002407	Do-Fluoride Chem	

Tesla Sales unit:

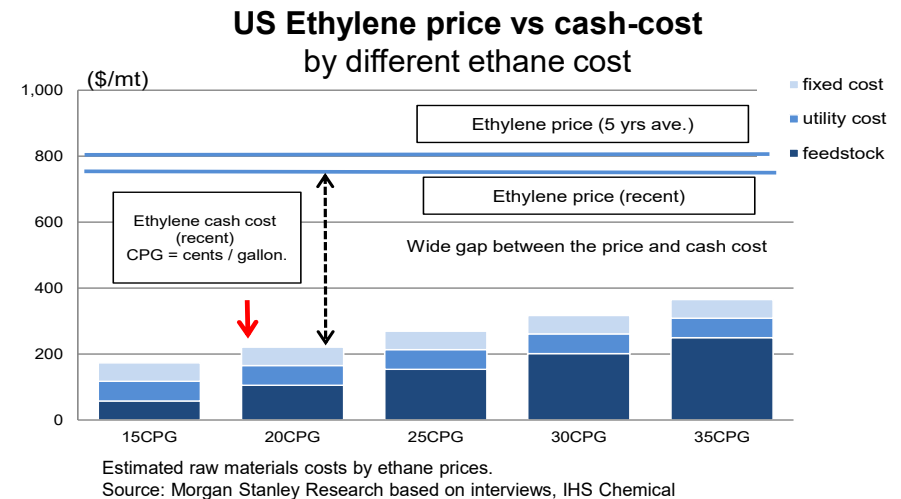
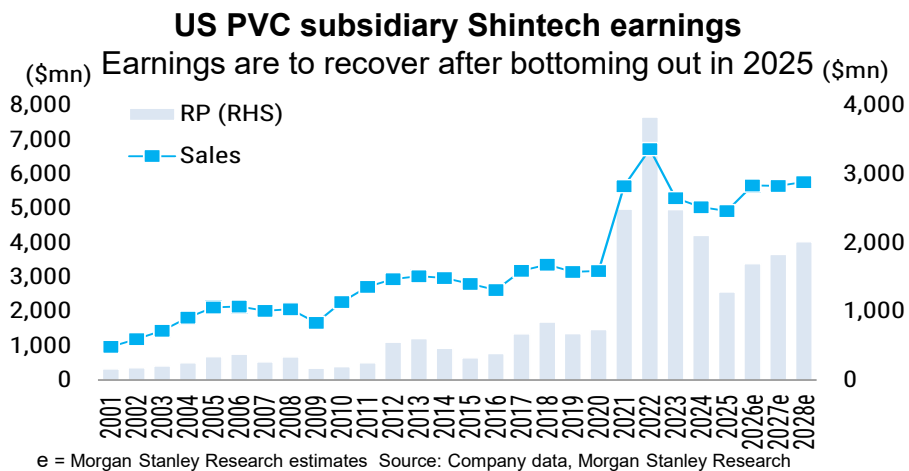


e = Morgan Stanley Research estimates. Source: Company data, Morgan Stanley Research

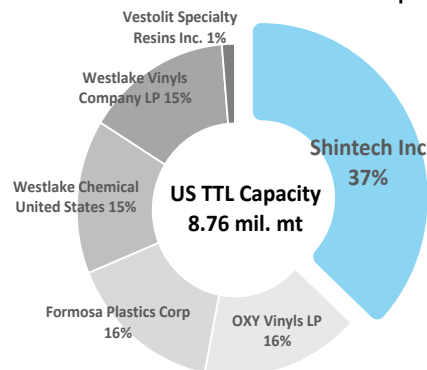
		F3/26							F3/27Ce		F3/27e							F3/28e		F3/29e		B/S analysis		F3/25	F3/26	F3/27e	F3/28e	F3/29e
		1Q	2Q	1H	3Q	4Q	2H	Full		Full	1Q	2Q	1H	3Q	4Q	2H	Full		Full	Full	Cash & securities	1,811,678	1,667,095	1,588,553	1,517,007	1,419,308		
																					Receivables	514,702	535,383	604,268	610,717	622,921		
																					Inventories	769,967	790,911	878,010	888,871	908,218		
																					Other current assets	113,305	112,666	112,666	112,666	112,666		
Structure Materials	244,400	256,000	500,400	247,512	233,458	480,970	981,370	-	-	274,000	303,000	577,000	287,000	285,000	572,000	1,149,000	1,145,000	1,170,000		Current assets	3,209,652	3,106,055	3,183,497	3,129,261	3,063,113			
ics Materials	240,229	256,071	496,300	254,040	265,425	519,465	1,015,765	-	-	286,000	309,000	595,000	302,000	293,000	595,000	1,190,000	1,262,000	1,340,000		Tangible & intangible fixed assets	2,065,945	2,187,982	2,297,982	2,452,982	2,632,982			
ial Materials	110,013	110,587	220,600	113,176	107,071	220,247	440,847	-	-	114,000	116,000	230,000	118,000	112,000	230,000	460,000	480,000	498,000		Inv., loan & others	361,003	367,868	366,606	366,606	366,606			
ing & Specialized																				Total assets	5,636,601	5,661,907	5,848,085	5,948,849	6,062,701			
	33,904	33,196	67,100	34,871	34,014	68,885	135,985	-	-	35,000	34,000	69,000	36,000	36,000	72,000	141,000	145,000	149,000		Short-term debt	9,389	6,929	10,264	10,656	10,718			
	628,549	655,973	1,284,522	649,478	639,969	1,289,447	2,573,969	-	-	709,000	762,000	1,471,000	743,000	726,000	1,469,000	2,940,000	3,032,000	3,157,000		Payables	184,369	176,399	194,821	196,384	200,759			
																				Other liabilities	343,336	339,303	374,113	422,952	460,833			
Structure Materials	5.1	-7.5	-1.8	-7.7	-11.6	-10	-6	-	-	12.1	18.4	15.3	16.0	22.1	18.9	17.1	-0.3	2.2	Current liabilities	537,094	522,631	579,198	629,992	672,310				
ics Materials	5.8	7.9	6.8	3.8	17.9	11	9	-	-	19.1	20.7	19.9	18.9	10.4	14.5	17.2	6.1	6.2	Long-term debt	7,452	236,366	350,122	363,519	365,622				
ics Materials	3.1	-7.3	-2.4	-1.9	-0.2	-1	-2	-	-	3.6	4.9	4.3	4.3	4.6	4.4	4.3		2.8	Other liabilities	254,468	259,603	259,603	259,603	259,603				
ing & Specialized	7.1	-4.8	0.8	-0.4	-3.3	-2	-1	-	-	3.2	2.4	2.8	3.2	5.8	4.5	3.7	2.8	2.8	Total liabilities	799,016	1,018,600	1,188,923	1,253,114	1,297,535				
	5.1	-1.9	1.4	-2.1	1.3	-0.4	0.5	-	-	12.8	16.2	14.5	14.4	13.4	13.9	14.2	3.1	4.1	Equity	3,879,362	3,655,570	3,638,188	3,635,262	3,661,692				
ng profit																				Minority interest	175,112	178,877	213,377	252				

Ce = Company estimates
e = Morgan Stanley Research estimates
Source: Company data, Morgan Stanley Research

Shin-Etsu Chemical (4063): Earnings at Shintech (US PVC subsidiary)

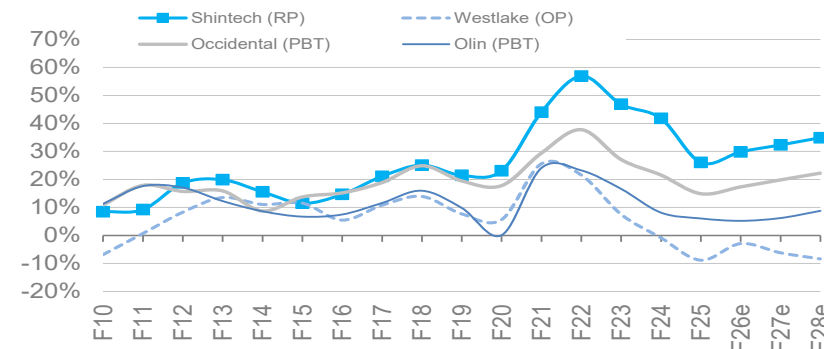


Production capacity share of US PVC makers Shintech remains at the top



Source: Morgan Stanley Research based on industry data, company materials, and interviews

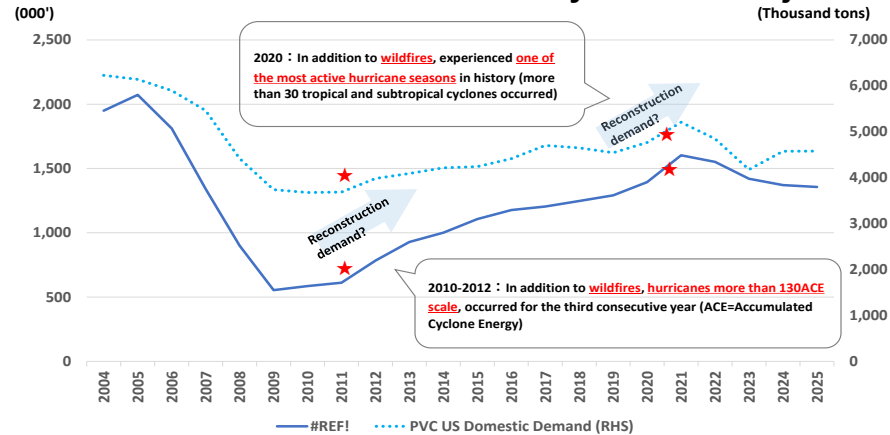
OPMs at leading US PVC makers Shintech maintains its top-class margin



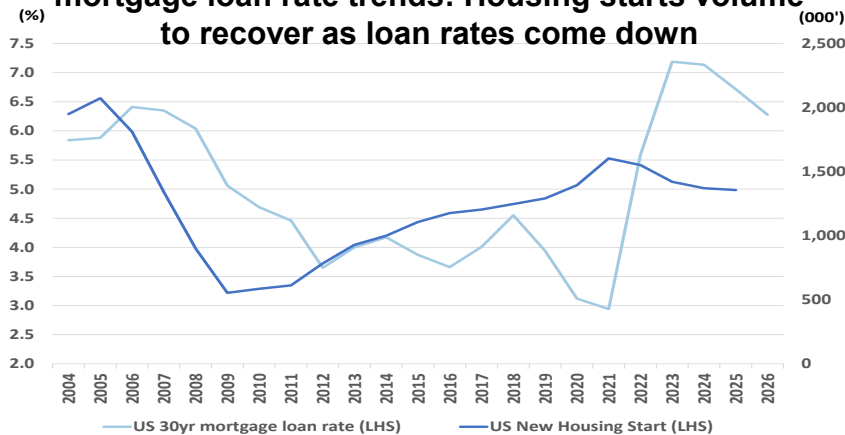
Note: Shintech=RP base, Westlake= Vinyl segment base Occidental=Chemical segment base;
e = Morgan Stanley Research estimates Source: Company data, Morgan Stanley Research

Shin-Etsu Chemical (4063): Full-fledged recovery in US PVC prices from mid-year

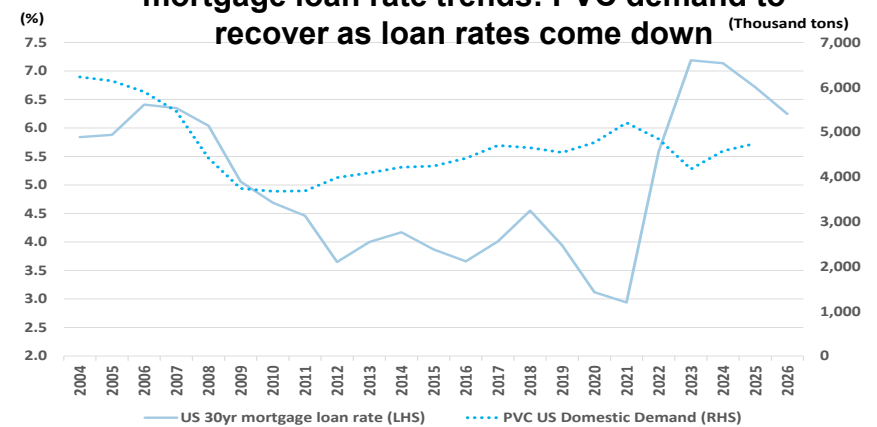
US domestic PVC demand and US new home construction start volume trends: The number of home starts expanded and PVC demand climbed in the 1-2 years after major natural disasters



US new home construction start volume and US 30yr mortgage loan rate trends: Housing starts volume to recover as loan rates come down



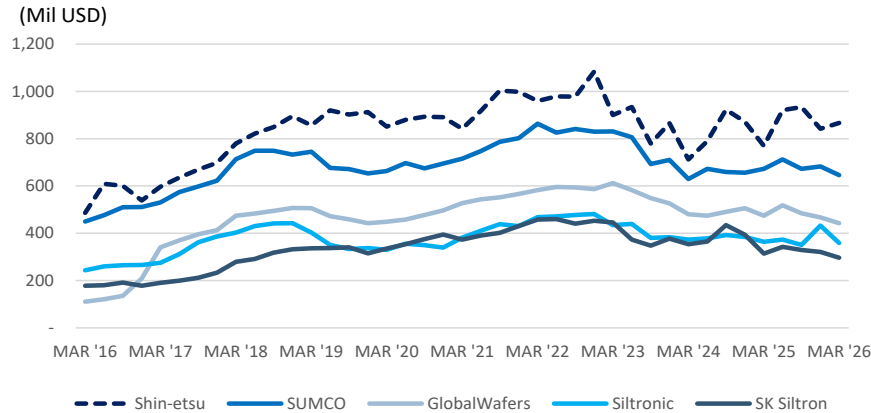
US domestic PVC demand and US 30yr mortgage loan rate trends: PVC demand to recover as loan rates come down



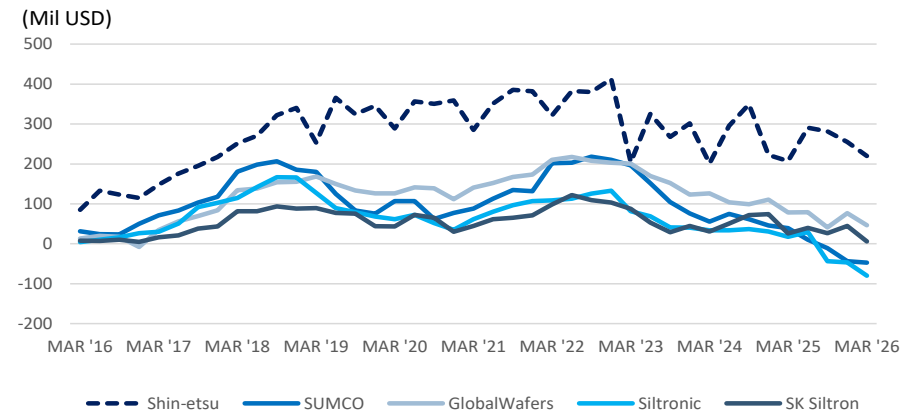
Source: Bloomberg, Morgan Stanley Research based on MoF Corp Stats data

Shin-Etsu Chemical (4063): Profitability levels surpass those of industry peers

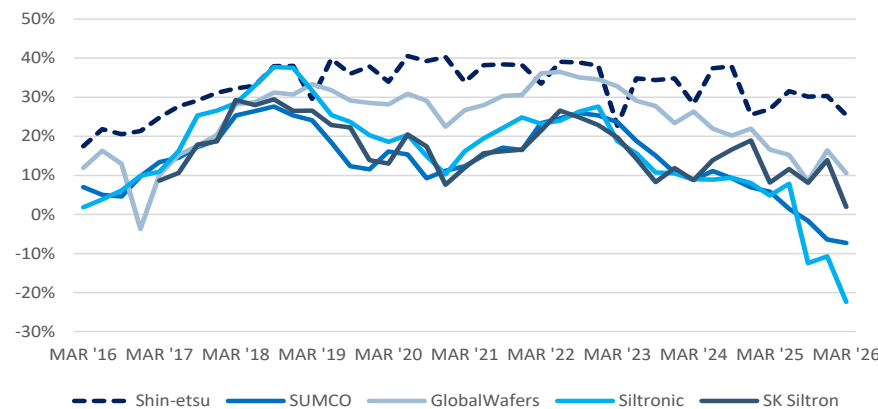
Sales Trend of 5 leading wafer makers



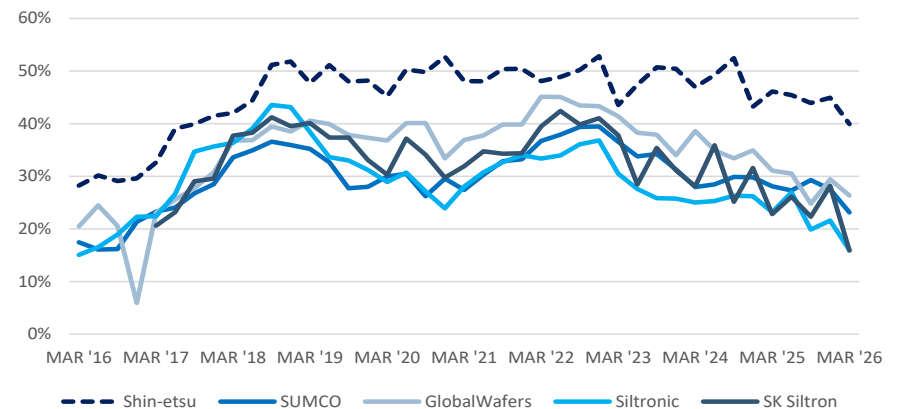
EBIT Trend of 5 leading wafer makers



EBIT Margin Trend of 5 leading wafer makers



EBITDA Margin Trend of 5 leading wafer makers



Source: FactSet, Various materials, Morgan Stanley Research based

IFRS standards applied from F3/25	F3/26							F3/27Ce (as of May 13)		F3/27e					F3/28e		F3/29e	B/S analysis	F3/25 (IFRS)	F3/26 (IFRS)	F3/27e (IFRS)	F3/28e (IFRS)	F3/29e (IFRS)		
	1Q	2Q	1H	3Q	4Q	2H	Full	Full	1Q	2Q	1H	3Q	4Q	2H	Full	Full	Full	Cash & securities	34,979	16,655	16,704	16,856	16,983		
Sales (¥mil)	Optical Materials & Components	11,933	13,418	25,351	12,321	10,299	22,620	47,971	49,000	11,500	13,500	25,000	12,500	10,500	23,000	48,000	50,500	52,500	Receivables	17,979	21,171	20,904	22,617	23,817	
	Electronic Materials & Components	14,390	18,120	32,510	17,782	16,432	34,214	66,724	74,000	15,000	19,500	34,500	20,500	19,000	39,500	74,000	81,500	86,500	Inventories	8,739	10,172	11,371	12,122	12,575	
	Adjustments	-183	-221	-404	-264	-195	-459	-863	-	-	-	-	-	-	-	-	-	-	Other current assets	1,862	1,002	1,002	1,002	1,002	
	Total	26,140	31,316	57,456	29,840	26,536	56,376	113,832	123,000	26,500	33,000	59,500	33,000	29,500	62,500	122,000	132,000	139,000	Current assets	63,559	49,500	49,981	52,598	54,376	
	(% YoY)																		Tangible fixed assets	49,703	76,858	131,758	140,758	147,258	
	Optical Materials & Components	-5.1	-19.3	-13.2	-1.4	15.1	5.5	-5.3	2.1	-3.6	0.6	-1.4	1.5	2.0	1.7	0.1	5.2	4.0		Intangible fixed assets	28,449	28,449	26,385	23,985	21,585
	Electronic Materials & Components	-2.5	13.1	5.6	16.9	13.8	15.4	10.4	10.9	4.2	7.6	6.1	15.3	15.6	15.4	10.9	10.1	6.1		Goodwill	21,288	21,288	18,888	16,488	14,088
	Total	-3.8	-3.5	-3.7	8.4	14.2	11.1	3.1	8.1	1.4	5.4	3.6	10.6	11.2	10.9	7.2	8.2	5.3		Inv., loan & others	10,110	9,960	9,960	9,960	9,960
	Business profit																			Fixed assets	88,262	115,603	168,103	174,703	178,803
	(¥mil)																			Total assets	151,821	165,103	218,084	227,301	233,779
Optical Materials & Components	3,329	4,717	8,047	3,955	2,306	6,261	14,308	14,800	3,000	4,500	7,500	4,200	3,100	7,300	14,800	16,500	18,000		Short-term debt	8,965	3,176	11,117	10,386	8,600	
Electronic Materials & Components	4,570	7,534	12,105	7,363	5,575	12,938	25,043	25,200	4,500	7,000	11,500	7,800	5,900	13,700	25,200	29,000	33,000		Payables	12,279	12,710	13,622	14,739	15,520	
Adjustments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-		Other liabilities	18,026	21,939	21,939	21,939	21,939	
Total	7,899	12,253	20,153	11,318	7,881	19,199	39,352	40,000	7,500	11,500	19,000	12,000	9,000	21,000	40,000	45,500	51,000		Current liabilities	39,270	37,825	46,678	47,063	46,060	
(% YoY)																			Long-term debt	12,113	13,330	46,659	43,592	36,100	
Optical Materials & Components	-8.6	-25.6	-19.4	8.3	150.7	36.9	-1.7	3.4	-9.9	-4.6	-6.8	6.2	34.4	16.6	3.4	11.5	9.1		Other liabilities	4,521	4,584	4,584	4,584	4,584	
Electronic Materials & Components	-23.2	18.1	-1.9	24.9	5.5	15.8	6.5	0.6	-1.5	-7.1	-5.0	5.9	5.8	5.9	0.6	15.1	13.8		Fixed liabilities	16,634	17,914	51,243	48,176	40,684	

Source: Company data, Morgan Stanley Research

Fine Chemicals (Industry view: In-line)

Carbon fiber composite materials show significant revenue improvement due to full-scale recovery in aircraft applications. Our recommended name is Toray. The firm has the top market share in carbon fiber and its businesses in textiles and functional chemicals are also strong.

OW	3402	Toray	Robust profit growth will likely persist over the medium term, supported by 1) robust growth in the base chemicals business (through projects to improve earnings and its strategic pipeline), and 2) sharp improvement in carbon composite materials. For F3/28, our forecast P/E is ~11x, P/B is 0.8x (ROE about 8%), indicating strong undervaluation. We expect performance from F3/27 to significantly exceed consensus; OW.
EW	3002	Gunze	Short-term earnings at risk of drag from fewer China shipments in the medical segment, but we expect high return yield to support share price; EW.
UW	3401	Teijin	Materials and Healthcare both sluggish; will likely take time for full earnings recovery. While we are positive on Teijin exiting composite materials in the US and moves to boost earnings in aramid and carbon fibers, we also see a lack of medium-term growth potential. The stock looks overvalued; UW.

	Rating	Share price (¥) (13-Jul)	Price target (¥)	P/E (x)			P/CF (x)			EV/EBITDA (x)			P/B (x)			Dividend yield (%)			Mkt cap	FX Sensitivity for OP (¥bn)		FX Sensitivity vs F26 MS (core) OP		Company FX assumptions (F26)	
				F26e	F27e	F28e	F26e	F27e	F28e	F26e	F27e	F28e	F26e	F27e	F28e	F26e	F27e	F28e	(¥bn)	vs. USD	vs. EUR	vs. USD	vs. EUR	(¥/USD)	(¥/EUR)
Fine Chemicals (In-Line)																									
3002 Gunze	EW	3,970	4,200	25.3	19.3	16.0	10.1	9.1	33.1	8.0	7.0	6.5	1.1	1.1	1.1	5.4	5.5	5.5	126.7	0.10	-	1.2%	-	155.0	-
3401 Teijin	UW	1,655	1,450	7.6	19.4	15.6	3.4	4.5	4.2	7.0	6.4	5.9	0.8	0.8	0.8	3.0	3.0	3.0	319.3	0.25	-	0.9%	-	150.0	176.0
3402 Toray	OW	1,138	1,600	14.3	11.0	9.1	6.4	5.5	5.0	8.3	7.4	6.8	0.9	0.8	0.8	2.3	2.6	3.2	1,657.1	1.0	-	0.6%	-	150.0	-
4631 DIC	++	4,520	++	12.4	13.2	12.2	4.8	4.7	4.6	7.4	7.3	7.0	0.9	0.8	0.8	3.1	3.3	3.5	428.0	0.2	-	0.3%	-	150.0	168.0

Fiscal year for DIC end in December
e = Morgan Stanley Research estimates.
Source: Company data, FactSet, Morgan Stanley Research

[++] indicates the data for this company have been removed from consideration because under Morgan Stanley policy and/or applicable regulations, Morgan Stanley may be precluded from issuing such information with respect to this company at this time.

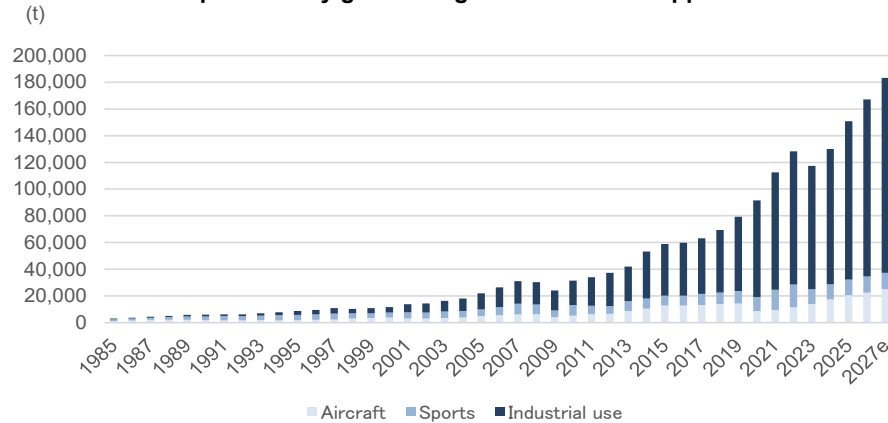
MORGAN STANLEY MUFG

*From F3/27, the water treatment business and pharmaceuticals and medical products business will be integrated into a single segment, Water Treatment & Healthcare. The engineering business will be included in Other. However, our estimates are based on previous segment categories. Ce = Company estimates, e = Morgan Stanley Research estimates. Source: Company data, Morgan Stanley Research

Carbon fiber supply/demand: Expect tightening over the medium term

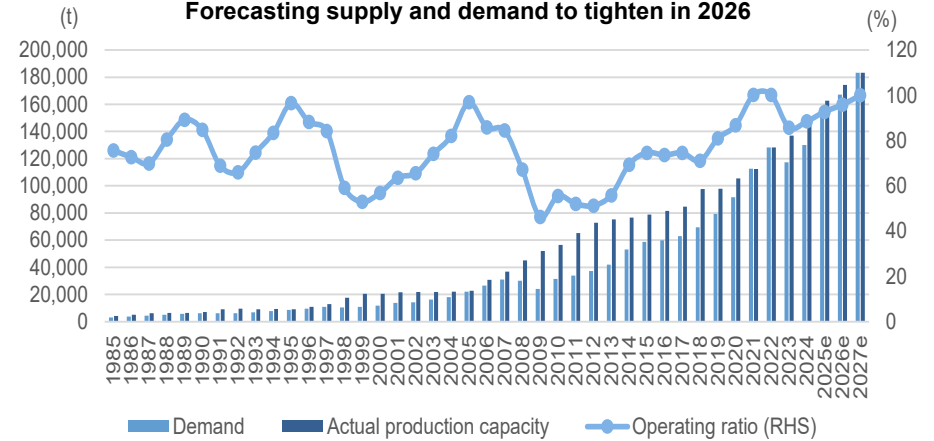
Carbon fiber demand:

Traction provided by growth in general industrial applications



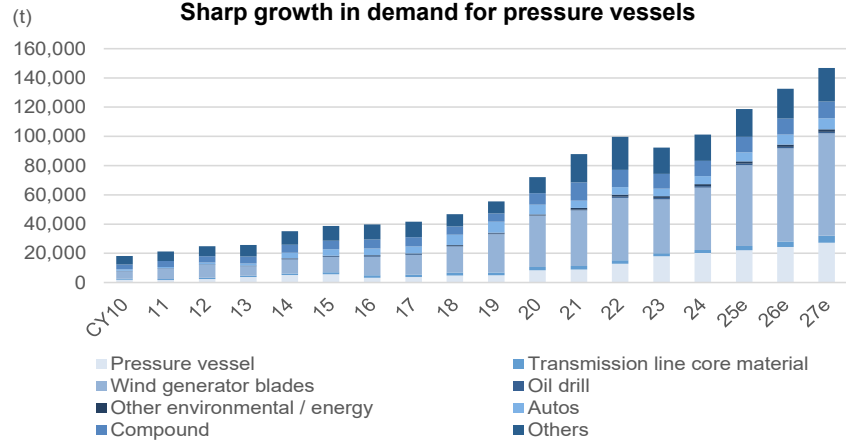
Carbon fiber supply/demand:

Forecasting supply and demand to tighten in 2026



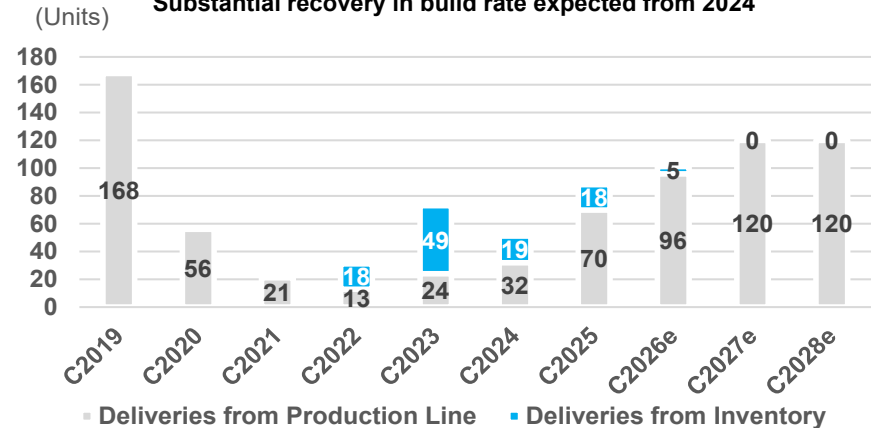
Carbon fiber/general industrial demand:

Sharp growth in demand for pressure vessels



B787 deliveries:

Substantial recovery in build rate expected from 2024



Source: Company data, various materials, Morgan Stanley Research; e=Morgan Stanley Research estimates

Aerospace-related market trend

Boeing

B777

Toray's prepreg is the only material in use in primary

Airbus

A340-500/600

Adopting Toray's carbon fiber

B787

Adopting more composites

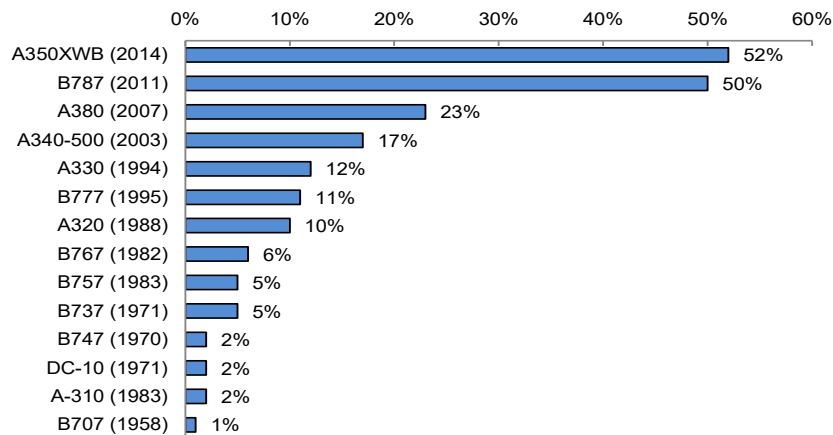
A380

Mass adoption for primary structures

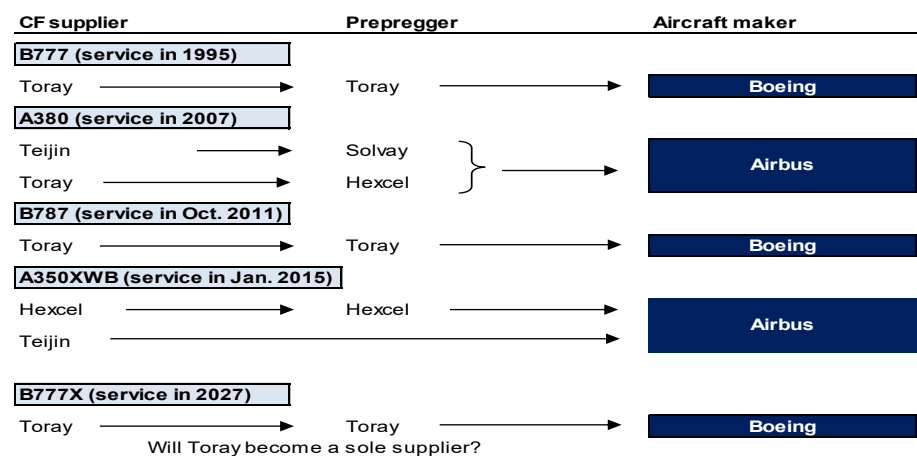
Expect uptake of composite materials to increase further in newly developed aircraft models

Year	1982	1995	2007	2011	2027 (plans)
Model	B767	B777	A380	B787	B777X
Structures	Secondary	Primary/secondary	Primary/secondary	Primary/secondary	Primary/secondary
Amount of CFRP/aircraft (estimates)	1.5 tons	Approx. 10 tons	Approx. 35 tons	Approx. 35 tons	TBA
Supplies from Toray	CF, Fabric	CF, Prepreg	CF, Prepreg	CF, Prepreg	CF, Prepreg

Composites as % of weight in main passenger aircraft



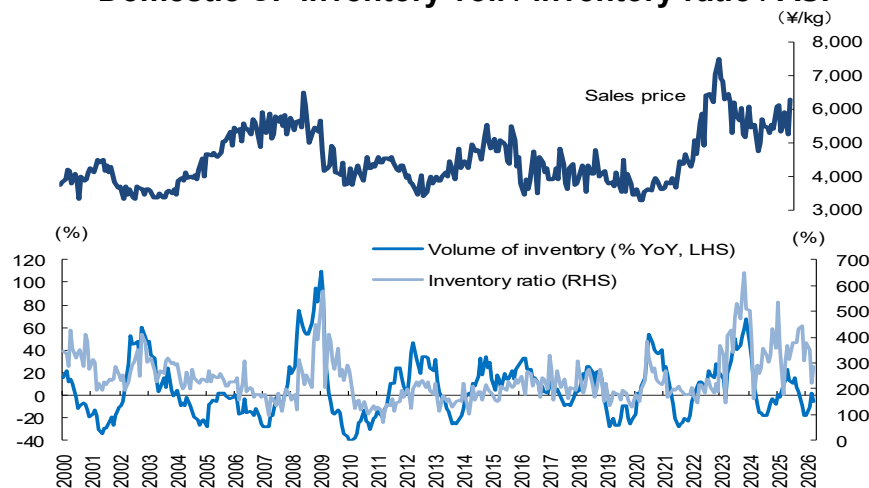
Supply chain for leading passenger aircraft



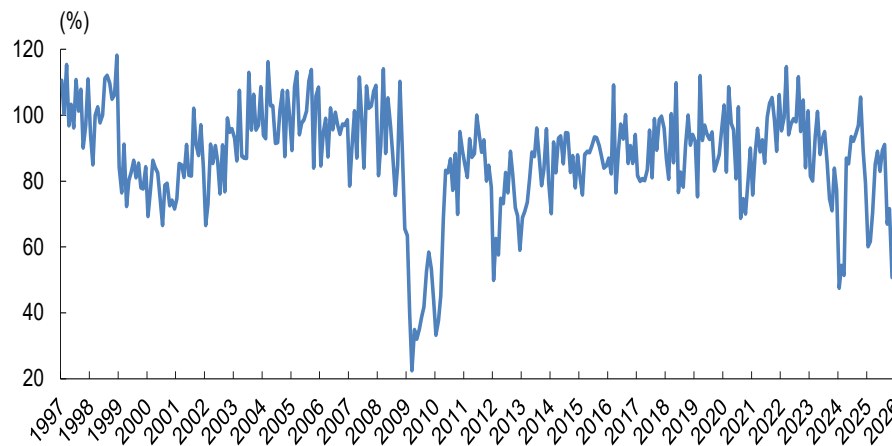
Source: Hexcel annual report, company interviews, Morgan Stanley Research

Domestic carbon fiber market

Domestic CF inventory vol. / inventory ratio / ASP



Domestic CF monthly average utilization rate



Trend in the number of orders (left) and deliveries (right) for commercial jet transport aircraft (units)

	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total		Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Boeing B787 Series														Boeing B787 Series													
2025	-	-	53	-	127	62	1	7	64	7	30	30	381	2025	4	5	4	8	7	9	8	9	7	7	6	14	88
2026	34	8	8	51	10								111	2026	5	3	7	6	6								27
	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total		Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Boeing B777 Series														Boeing B777 Series													
2025	2	-	51	-	30	-	-	14	-	-	76	5	178	2025	1	2	4	4	5	4	2	4	3	2	2	2	35
2026	-	-	-	28	-								28	2026	3	2	3	3	1								12
	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total		Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Boeing+Airbus														Boeing+Airbus													
2025	91	27	403	19	303	319	38	125	106	127	239	378	2,175	2025	70	84	112	101	96	123	115	118	128	131	116	199	1,393
2026	156	49	364	164	406								1,139	2026	65	86	106	114	141								512

Source: Companies, MoF, METII, Morgan Stanley Research

Gunze (3002, Equal-weight, PT ¥4,200): Consolidated earnings

Consolidated PL
(JPYmn)

	F3/24	F3/25	F3/26	F3/27e	F3/28e	F3/29e	F3/27 Ce
Sales	132,885	137,117	130,918	131,000	129,000	131,500	132,000
CoGS	91,164	93,934	91,042	87,700	84,000	83,800	-
Gross profit	41,720	43,182	39,875	43,300	45,000	47,700	-
SG & A expenses	34,943	35,260	34,992	35,000	34,500	35,500	-
Operating income	6,777	7,921	4,882	8,300	10,500	12,200	8,800
Non-operating income	900	952	947	600	500	600	-
Interests & dividends received	377	304	204	200	100	100	-
Other	523	648	743	400	400	500	-
Non-operating expenses	902	693	910	1,000	1,000	800	-
Interest expenses	208	85	78	100	100	100	-
Other	694	608	832	900	900	700	-
Ordinary income	6,774	8,180	4,920	7,900	10,000	12,000	8,400
Extraordinary income	2,387	3,458	753	1,000	1,000	1,000	-
Extraordinary loss	4,658	2,547	4,528	1,800	1,800	1,800	-
Income before income taxes	4,504	9,091	1,144	7,100	9,200	11,200	-
Income taxes	-650	2,760	559	2,100	2,700	3,400	-
Net income	5,154	6,330	585	5,000	6,500	7,800	-
Attributable to:							
Owners of the parent	5,109	6,279	509	4,900	6,400	7,700	5,200
Non-controlling interests	45	51	75	100	100	100	-
% of sales							
Gross profit	31.4%	31.5%	30.5%	33.1%	34.9%	36.3%	-
Operating income	5.1%	5.8%	3.7%	6.3%	8.1%	9.3%	6.7%
Ordinary income	5.1%	6.0%	3.8%	6.0%	7.8%	9.1%	6.4%
Net income attributable to owners of parent	3.8%	4.6%	0.4%	3.7%	5.0%	5.9%	3.9%
Tax rate	-14.4%	30.4%	48.9%	29.6%	29.3%	30.4%	-
YoY							
Sales	-2.3%	3.2%	-4.5%	0.1%	-1.5%	1.9%	0.8%
Gross profit	3.1%	3.5%	-7.7%	8.6%	3.9%	6.0%	-
Operating income	16.6%	16.9%	-38.4%	70.0%	26.5%	16.2%	80.3%
Ordinary income	12.5%	20.8%	-39.9%	60.6%	26.6%	20.0%	70.7%
Net income attributable to owners of parent	13.5%	22.9%	-91.9%	862.7%	30.6%	20.3%	921.6%
Depreciation (incl. Amortization)	6,208	6,867	7,305	7,700	7,500	7,500	-
Capex	9,147	7,538	12,527	9,000	9,000	8,000	-
EBITDA	12,985	14,788	12,187	16,000	18,000	19,700	-
Average shares outstanding (m)	33.7	32.9	31.9	31.3	31.2	31.1	-
EPS (JPY)	150.6	189.7	15.8	156.6	205.3	247.9	165.9
BPS (JPY)	3,556.4	3,667.2	3,555.4	3,557.3	3,602.2	3,664.1	-
DPS (JPY)	76.5	195.0	216.0	216.0	217.0	219.0	216.0
ROE(%)	4.4	5.3	0.4	4.4	5.7	6.8	-
ROA(Ordinary income)	4.1	5.1	3.1	5.1	6.4	7.7	-

Ce = Company estimates, e = Morgan Stanley Research estimates
Source: Company data, Morgan Stanley Research

BS
(million JPY)

	F3/25	F3/26	F3/27e	F3/28e	F3/29e
Current assets	77,974	69,266	69,900	69,800	70,900
Cash & deposit	10,541	9,936	10,500	11,400	11,200
Notes and accounts receivable	25,015	22,560	22,600	22,200	22,700
Inventory	38,470	33,110	33,100	32,600	33,300
Allowance for doubtful account	-23	-35	0	0	0
Other current assets	3,971	3,695	3,700	3,600	3,700
Fixed assets	81,702	84,346	85,300	85,800	86,300
Tangible fixed assets	67,764	68,899	70,200	71,700	72,200
Depreciable fixed assets	52,418	56,552	64,900	71,400	71,900
Land and others	10,369	10,119	10,100	10,100	10,100
Temporary accounts for construction	4,977	2,228	-4,800	-9,800	-9,800
Intangible fixed assets	1,786	1,385	1,400	1,400	1,400
Investment and other assets	12,151	14,060	13,700	12,700	12,700
Total assets	159,677	153,612	155,200	155,600	157,200
Current liabilities	24,551	27,636	29,700	29,100	29,200
Notes and accounts payable	8,138	7,164	7,200	7,100	7,200
Short-term borrowings	3,188	2,875	4,900	4,400	4,400
Other	13,225	17,597	17,600	17,600	17,600
Long term liabilities	14,143	12,228	12,261	12,261	12,300
Long term debt	5,668	5,261	5,261	5,261	5,300
Liabilities related to retirement benefits	4,133	2,603	2,600	2,600	2,600
Other	4,342	4,364	4,400	4,400	4,400
Total Liabilities	38,694	39,865	41,961	41,361	41,500
Shareholders' equity	112,656	101,636	94,500	89,100	85,000
Other valuation conversion gain/loss	6,418	10,120	16,600	23,000	28,600
Share warrant	110	95	200	200	200
Subscription rights to shares	1,796	1,894	1,900	1,900	1,900
Net Assets	120,982	113,746	113,239	114,239	115,700
Shareholders' equity	119,074	111,756	111,100	112,100	113,600
Net assets plus liabilities	159,677	153,612	155,200	155,600	157,200
Consolidated cash flows (million JPY)					
	F3/25	F3/26	F3/27e	F3/28e	F3/29e
Operating cash flows					
EBIT	9,091	1,144	7,100	9,200	11,200
Depreciation & amortization	6,867	7,305	7,700	7,500	7,500
Impairment losses	459	0	1,000	1,000	0
Change in necessary working capital	-2,868	9,537	0	800	-1,100
Tax and interest, etc.	-1,977	-715	-2,000	-2,600	-3,300
Total operating cash flows	11,572	17,271	13,800	15,900	14,300
Investment cash flows					
Capex	-10,196	-12,149	-9,000	-9,000	-8,000
Sales of property, tangible & intangible assets	1,159	668	0	0	0
Writedown of Assets	-314	-248	0	0	0
Investment securities	2,515	39	500	1,000	0
Acquisition or divestment of subsidiary stock	-681	0	0	0	0
Others (long-term loans, etc.)	32	105	100	100	100
Total investment cash flows	-7,485	-11,585	-8,400	-7,900	-7,900
Financial cash flows					
Change in short-term liabilities	297	2,293	2,000	-500	0
Change in long-term liabilities	-511	-2,606	0	0	0
Treasury stock (Purchase and Sales)	-2,321	-4,934	-5,000	-5,000	-5,000
Dividend payment	-2,542	-6,307	-7,000	-6,800	-6,800
Other	-107	5,234	5,200	5,200	5,200
Total financial cash flows	-5,184	-6,320	-4,800	-7,100	-6,600
Forex conversion differences	820	29	0	0	0
Increase in cash and equivalents	-276	-604	564	900	-200

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/13/2026)
Takato Watabe		
Asahi Kasei (3407.T)	O (06/23/2025)	¥1,816
Mitsubishi Chemical Group (4188.T)	E (06/26/2025)	¥1,162
Mitsui Chemicals (4183.T)	O (08/31/2015)	¥2,070
Sumitomo Chemical (4005.T)	O (04/21/2014)	¥519
Tosoh (4042.T)	E (04/10/2023)	¥2,691

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* Historical prices are not split adjusted.

INDUSTRY COVERAGE: Electronic Chemicals

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/13/2026)
Ryoichi Watanabe		
Resonac Holdings (4004.T)	O (03/04/2024)	¥15,330
Sumitomo Bakelite (4203.T)	O (05/26/2025)	¥7,035
Tokyo Ohka Kogyo (4186.T)	E (06/10/2025)	¥10,350
Takato Watabe		
Dexerials (4980.T)	E (08/27/2024)	¥3,922
Kuraray (3405.T)	E (04/03/2023)	¥1,696
Nissan Chemical (4021.T)	E (06/11/2018)	¥7,906
Nitto Denko (6988.T)	U (06/24/2022)	¥3,221
Shin-Etsu Chemical (4063.T)	O (07/27/2016)	¥7,340
SUMCO (3436.T)	U (06/09/2026)	¥5,133
ZEON (4205.T)	O (10/23/2014)	¥2,225

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INDUSTRY COVERAGE: Fine Chemicals

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/13/2026)
Ryoichi Watanabe		
Air Water (4088.T)	E (03/04/2024)	¥2,522
Daicel (4202.T)	E (06/20/2025)	¥1,404
Denka (4061.T)	E (03/04/2024)	¥3,838
Kaneka (4118.T)	E (03/04/2024)	¥5,568
Kureha (4023.T)	E (06/12/2025)	¥4,090
Mitsubishi Gas Chemical (4182.T)	O (03/04/2024)	¥4,564
Nippon Sanso Holdings (4091.T)	U (06/20/2025)	¥6,052
NOF (4403.T)	O (03/19/2026)	¥2,720
Sekisui Chemical (4204.T)	U (05/07/2025)	¥2,611
Tokuyama (4043.T)	O (03/04/2024)	¥4,507
UBE (4208.T)	++	¥3,100
Takato Watabe		
DIC (4631.T)	++	¥4,520
Gunze (3002.T)	E (06/25/2025)	¥3,970
Teijin (3401.T)	U (10/03/2022)	¥1,655

Toray Industries (3402.T)	O (10/03/2022)	¥1,138
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Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

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